19 Ind AS 19 Employee Benefits

SM Ch 6 Unit 1 · 19 marks in 3 papers: Sep 2025 8 (DBO), Jan 2026 5 (short-term), May 2026 6 (DBO 3 years)

Type	Rule (SM)
Short-term (settled within 12 months)	Undiscounted expense as service is rendered. **Compensated absences: accumulating** → liability for the **expected** extra payment from unused entitlement at year-end; **vesting** (paid on exit) → full unused balance; **non-vesting** → only the part expected to be used (attrition considered); **non-accumulating** (maternity, sick that lapses) → only when absence occurs. **Profit-sharing/bonus** → when present legal/constructive obligation and reliable estimate (Illus 7: 4.5% × 200 cr = **9 cr**).
Defined contribution	Entity's obligation limited to contributions; risk with employee → expense = contribution payable for the period (Illus 11: unpaid 3.20 cr → liability). Multi-employer / state plans: classify by terms; DB plan without enough information → treat as DC + disclose (Example 1).
Defined benefit — steps	(1) estimate benefit (actuarial, **projected unit credit method**); (2) discount at **market yields on government bonds** (Ind AS carve-out; IFRS uses high-quality corporate bonds — ICAI's Sep 2025 paper corrected exactly this); (3) FV of plan assets; (4) net DB liability/asset = DBO − plan assets, limited by **asset ceiling** (Illus 14: lower of surplus and ceiling 175); (5) P&L: service cost + net interest; (6) OCI: remeasurements.
Attribution	To periods of service under the plan formula; if later years give materially higher benefit → straight line. Vesting after 10 years → attribute evenly over 10 years (Illus 16: 150 per year) reflecting probability; service before age 25 excluded (Illus 17); no benefit after the date further service adds nothing material (Illus 19, 22). Post-employment medical plans with a higher % after longer service → attribute up to the point after which further service adds no material benefit, reflecting the probability of leaving (Illus 20, 21).
P&L items	**Current service cost**; **past service cost** (plan amendment or curtailment) and **gain/loss on settlement** → immediately when they occur; **net interest** = net liability × discount rate (start of year, adjusted for contributions/benefits during year).
OCI (never recycled)	**Remeasurements**: actuarial gains/losses on DBO; return on plan assets **excluding** interest income; change in asset ceiling effect.
Other long-term (long-service leave, long-term compensated absences)	Same measurement as DB but **everything in P&L** (no OCI).
Termination benefits	Recognise at earlier of: can no longer withdraw the offer, and restructuring costs recognised (Ind AS 37). Benefits that need further service → not termination benefits (Example 4).
Change in method	Gratuity on payment basis is wrong (Illus 12). First actuarial valuation showing past error → Ind AS 8 (Illus 23).

DBO reconciliation (Sep 2025, May 2026, PQ 2/3/4/6): Opening DBO + interest cost + current service cost + past service cost − benefits paid ± settlement → expected closing; actual closing − expected = **actuarial loss/(gain) to OCI**. Plan assets: opening FV + interest income + contributions − benefits paid → expected; actual − expected = **return excluding interest (OCI)**. P&L = service costs + net interest. Balance sheet = closing DBO − closing plan assets.

ICAI ·

Illus 1: vested unutilised leave 2 days × 10,000 → expense 30,20,000. **Illus 2/3:** non-vesting leave provision 30,000 vs 20,000 (expected usage). **Illus 13:** DBO 3,500 − plan assets 3,332 = net liability **168**. **Illus 24:** net liability 260 → 305. **PQ 4:** actuarial gain on plan assets 82,500 − loss on DBO 6,000 = **76,500 to OCI**. **PQ 5:** P&L expense **8.64 lakh** (10.11 − 1.47). **PQ 3:** net DB liability 27,20,000 − 23,80,000 = 3,40,000.

Ind AS 19 Employee Benefits – ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

I.5 Short-Term Employee Benefits

Q1 · SM Ind AS 19 · Illustration 1: Vested Accumulating Benefits

Illustration 1: Vested Accumulating Benefits

Mr. Rajan is working for Infotech Ltd. Consider the following particulars:

Annual salary of Mr. Rajan = ₹ 30,00,000

Total working days in 20X0-20X1 = 300 days

Leaves allowed in 20X0-20X1 as per company policy = 10 days

Leaves utilized by Mr. Rajan in 20X0-20X1 = 8 days

The unutilized leaves are settled by way of payment and accordingly, carry forward of such leaves to the subsequent period is not allowed.

Compute the total employee benefit expense for Infotech Ltd. in respect of 20X0-20X1.

Solution — ICAI

Solution

Mr Rajan is entitled to a salary of ₹ 30,00,000 for 300 total working days.

Thus, per day salary works out to ₹ 30,00,000 ÷ 300 days = ₹ 10,000 per day

In the year 20X0-20X1, Mr. Rajan availed 8 out of 10 leaves allowed by the company.

Accordingly, leaves unutilized = 10 – 8 = 2 days

In line with the company policy, Infotech Ltd. will pay Mr. Rajan for the unutilized leave.

Thus, total expense for 20X0-20X1 = ₹ 30,00,000 + (2 days unutilized leaves x ₹ 10,000 per day) = ₹ 30,20,000.

Q2 · SM Ind AS 19 · Illustration 2: Non-Vested Accumulating Benefits

Illustration 2: Non-Vested Accumulating Benefits

Mr. Niranjan is working for Infotech Ltd. Consider the following particulars:

	Year 20X0-20X1	Year 20X1-20X2
Annual salary	₹ 30,00,000	₹ 30,00,000
No. of working days during the year	300 days	300 days
Leave allowed	10 days	10 days
Leave taken	7 days	13 days
Leave unutilized carried forward to next year	3 days	NIL

Based on past experience, Infotech Ltd. assumes that Mr. Niranjan will avail the unutilized leaves of 3 days of 20X0-20X1 in 20X1-20X2.

Infotech Ltd. contends that it will record ₹ 30,00,000 as employee benefits expense in each of the years 20X0-20X1 and 20X1-20X2, stating that the leaves will, in any case, be utilized by 20X1-20X2.

Comment on the accounting treatment proposed to be followed by Infotech Ltd. Also pass journal entries for both the years.

Solution — ICAI

Solution

Particulars	Year 20X0-20X1	Year 20X1-20X2
Annual Salary	₹ 30,00,000	₹ 30,00,000
No. of working days (A)	300 days	300 days
Leaves Allowed	10 days	10 days
Leaves Taken (B)	7 days	13 days
Therefore, number of days worked (A – B)	293 days	287 days
Expense proposed to be recognized by Infotech Ltd.	₹ 30,00,000	₹ 30,00,000

Based on the evaluation above, Mr. Niranjan has worked for 6 days more (293 days – 287 days) in 20X0-20X1 as compared to 20X1-20X2.

Since he has worked more in 20X0-20X1 as compared to 20X1-20X2, the accrual concept requires that the expenditure to be recognized in 20X0-20X1 should be more as compared to 20X1-20X2.

Thus, if Infotech Ltd. recognizes the same expenditure of ₹ 30,00,000 for each year, it would be in violation of the accrual concept.

The expenditure to be recognized will be as under:

Particulars	Year 20X0-20X1	Year 20X1-20X2
Annual salary (A)	₹ 30,00,000	₹ 30,00,000
No. of working days (B)	300 days	300 days
Salary cost per day (A ÷ B)	₹ 10,000 per day	₹ 10,000 per day
No. of days worked (from above)	293 days	287 days
Expense to be recognised: **In 20X0-20X1:** ₹ 30,00,000 + [₹ 10,000 per day x 3 days (leaves unutilized expected to be utilized subsequently)]	₹ 30,30,000	
In 20X1-20X2: ₹ 30,00,000 – [₹ 10,000 per day – 3 days (excess leave utilized in 20X1-20X2)]		₹ 29,70,000

Journal Entry for 20X0-20X1

Employee Benefits Expense Account	Dr.	30,30,000	
To Bank Account			30,00,000
To Provision for Leave Encashment			30,000

Journal Entry for 20X1-20X2

Employee Benefits Expense Account	Dr.	29,70,000	
Provision for Leave Encashment Account	Dr.	30,000	
To Bank Account			30,00,000

Q3 · SM Ind AS 19 · Illustration 3: Non-Vested Accumulating Benefits

Illustration 3: Non-Vested Accumulating Benefits

Assume same information as in Illustration 2.

Based on past experience, Infotech Ltd. assumes that Mr. Niranjan will avail the unutilized leaves of 2 days of 20X0-20X1 subsequently.

However, in 20X1-20X2, Mr. Niranjan availed in actual all 3 days of brought forward leave.

Compute the expense to be recognised in 20X0-20X1 and 20X1-20X2. Also pass journal entries for both the years.

Solution — ICAI

Solution

The expenditure to be recognized will be as under:

Particulars	Year 20X0-20X1	Year 20X1-20X2
Annual salary (A)	₹ 30,00,000	₹ 30,00,000
No. of working days (B)	300 days	300 days
Salary cost per day (A ÷ B)	₹ 10,000 per day	₹ 10,000 per day
No. of days worked (from above)	293 days	287 days
Expense to be recognised: **In 20X0-20X1:** ₹ 30,00,000 + [₹ 10,000 per day x 2 days (leaves unutilized expected to be utilized subsequently)]	₹ 30,20,000	
In 20X1-20X2: ₹ 30,00,000 – [₹ 10,000 per day x 3 days (excess leave utilized in 20X1-20X2)] + ₹ 10,000 (additional expense due to change in accounting estimate)		₹ 29,80,000

The additional ₹ 10,000 booked as an expense in 20X1-20X2 represents a change in accounting estimate (i.e. as against the entity's estimation that 2 days of unutilized leave would be utilized subsequently, actually 3 days were utilized subsequently), for which a prospective effect needs to be given, in line with Para 36 of Ind AS 8 *Accounting Policies, Changes in Accounting Estimates and Errors.*

Journal Entry for 20X0-20X1

Employee Benefits Expense Account	Dr.	30,20,000	
To Bank Account			30,00,000
To Provision for Leave Encashment			20,000

Journal Entry for 20X1-20X2

Employee Benefits Expense Account	Dr.	29,80,000	
Provision for Leave Encashment Account	Dr.	20,000	
To Bank Account			30,00,000

Q4 · SM Ind AS 19 · Illustration 4:

Illustration 4:

Sunderam Pvt. Ltd. has a headcount of 100 employees in 20X0-20X1. As per the employee policy, the employees are entitled to:

- *30 casual leaves out of which 10 casual leaves may be carried forward to the next year; and*
- *10 sick leaves out of which 2 sick leaves may be carried forward as paid leave.*

At 31st March, 20X1, the average unused entitlement is 5 days per employee for casual leaves and 1 day per employee for sick leave. On an average, it is found that the number of such employees who would be claiming casual leaves would be 30 and 10 employees who would claim sick leaves.

Compute the liability to be recognised in respect of sick leaves and casual leaves by the entity at the end of the financial year 20X0-20X1.

Solution — ICAI

Solution

Type of leave (A)	Leave Entitlement (B)	Leaves c/f permissible (C)	Average leaves Unutilized (D)	No. of Employees (E)	Liability (F = D x E)
Casual Leave	30 days	10 days	5 days	30	150 days salary
Sick Leave	10 days	2 days	1 days	10	10 days salary

The entity will recognise liability in the books equal to 150 (30 x 5) days of paid casual leaves and 10 (10 x 1) days of paid sick leaves.

QS · SM Ind AS 19 · Illustration 5

Illustration 5

An entity has 100 employees, who are each entitled to ten working days of paid sick leave for each year. Unused sick leave may be carried forward for one financial year. Sick leave is taken first out of the current year's entitlement and then out of any balance brought forward from the previous year (a LIFO basis).

At 31st March 20X1, the average unused entitlement is two days per employee. Based on past experience, the management expects that only 20% of the employees will use 1 day from their carried forward leave. Salary per day is ₹ 2,500.

Compute the expenses in respect of the short-term compensated absences, if they are assumed to be (a) vested short-term compensated absences, and (b) non-vested short-term compensated absences.

Solution — ICAI

Solution

Vested short-term compensated absences:

Employee Benefit Expense = 100 Employees x 2 Days x ₹ 2,500 = ₹ 5,00,000

Non-vested short-term compensated absences:

Employee Benefit Expense = 100 Employees x 20% x 1 Day x ₹ 2,500 = ₹ 50,000

Q6 · SM Ind AS 19 · Illustration 6

Illustration 6

Acer Ltd. has 350 employees (same as a year ago). The average staff attrition rates observed during past 10 years represents 6% per annum. Acer Ltd. provides the following benefits to all its employees:

Paid vacation - 10 days per year regardless of date of hiring. Compensation for paid vacation is 100% of employee's salary and unused vacation can be carried forward for 1 year. As of 31st March, 20X1, unused vacation carried forward was 3 days per employee, average salary was ₹ 15,000 per day and accrued expense for unused vacation in 20X0-20X1 was ` 65,00,000. During 20X1-20X2, employees took 9 days of vacation in average. Salary increases in 20X1-20X2 was 10%.

Analyse how would Acer Ltd. recognize liabilities and expenses for these benefits as of 31st March, 20X2. Pass the journal entry to show the accounting treatment.

Solution — ICAI

Solution

Paid Vacation:

Step 1: Calculation of Unused Vacation in man-days as on 31st March, 20X2:

A. No. of Employees in service for the whole year (94%):

Particulars	Man-days
Unused vacation as on 31st March, 20X1	3 days per employee
Entitlement to vacation for 20X1-20X2	10 days per employee
Average vacation availed in 20X1-20X2	(9) days per employee

Unused vacation as on 31st March, 20X2 (being unused leaves of 20X1-20X2 on FIFO basis)	**4 days per employee**
Total Unused vacation as on 31st March, 20X2 - (A) (350 employees x 94% x 4 days per employee)	**1,316 man-days**

B. Newcomers (6%):

Particulars	**Man-days**
Entitlement to vacation for 20X1-20X2	10 days per employee
Average vacation availed in 20X1-20X2	(9) days per employee
Unused vacation as on 31st March, 20X2 (being unused leaves of 20X1-20X2 on FIFO basis)	**1 day per employee**
Total Unused vacation as on 31st March, 20X2 - (B) (350 employees x 6% x 1 day per employee)	**21 man-days**
Total unused vacation as on 31st March, 20X2 (A + B)	1,337 man-days

Step 2: Calculation of average salary per day:

Particulars	**Amount (₹)**
Average salary per day as on 31st March, 20X1	15,000
Salary increase in 20X1-20X2	10%
Average salary per day as on 31st March, 20X2	**16,500**

Step 3: Calculation of provision for unused paid vacation:

Particulars	**Amount (₹)**
Calculation of provision for unused paid vacation 20X1-20X2: (1,337 man-days x ₹ 16,500)	2,20,60,500
Provision for unused paid vacation 20X0-20X1	65,00,000

Step 4: Accounting treatment

Provision for 20X1-20X2

Employee Benefits Expenses A/c	Dr.	2,20,60,500	
To Provision for Leave Encashment			2,20,60,500

Settlement of Liability of 20X0-20X1

Provision for Leave Encashment A/c	Dr.	65,00,000	
To Cash / Bank			65,00,000

Q7 · SM Ind AS 19 · Illustration 7

Illustration 7

Laxmi Mills is a profit-making entity and has reported profit of ` 200 crore in the financial year 20X1-20X2. According to its profit–sharing plan, it distributes and pays 5% as its portion of profit to its employees if they complete 1 year with the organisation.

Under this plan, an entity is under an obligation to pay if the employees complete a specified period with the organisation. Laxmi Mills has estimated that due to staff turnover in the organisation, the estimated pay-out would be around 4.5%.

Compute the liability and expense of the company under this plan.

Solution — ICAI

Solution

The company shall recognize a liability and an expense of an amount of ₹ 9 crores for the financial year 20X1-20X2 (i.e. 4.5% of ₹ 200 crores).

Q8 · SM Ind AS 19 · Illustration 8

Illustration 8

Acer Ltd. has 350 employees (same as a year ago). The average staff attrition rates as observed during past 10 years represents 6% per annum. Acer provides the following benefits to all its employees:

Annual bonus - during past 10 years.

Acer paid bonus to all employees who were in service during the entire financial year. Bonus was paid in June following the financial year-end. Amount of bonus for 20X1-20X2 paid in June 20X2 represented ₹ 1,25,000 per employee. Acer Ltd. used to increase amount of bonus based on official inflation rate which is 8.5% for 20X2-20X3, although there was no legal obligation to increase the bonus by such inflation rate.

Determine how would Acer Ltd. recognize liabilities and expenses for these employee benefits as on 31st March, 20X3. Pass the journal entry to show the accounting treatment.

Solution — ICAI

Solution

Particulars	Amount (₹)
Bonus paid for 20X1-20X2	1,25,000 per employee
Bonus for 20X2-20X3 - increased by inflation of 8.5%: [1,25,000 x (100% + 8.5%)]	1,35,625 per employee
No. of employees in staff during the whole year [350 x (100-6%)]	329 employees
Provision for Bonus for 20X2-20X3	**4,46,20,625**

Accounting Treatment:

Provision for Bonus for 20X2-20X3

Employee Benefits Expenses A/c	Dr.	4,46,20,625	
To Provision for Bonus 20X2-20X3			4,46,20,625

Note:

It is given that the company is under no legal obligation to increase the bonus by the official inflation rate. However, the company has been increasing the bonus by the inflation rate over the past years. This has given rise to a constructive obligation for Acer Ltd. Informal practices, such as these, give rise to a constructive obligation where the entity has no realistic alternative but to pay employee benefits. Accordingly, provision is made for the amount considering the inflation rate.

1.6 Post-Employment Benefits

Q9 · SM Ind AS 19 · Illustration 9

Illustration 9

A company pays each employee a lump-sum one-time benefit upon retirement. This benefit is computed based on the employee's years in service in the company and the final salary prior to retirement. To cover its liabilities from this remuneration, the company contributes 3% of annual gross salaries to the fund.

Comment whether this obligation represent a defined contribution plan or a defined benefit plan and why?

Solution — ICAI

Solution

Defined benefit plan

Reason: Although the Company pays contributions to the fund to cover its liabilities, amount of remuneration is determined in advance and Company will have to carry the risk in case the fund's assets are not sufficient to cover remuneration in full.

Q10 · SM Ind AS 19 · Illustration 10

Illustration 10

In accordance with applicable legislation, company contributes 12% and employees 12% of annual gross salaries to the provident and pension fund. Upon retirement, the employees will get the accumulated balance that is calculated based on employee's years of service and his average salary for past 15 years before retirement. The pension will be paid out of the state fund assets and the company has no further obligation except to make contributions.

Analyse whether this obligation represent a defined contribution plan or a defined benefit plan.

Solution — ICAI

Solution

Defined contribution plan

Reason: Although employee's pension is determined in advance by the formula (and thus employees neither carry actuarial nor investment risks), Company's liability is limited to contributions to the fund. In this case, as pension will be paid out of the state fund, it is a state fund which carries all the risks.

Q11 · SM Ind AS 19 · Example 1

Example 1

Paras Pvt. Ltd. does not have sufficient information about a defined benefit plan and thus accounts for the plan as if it were defined contribution plan.

In the plan, there is a contractual agreement between Paras Pvt. Ltd. and its participants to share the deficit amongst all. The funding valuation shows a deficit of ₹ 500 million in the plan. The plan has agreed under contract a schedule of contributions with the participating employers in the plan that will eliminate the deficit over the next 10 years. The entity's total contributions under the contract are ₹ 30 million.

As per Ind AS 19, Paras Pvt. Ltd. should recognise a liability for the contributions adjusted for the time value of money and an equal expense in profit or loss.

ICAI example — facts and ICAI's analysis are printed together.

I.7 Accounting For Defined Contribution Plans

Q12 · SM Ind AS 19 · Illustration 11

Illustration 11

Acer Ltd. provides lump-sum remuneration upon retirement to its employees. Remuneration is paid out of the fund to which Acer Ltd. contributes 12% of annual gross salaries. Contributions are made twice a year i.e. in November of the related financial year and in June after the financial year-end. Total annual gross salaries for 20X0-X1 amounted to ₹ 50 crores. Contribution made by Acer Ltd. in November 20X0 was ` 2.8 crores. Remuneration depends on the number of employee's service and amount of cash in the fund at retirement date (Acer Ltd. has no further obligations except for contributions).

How should this transaction appear in the financial statements of Acer Ltd. as of 31st March 20X1?

Solution — ICAI

Solution

1. Calculation of accrual for contributions in 20X0-20X1:

Annual gross salaries in 20X0-20X1:	₹	50.00 crores
Amount of total contributions for 20X0-20X1 (12%):	₹	6.00 crores
Contributions already made in November 20X0:	₹	2.80 crores
Accrual (₹ 6 crores - ₹ 2.8 crores)	₹	3.20 crores

2. Accounting Treatment:

Employee Benefits Expenses Account	Dr.	6.00 crores	
To Bank Account			2.80 crores
To Contribution Payable			3.20 crores

The contribution of ₹ 6 crores will be debited to the statement profit and loss. The contribution payable of ₹ 3.20 crores will appear as a liability as at 31st March, 20X1.

1.8 Accounting For Defined Benefit Plans

Q13 · SM Ind AS 19 · Illustration 12

Illustration 12

Dinkar Ltd., a large IT company, accounts for gratuity on payment basis, and supports such accounting policy by making the following disclosure in the Financial Statements:

"Due to high labour turnover, a large degree of uncertainty is involved in estimating the liability of gratuity. Accordingly, the management opines that as the estimates of the uncertainty would confuse the readers by complicating the financial statements, such liability would be recorded on payment basis."

The management opines that by making the above disclosures, the company is complying with the requirements of all the Ind AS, as a disclosure to the effect of the above is given. The management is also willing to specifically highlight the above aspect by making it conspicuous in the financial statements.

Is the contention of management correct as per the provisions of Ind AS?

Solution — ICAI

Solution

Gratuity represents a payment being made to an employee upon retirement / resignation from the organization. The amount is determined in accordance with the provisions of the Gratuity Act, 1972, which applies to Dinkar Ltd. Since the amount is determined pursuant to a formula laid down under the statue, the gratuity payable represents a Defined Benefit Plan that is to be paid to the employees, with the actuarial risk and investment risk both belonging to the employer. Thus, Dinkar Ltd. must comply with Ind AS 19 and provide for the gratuity on an annual basis.

In estimating the liability for gratuity, there would be several assumptions involved such as mortality rate, staff attrition rate, salary at the time of retirement / resignation, discount rate etc., all of which have to be considered by Dinkar Ltd. The complexity involved in this exercise does not provide Dinkar Ltd. with an excuse to avoid accrual accounting.

Dinkar Ltd. has stated that it would be willing to make a disclosure to the effect of the departure from Ind AS 8 requirements. In terms of Para 19 of Ind AS 1, departure is permitted in **extremely rare** circumstances wherein the management concludes that compliance with an Ind AS requirement would be so **misleading** that it would **conflict** with the objective of the Financial Statements set out in the Framework.

In the given case, compliance with Ind AS would not be a conflict, as the compliance with Ind AS 19 would ensure that the accrual assumption laid down in the Framework is complied with. Further, a disclosure cannot be a remedy for non-compliance. Therefore, the company have to state that the Ind AS have not been complied with by the company in the preparation and presentation of its Financial Statements.

Hence, the company will have to suitably modify the financial statements considering the materiality and pervasiveness of the non-compliance.

Q14 · SM Ind AS 19 · Illustration 13

Illustration 13

How will the following information be presented in the Balance Sheet of Udyog Ltd.?

Particulars	*₹ in lakhs*
PV of Defined Benefit Obligations	*3,500*
Fair Value of Plan Assets	*3,332*

Solution — ICAI

Solution

Particulars	₹ in lakhs
PV of Defined Benefit Obligations	3,500
Less: Fair Value of Plan Assets	(3,332)
Deficit, to be treated as Net Defined Benefit Liability under Non-current Liabilities as Provisions in the Balance Sheet	**168**

Q15 · SM Ind AS 19 · Illustration 14

Illustration 14

How will the following information be presented in the Balance Sheet of Udyog Ltd.?

Particulars	*₹ in lakhs*
PV of defined benefit obligations	*2,750*
Fair value of plan assets	*2,975*
Asset ceiling	*175*

Solution — ICAI

Solution

Particulars	₹ in lakhs
PV of defined benefit obligations	2,750
Less: Fair value of plan assets	(2,975)
Surplus, to be treated as net defined benefit asset	**225**
Asset ceiling as per Ind AS 19	175
Least of above is surplus to be treated as net defined benefit asset under non-current assets in the Balance Sheet	**175**

1.9 Recognition

Q16 · SM Ind AS 19 · Illustration 15

Illustration 15

AJ Ltd is engaged in the business of trading of chemicals having a net worth of ₹ 150 crores. The company's profitability is good and hence the company has introduced various benefits for its employees to keep them motivated and to ensure that they stay

with the organization. The company is an associate of RJ Ltd which is listed on Bombay Stock Exchange in India.

The company initially did not have any HR function but over the last 2 years, the management set up that function and now HR department takes care of all the benefits related to the employees and how they can be structured in a manner beneficial to both the employees and the objectives of the company.

One of the employee benefits involves a lump sum payment to employee on termination of service and that is equal to 1 per cent of final salary for each year of service. Consider the salary in year 1 is ₹ 10,000 and is assumed to increase at 7 per cent (compound) each year.

Taking a discount rate at 10 per cent per year, you are required to compute

(a) benefits attributed (year on year) and

(b) the obligation in respect of this benefit (year on year)

For an employee who is expected to leave at the end of year 5

Following assumptions may be taken to solve this:

- *There are no changes in actuarial assumptions.*
- *No additional adjustments are needed to reflect the probability that the employee may leave the entity at an earlier or later date.*

Solution — ICAI

Solution

a. Computation of benefit attributed to prior years and current year:

Amount in ₹

Year	1	2	3	4	5
Benefit attributed to:					
- Prior years	-	131	262	393	524
- Current year (Refer W.N.1)	131	131	131	131	131
Total (i.e. current and prior years)	**131**	**262**	**393**	**524**	**655**

b. Computation of the obligation for an employee who is expected to leave at the end of year 5 (taking discount rate of 10% p.a.) Amount in ₹

Year	1	2	3	4	5
Opening obligation (A)	-	89	196	324	475
Interest at 10% (B = A X 10%)	-	9	20	32	47
Current service cost (C) (Refer WN 2)	89	98	108	119	131
Closing obligation D = (A+B+C)	**89**	**196**	**324**	**475**	**653**

Figures have been rounded off in the above table.

Working Notes:

1. A lump sum benefit is payable on termination of service and equal to 1 per cent of final salary for each year of service. The salary in year 1 is ₹ 10,000 and is assumed to increase at 7 per cent (compound) each year.

The year on year salary would be as follows: Amount in ₹

Year	1	2	3	4	5
Salary	10,000	10,700 (10,000 x 107%)	11,449 (10,700 x 107%)	12,250 (11,449 x 107%)	13,108 (12,250 x 107%)

Accordingly, for the purpose of above-mentioned employee benefit, 1% of final salary to be considered for each year of service would be ₹ 131.

2. Computation of current service cost: Amount in ₹

Year	1	2	3	4	5
1% salary at the end of year 5	-	-	-	-	131
PV factor at the end of each year to be considered at 10% p.a. **(E)**	0.683	0.751	0.826	0.909	1.000
PV at the end of each year	89 (131 x E)	98 (131 x E)	108 (131 x E)	119 (131 x E)	131 (131 x E)

Accordingly, for the purpose of above-mentioned employee benefit, 1% of final salary to be considered for each year of service would be ₹ 131.

Q17 · SM Ind AS 19 · Example 2

Example 2

A defined benefit plan provides a lump-sum benefit of ₹ 200 payable on retirement for each year of service. A benefit of ₹ 200 is attributed to each year. The current service cost is the present value of ₹ 200. The present value of the defined benefit obligation is the present value of ₹ 200, multiplied by the number of years of service up to the end of the reporting period.

If the benefit is payable immediately when the employee leaves the entity, the current service cost and the present value of the defined benefit obligation reflect the date at which the employee is expected to leave. Thus, because of the effect of discounting, they are less than the amounts that would be determined if the employee left at the end of the reporting period.

❖ Employee service gives rise to an obligation under a defined benefit plan even if the benefits are conditional on future employment (***in other words they are not vested***).

- Employee service given the vesting date gives rise to a constructive obligation because, at the end of each successive reporting period, the amount of future service that an employee will have to render before becoming entitled to the benefit is reduced. An entity considers the probability that some employees may not satisfy any vesting requirements in measuring its defined benefit obligation.
- Although, certain post-employment benefits, for example, post- employment medical benefits, become payable only if a specified event occurs when an employee is no longer employed, an obligation is created when the employee renders service that will provide entitlement to the benefit if the specified event occurs.

  The probability that the specified event will occur affects the measurement of the obligation but does not determine whether the obligation exists.

ICAI example — facts and ICAI's analysis are printed together.

Q18 · SM Ind AS 19 · Illustration 16

Illustration 16

A plan pays a benefit of ₹ 150 for each year of service. The benefits vest after ten years of service. Compute the benefit to be attributed each year?

Solution — ICAI

Solution

1. A benefit of ₹ 150 is attributed to each year.

2 In each of the first ten years, the current service cost and the present value of the obligation reflect the probability that the employee may not complete ten years of service. This is because the benefits vest at a future date (i.e. after ten years of service).

Q19 · SM Ind AS 19 · Illustration 17

Illustration 17

A plan pays a benefit of ₹ 150 for each year of service, excluding service before the age of 25. The benefits vest immediately. Compute the benefit to be attributed each year?

Solution — ICAI

Solution

1. No benefit is attributed to the service before the age of 25 because service before that date does not lead to benefits (conditional or unconditional).

2. A benefit of ₹ 150 is attributed to each subsequent year. There is no requirement to reflect any probability of completion as the benefits vest immediately.

Q20 · SM Ind AS 19 · Example 3

Example 3

A plan pays a lump-sum retirement benefit of ₹ 4,000 to all employees who are still employed at the age of 55 after twenty years of service, or who are still employed at the age of 65, regardless of their length of service.

Category of Employee	Description	Benefit attributed per year
Employees who join before the age of 35	▪ These employees will be in service for 20 years at the age of 55. Accordingly, the service leads to benefits at the age of 35 and are conditional of further service. ▪ However, service beyond the age of 55 leads to no material amount of further benefits (i.e. benefit will still be the same).	▪ For these employees, the entity attributes benefit of ₹ 200 (₹ 4,000 divided by 20 years) each year from the age of 35 to the age of 55. ▪ The current service cost and the present value of the obligation should reflect the probability of an employee not completing the necessary service period.
Employees who join after the age of 35	▪ These employees will not be in service for 20 years at the age of 55 and must wait till the age of 65, regardless of the years of service. ▪ The service leads to benefits at the beginning of employment and service beyond age 65 leads to no material amount of further benefits.	▪ For these employees, the entity attributes benefit of ₹ 4,000 ÷ (65 years – whatever age when employment started may be 40, 45, 50...) to each year of service from the start until the age of 65. ▪ The current service cost and the present value of the obligation should reflect the probability of an employee not completing the necessary service period.

ICAI example — facts and ICAI's analysis are printed together.

Q21 · SM Ind AS 19 · Illustration 18

Illustration 18

Amra Pvt. Ltd. has a plan for its employees where it has decided to pay a lump-sum benefit of ₹ 2,000 that will vest after ten years of service. However, that plan will provide no further benefit for subsequent service.

Compute the benefit attributed for 10 years of service and for the period of service after 10 years?

Solution — ICAI

Solution

1. In this case, as per the company's plan, a benefit of ₹ 200 (₹ 2,000 ÷ 10 years) is attributed to each of the first 10 years.
2. The current service cost in each of the first ten years reflects the probability that the employee may not complete ten years of service. This is because the benefits vest at a future date (i.e. after ten years of service).

No benefit is attributed to subsequent years.

Q22 · SM Ind AS 19 · Illustration 19

Illustration 19

Sanat Pvt. Ltd. has a plan for the employees where employees are entitled to a benefit of 5% of final salary for each year of service before the age of 55.

Compute the benefit attributed up to 55 years and after 55?

Solution — ICAI

Solution

Benefit of 5% of estimated final salary is attributed to each year up to the age of 55. This is the date when further service by the employee will lead to no material amount of further benefits under the plan. No benefit is attributed to service after that age.

Q23 · SM Ind AS 19 · Illustration 20

Illustration 20

A post-employment medical plan reimburses 40 percent of an employee's post-employment medical costs if the employee leaves after more than ten and less than twenty years of service and 50 per cent of those costs if the employee leaves after twenty or more years of service.

Determine how will the benefit be attributed to the years of service.

Solution — ICAI

Solution

1. Under the Plan's Benefit Formula, the entity should attribute 4% of the present value of the expected medical costs (40% ÷ 10 years) to each of the first ten years, and 1% (10% ÷ 10 years) to each of the second ten years.
2. For employees expected to leave within 10 years, no benefit is attributed.
3. The Current Service Cost in each year reflects the probability that the employee may not complete the necessary period of service to earn part or all of the benefits.

Not repeated: *SM Ind AS 19 · Illustration 21 — same question, same answer.*

Q24 · SM Ind AS 19 · Illustration 22

Illustration 22

AKJ Ltd is a listed company engaged in the business of manufacturing of electronic equipment. The company has various branch offices spread out across India and has 1,000 employees.

As per the statutory requirements, gratuity shall be payable to an employee on the termination of his employment after he has rendered continuous service for not less than five years -

(a) on his superannuation, or

(b) on his retirement or resignation, or

(c) on his death or disablement due to accident or disease.

The completion of continuous service of five years shall not be necessary where the termination of the employment of any employee is due to death or disablement.

The amount payable is determined by a formula linked to number of years of service and last drawn salary. The amount payable to an employee shall not exceed ₹ 10,00,000.

Compute the amount of employee benefit, if any, attributed to each year of service.

Solution — ICAI

Solution

The amount of gratuity would be attributed to each year of service and calculated as follows:

Number of employees not likely to fulfil the eligibility criteria will be ignored.

Other employees will be grouped according to period of service they are expected to render taking into account:

- mortality rate,
- disablement and
- resignation after 5 years.

Gratuity payable will be calculated in accordance with the formula prescribed in the governing statute based on the period of service and the salary at the time of termination of employment, assuming promotion, salary increases etc.

For those employees for whom the amount payable as per the formula does not exceed ₹ 10,00,000, over the expected period of service, the amount payable will be divided by the expected period of service and the resulting amount will be attributed to each year of the expected period of service, including the period before the stipulated period of 5 years.

In case of the remaining employees, the amount as per the formula exceeds ₹ 10,00,000 over the expected period of service of 10 years (say), and the amount of the threshold of ₹ 10,00,000 is reached at the end of 8 years (assumed) i.e. ₹ 1,25,000 (₹ 10,00,000 ÷ 8 years) is attributed to each of the first 8 years. In this case, no benefit is attributed to subsequent two years. This is because service beyond 8 years will lead to no material amount of further benefits.

I.11 Components Of Defined Benefit Cost

Q25 · SM Ind AS 19 · Illustration 23

Illustration 23

Pratap Ltd. belongs to the ship-building industry. The company reviewed an Actuarial Valuation for the first time for its pension scheme which revealed a surplus of ₹ 60 lakhs. It wants to spread the same over the next 2 years by reducing the annual contribution to ₹ 20 lakhs instead of ₹ 50 lakhs. The average remaining life of the employees is estimated to be 6 years.

Advise the Company in line with Ind AS 19.

Solution — ICAI

Solution

1. **Recognition:** As per Ind AS 19, any Actuarial Gains and Losses should be recognized as a re-measurement of the Net Defined Benefit Liability / (Asset) in "Other Comprehensive Income".

2. **Measurement and Presentation:** In the given case, the amount of surplus from Pension Scheme of ₹ 60 lakhs is an Actuarial Gain and should be recognized as a "re-measurement" in "Other Comprehensive Income", and not to be adjusted from the amount of annual contribution in future years.

3. **Disclosure:** The change relating to Actuarial Valuation for the Pension Scheme requires disclosure under Ind AS 8. Disclosures required by Ind AS 19 should also be made in the financial statements.

Q26 · SM Ind AS 19 · Illustration 24

Illustration 24

RKA Private Ltd is an old company established in 19XX. The company started with a very small capital base and today it is one of the leading companies in India in its industry. The company has an annual turnover of ₹ 11,000 crores and planning to get listed in the next year.

The company has a large employee base. The company provided a defined benefit plan to its employees. Following is the information relating to the balances of the fund's assets and liabilities as at 1st April, 20X1 and 31st March, 20X2. *₹ in lacs*

Particulars	1st April, 20X1	31st March, 20X2
Present value of benefit obligation	1,400	1,580
Fair value of plan assets	1,140	1,275

For the financial year ended 31st March, 20X2, service cost was ₹ 55 lacs. The company made a contribution of an amount of ₹ 111 lacs to the plan. No benefits were paid during the year.

Consider a discount rate of 8%.

You are required to -

(a) Compute the balance(s) of the company to be included its balance sheet as on 31st March, 20X2 and amounts to be recognized in the statement of profit and loss and other comprehensive income for the year ended 31st March, 20X2.

(b) Provide the journal entries in respect of amount(s) to be recognized.

Solution — ICAI

Solution

(a) **Extract of the Balance Sheet of RKA Private Ltd as at 31st March, 20X2**

	₹ in lacs
Closing net defined liability (1,580 – 1,275) lacs	305

Extract of the Statement of Profit or Loss of RKA Private Ltd for the year ended 31st March, 20X2

Particulars	₹ in lacs
Service cost	55
Net interest ***(Refer W.N.1)***	21
Profit or loss	**76**
Other comprehensive income:	
Remeasurements ***(Refer W.N.2)***	80
Total	**156**

(b) **Journal entries in the books of RKA Private Ltd**

Particulars		₹ in lacs	₹ in lacs
Profit & Loss	Dr.	76	
Other comprehensive income	Dr.	80	
To Cash (Contribution)			111
To Net defined benefit liability ***(Refer WN 3)***			45

Working Notes:

1. **Computation of Net interest taken to the Statement of Profit or Loss**

= Discount rate x Opening net defined benefit liability

= 8% x (1,400 – 1,140) lacs

= 8% x 260 lacs = 21 lacs (Rounded off to nearest lacs)

2. **Computation of Remeasurements**

Defined Benefit Obligation Account

Particulars	₹ in lacs	Particulars	₹ in lacs
To Balance c/d (given) (closing balance)	1,580	By Balance b/d (given) (opening balance)	1,400
		By Current Service Cost (given)	55
		By Interest on Opening Liability (1,400 x 8%)	112
		By Actuarial loss **(bal. figure)**	13
	1,580		1,580

OR

Statement to calculate Actuarial gain or loss on defined benefit liability:

Particulars	₹ in lacs
Opening balance of liability	1,400
Current service cost	55

Interest on opening liability (1,400 x 8%)	112
Actuarial loss (Bal. fig)	13
Closing balance of liability	**1,580**

Plan Assets Account

Particulars	₹ in lacs	Particulars	₹ in lacs
To Balance b/d (given) (opening balance)	1,140	By Balance c/d (given) (closing balance)	1,275
To Bank Account (contribution for the year)	111		
To Surplus / Actual Return (bal. figure)	24		
	1,275		**1,275**

OR

Statement to calculate Actual return on plan assets:

Particulars	₹ in lacs
Opening balance of asset	1,140
Cash contribution	111
Actual return (Bal. fig)	24
Closing balance of asset	**1,275**

Net interest on opening balance of plan asset = ₹ 91 lacs (i.e. ₹ 1,140 lacs x 8%) (Rounded off to nearest lacs)

Hence there is a decrease in plan assets due to remeasurement for which computation is as follows:

Actual Return – Net interest on opening plan asset

= ₹ 24 lacs – ₹ 91 lacs = ₹ 67 lacs.

Net remeasurement would be computed as follows:

Actuarial loss on liability + Loss on return = ₹ 13 lacs + ₹ 67 lacs = ₹ 80 lacs.

3. **Computation of increase/ decrease in net defined benefit liability:**

Particulars	₹ in lacs
Opening net liability (₹ 1,400 lacs – ₹ 1,140 lacs)	260
Closing net liability ₹ 1,580 lacs – ₹ 1,275 lacs)	305
Increase in liability	**45**

1.15 Termination Benefits

Q27 · SM Ind AS 19 · Example 4: On Termination Benefits

Example 4: On Termination Benefits

As a result of a recent acquisition, an entity plans to close a factory in ten months and, at that time, terminate the employment of all of the remaining employees at the factory. Because the entity needs the expertise of the employees at the factory to complete some contracts, it announces a plan of termination as follows.

Each employee who stays and renders service until the closure of the factory will receive on the termination date a cash payment of ₹ 30,000. Employees leaving before closure of the factory will receive ₹ 10,000.

There are 120 employees at the factory. At the time of announcing the plan, the entity expects 20 of them to leave before closure. Therefore, the total expected cash outflows under the plan are ₹ 3,200,000 (i.e. (20 × ₹ 10,000) + (100 × ₹ 30,000)). As required by paragraph 160, the entity accounts for benefits provided in exchange for termination of employment as termination benefits and accounts for benefits provided in exchange for services as short-term employee benefits.

Termination benefits

The benefit provided in exchange for termination of employment is ₹ 10,000. This is the amount that an entity would have to pay for terminating the employment regardless of whether the employees stay and render service until closure of the factory or they leave before closure. Even though the employees can leave before closure, the termination of all employees' employment is a result of the entity's decision to close the factory and terminate their employment (i.e. all employees will leave employment when the factory closes). Therefore, the entity recognises a liability of ₹ 12,00,000 (i.e. 120 × ₹ 10,000) for the termination benefits provided in accordance with the employee benefit plan at the earlier of when the plan of termination is announced and when the entity recognises the restructuring costs associated with the closure of the factory.

Benefits provided in exchange for service

The incremental benefits that employees will receive if they provide services for the full ten-month period are in exchange for services provided over that period. The entity accounts for them as short-term employee benefits because the entity expects to settle them before twelve months after the end of the annual reporting period. In this example, discounting is not required, so an expense of ₹ 2,00,000 (i.e. ₹ 20,00,000 ÷ 10) is recognised in each month during the service period of ten months, with a corresponding increase in the carrying amount of the liability.

ICAI example — facts and ICAI's analysis are printed together.

Test Your Knowledge

Q28 · SM Ind AS 19 · Test Your Knowledge Q1

1. An entity has 100 employees, who are each entitled to five working days of paid sick leaves for each year. Unused sick leave may be carried forward for one calendar year. Sick leave is taken first out of the current year's entitlement and then out of any balance brought forward from the previous year (LIFO basis).

   At 31st March, 20X1, the average unused entitlement is two days per employee. The entity expects, on the basis of experience that is expected to continue, that 92 employees will take no more than five days of paid sick leaves in 20X1-20X2 and that the remaining eight employees will take an average of six and a half days each.

   The entity expects that it will pay an additional twelve days of sick pay as a result of the unused entitlement that has accumulated at 31st March, 20X1 (one and a half days each, for eight employees).

   Comment whether the entity would require to recognize any liability in respect of leaves.

Solution — ICAI

1. At 31st March, 20X1, the average unused entitlement is two days per employee. The entity expects, on the basis of experience that is expected to continue, that 92 employees will take no more than five days of paid sick leaves in 20X1-20X2 and that the remaining eight employees will take an average of six and a half days each.

The entity expects that it will pay an additional twelve days of sick pay as a result of the unused entitlement that has accumulated at 31st March, 20X1 (one and a half days each, for eight employees).

Therefore, the entity would recognize a liability equal to twelve days of sick pay.

Q29 · SM Ind AS 19 · Test Your Knowledge Q2

2. A plan provides a monthly pension of 0.3% of final salary for each year of service. The pension is payable from the age of 65.

   Determine the current service cost.

Solution — ICAI

2. Benefit equal to the present value, at the expected retirement date, of a monthly pension of 0.3% of the estimated final salary payable from the expected retirement date until the expected date of death is attributed to each year of service. The current service cost is the present value of that benefit.

The present value of the defined benefit obligation is the present value of monthly pension payments of 0.3% of final salary, multiplied by the number of years of service up to the end of the reporting period. The current service cost and the present value of the defined benefit obligation are discounted because pension payments begin at the age of 65.

Q30 · SM Ind AS 19 · Test Your Knowledge Q3

3. A plan pays a benefit of ₹ 140 for each year of service, excluding service before the age of 25. The benefits vest immediately.

   Compute the benefit to be attributed before the age of 25 and after 25?

Solution — ICAI

3. No benefit is attributed to service before the age of 25 because service before that date does not lead to benefits (conditional or unconditional). A benefit of ₹ 140 is attributed to each subsequent year.

Q31 · SM Ind AS 19 · Test Your Knowledge Q4

4. B Pvt. Ltd. has a post-employment medical plan which will reimburse 20% of an employee's post-employment medical costs if the employee leaves after more than ten and less than twenty years of service and 50% of those costs if the employee leaves after twenty or more years of service.

   State how would you measure the benefit to be attributed for the employee service for the last 20 years, 10 and 20 years and within 10 years.

Solution — ICAI

4. As per Ind AS 19, the benefit will be attributed till the period the employee service will lead to no material amount of benefits. And service in later years will lead to a materially higher level of benefit than in earlier years. Therefore, for employees expected to leave after twenty or more years, the entity would attribute benefit on a straight-line basis. Service beyond twenty years will lead to no material amount of further benefits. Therefore, the benefit attributed to each of the first twenty years is 2.5% (i.e. 50% divided by 20) of the present value of the expected medical costs.

For employees expected to leave between ten and twenty years, the benefit attributed to each of the first ten years is 2% (20 % divided by 10) of the present value of the expected medical costs. For these employees, no benefit is attributed to service between the end of the tenth year and the estimated date of leaving.

For employees expected to leave within ten years, no benefit is attributed.

Q32 · SM Ind AS 19 · Test Your Knowledge Q5

5. Cisca Pvt. Ltd. has a headcount of around 1,000 employees in the organisation in 20X0-20X1. As per the company's policy, the employees are given 35 days of privilege leaves (PL), 15 days of sick leaves (SL) and 10 days of casual leaves. Out of the total PL and sick leaves, 10 PL leaves and 5 sick leaves can be carried forward to next year. On the basis of past trends, it has been noted that 200 employees will take 5 days of PL and 2 days of SL and 800 employees will avail 10 days of PL and 5 days of SL.

   Also the company has been incurring profits since 20XX. It has decided in 20X0-20X1 to distribute profits to its employees @ 4% during the year. However, due to the employee turnover in the organisation, the expected pay-out of the Cisca Pvt. Ltd. is expected to be around 3.5%. The profits earned during 20X0-20X1 is ₹ 2,000 crores.

   Cisca Pvt. Ltd. has a post-employment benefit plan also available which is in the nature of defined contribution plan where contribution to the fund amounts to ₹ 100 crores which will fall due within 12 months from the end of accounting period.

   The company has paid ₹ 20 crores to its employees in 20X0-20X1. State what would be the treatment of the short-term compensating absences, profit-sharing plan and the defined contribution plan in the books of Cisca Pvt. Ltd. Also state what would be the treatment, if the contribution paid from defined contribution plan exceeds the contribution due. Further, determine what would be the accounting if the payment from defined contribution plan does not fall due within 12 months from the end of accounting period.

Solution — ICAI

5. (i) Cisca Pvt. Ltd. will recognise a liability in its books to the extent of 5 days of PL for 200 employees and 10 days of PL for remaining 800 employees and 2 days of SL for 200 employees and 5 days of SL for remaining 800 employees in its books as an unused entitlement that has accumulated in 20X0-20X1 as short-term compensated absences.

(ii) Cisca Pvt. Ltd. will recognise ₹ 70 crores (2,000 x 3.5%) as a liability and expense in its books of account.

(iii) When an employee has rendered service to an entity during a period, the entity shall recognise the contribution payable to a defined contribution plan in exchange for that service.

Under Ind AS 19, the amount of ₹ 80 crores will be recognised as a liability (accrued expense), after deducting any contribution already paid (100-20) and an expense in the statement of profit and loss. However, if the contribution already paid would have exceeded the contribution due for service before the end of the reporting period, an entity shall recognise that excess as an asset (prepaid expense).

Since the contributions are payable within 12 months from the end of the year in which the employees render the related service, they will not be discounted. However, where contributions to a defined contribution plan do not fall due wholly within twelve months after the end of the period in which the employees render the related service, they shall be discounted using the discount rate.

Q33 · SM Ind AS 19 · Test Your Knowledge Q6

6. OPQ Ltd is a listed company having its corporate office at Nagpur. The company has a branch office at Chennai. The company has been operating in Indian market for the last 10 years.

The company operates a pension plan that provides a pension of 2.5% of the final salary for each year of service. The benefits become vested after seven years of service.

On 1st April, 20X8, the company increased the pension to 3% of the final salary for each year of service starting from 1st April, 20X1. On the date of the improvement, the present value of the additional benefits for service from 1st April, 20X1 to 1st April 20X8 was as follows:

- Employees with more than seven years' service on 1st January 20X8 – ₹ 2,75,000
- Employees with less than 7 years of service – ₹ 2,21,000 (average 4 years to go).

Provide the accounting treatment in this case.

Solution — ICAI

6. OPQ Ltd increased the pension to 3% of the final salary for each year of service starting from 1st April, 20X1 to 1st April, 20X8.

The company would recognize the total amount of ₹ 4,96,000 (i.e. ₹ 2,75,000 + ₹ 2,21,000) immediately, as for the purpose of recognition it does not make any difference as to whether the benefits are already vested or not.

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ICAI Practice Questions

Q34 · ICAI Practice Questions · Ind AS 19 Q1

1. SA Pvt Ltd is engaged in the business of retail having 100 retail outlets across Northern and Southern India. The company's head office is located at Chennai.

   SA Pvt Ltd is a subsidiary of SAG Ltd. SAG Ltd is listed on the National Stock Exchange in India.

   Following information is available for SA Pvt Ltd:

   Plan Assets

   At 1st April, 20X1, the fair value of plan assets was ₹ 10,000.

   Contribution to the plan assets done on 31st March, 20X2 – ₹ 3,000

   Amount paid on 31st March, 20X2 – ₹ 300

   At 31st March, 20X2, the fair value of plan assets was ₹ 14,700

   Actual return on plan assets – ₹ 2,000

   Defined Benefit Obligation

   At 1st April, 20X1, present value of the defined benefit obligation was ₹ 12,000.

   At 31st March, 20X2, present value of the defined benefit obligation was ₹ 15,500.

   Actuarial losses on the obligation for the year ended 31st March, 20X2 were ₹ 100.

   Current Service Cost – ₹ 2,500

   Benefit paid – ₹ 300

   Discount rate used to calculate defined benefit liability - 10%.

   Suggest if there is any amount based on the above-mentioned information that would be taken to other comprehensive income (with workings). Also compute net interest on the net defined benefit liability (asset).

Solution — ICAI

1. As per Ind AS 19, net remeasurement of ₹ 900 would be recognized in other comprehensive income.

Computation of Net remeasurement

= Remeasurement – Actuarial loss

= ₹ 1000 (Refer WN - 1) – ₹ 100 (Given in the question) = ₹ 900.

Computation of net interest expense

Particulars	Amount in ₹
Defined benefit liability as at 1st April 20X1 **(A) (Given in the question)**	12,000
Fair value of plan asset as at 1st April 20X1 **(B) (Given in the question)**	(10,000)
Net defined benefit liability **(A - B)**	2,000
Net interest expense (as it is net liability) (Refer note given below)	200

Note:

Net interest expense would be computed on net defined benefit liability using discount rate of 10% given in the question-

= Net defined benefit liability x Discount rate

= 2,000 x 10%

= ₹ 200.

Working Note:

Computation of amount of remeasurement

Particulars	₹
Actual return on plan asset for the year ended 31st March 20X2 **(C) (Given in the question)**	2,000
Less: Interest income on ₹ 10,000 held for 12 months at 10% **(D)**	(1,000)
Remeasurement **(E = C - D)**	1,000

Q35 · ICAI Practice Questions · Ind AS 19 Q2

2. A Ltd. prepares its financial statements to 31st March each year. It operates a defined retirement benefits plan on behalf of current and former employees. A Ltd. receives advice from actuaries regarding contribution levels and overall liabilities of the plan to pay

benefits. On 1st April, 20X1, the actuaries advised that the present value of the defined benefit obligation was ₹ 6,00,00,000. On the same date, the fair value of the assets of the defined benefit plan was ₹ 5,20,00,000. On 1st April, 20X1, the annual market yield on government bonds was 5%. During the year ended 31st March, 20X2, A Ltd. made contributions of ₹ 70,00,000 into the plan and the plan paid out benefits of ₹ 42,00,000 to retired members. Both these payments were made on 31st March, 20X2.

The actuaries advised that the current service cost for the year ended 31st March, 20X2 was ₹ 62,00,000. On 28th February, 20X2, the rules of the plan were amended with retrospective effect. These amendments meant that the present value of the defined benefit obligation was increased by ₹ 15,00,000 from that date.

During the year ended 31st March, 20X2, A Ltd. was in negotiation with employee representatives regarding planned redundancies. The negotiations were completed shortly before the year end and redundancy packages were agreed. The impact of these redundancies was to reduce the present value of the defined benefit obligation by ₹ 80,00,000. Before 31st March, 20X2, A Ltd. made payments of ₹ 75,00,000 to the employees affected by the redundancies in compensation for the curtailment of their benefits. These payments were made out of the assets of the retirement benefits plan.

On 31st March, 20X2, the actuaries advised that the present value of the defined benefit obligation was ₹ 6,80,00,000. On the same date, the fair value of the assets of the defined benefit plan were ₹ 5,60,00,000.

Examine and present how the above event would be reported in the financial statements of A Ltd. for the year ended 31st March, 20X2 as per Ind AS. Finance cost is to be computed on the opening balances.

Solution — ICAI

2. All figures are ₹ in '000.

On 31st March, 20X2, A Ltd. will report a net pension liability in the statement of financial position. The amount of the liability will be 12,000 (68,000 – 56,000).

For the year ended 31st March, 20X2, A Ltd. will report the current service cost as an operating cost in the statement of profit or loss. The amount reported will be 6,200. The same treatment applies to the past service cost of 1,500.

For the year ended 31st March, 20X2, A Ltd. will report a finance cost in profit or loss based on the net pension liability at the start of the year of 8,000 (60,000 – 52,000). The amount of the finance cost will be 400 (8,000 x 5%).

The redundancy programme represents the partial settlement of the curtailment of a defined benefit obligation. The gain on settlement of 500 (8,000 – 7,500) will be reported in the statement of profit or loss.

Other movements in the net pension liability will be reported as remeasurement gains or losses in other comprehensive income.

For the year ended 31st March, 20X2, the remeasurement loss will be 3,400 (Refer W. N.).

Working Note:

Remeasurement of gain or loss

	₹ in '000
Liability at the start of the year (60,000 – 52,000)	8,000
Current service cost	6,200
Past service cost	1,500
Net finance cost	400
Gain on settlement	(500)
Contributions to plan	(7,000)
Remeasurement loss (balancing figure)	3,400
Liability at the end of the year (68,000 – 56,000)	12,000

Q36 · ICAI Practice Questions · Ind AS 19 Q3

3. On 1st April 20X1, the fair value of the assets of XYZ Ltd.'s defined benefit plan were valued at ₹ 20,40,000 and the present value of the defined obligation was ₹ 21,25,000. On 31st March,20X2 the plan received contributions from XYZ Ltd amounting to ₹ 4,25,000 and paid out benefits of ₹ 2,55,000. The current service cost for the financial year ending 31st March 20X2 is ₹ 5,10,000. An interest rate of 5% is to be applied to the plan assets and obligations. The fair value of the plan assets at 31st March 20X2 was ₹ 23,80,000, and the present value of the defined benefit obligation was ₹ 27,20,000.

   Provide a reconciliation from the opening balance to the closing balance for plan assets and defined benefit obligation. Also show how much amount should be recognised in the statement of profit and loss, other comprehensive income and balance sheet?

Solution — ICAI

3. **Reconciliation of Plan assets and Defined benefit obligation**

	Plan Assets ₹	Defined benefit obligation ₹
Fair value/present value as at 1st April 20X1	20,40,000	21,25,000
Interest @ 5%	1,02,000	1,06,250
Current service cost		5,10,000
Contributions received	4,25,000	-
Benefits paid	(2,55,000)	(2,55,000)
Return on plan assets (gain) (assets) (balancing figure)	68,000	-
Actuarial Loss (balancing figure)	-	2,33,750
Closing balance as at 31st March, 20X2	23,80,000	27,20,000

In the Statement of Profit and loss, the following will be recognised:	₹
Current service cost	5,10,000
Net interest on net defined liability (₹ 1,06,250 – ₹ 1,02,000)	4,250
Defined benefit re-measurements recognised in Other Comprehensive Income:	₹
Loss on defined benefit obligation	(2,33,750)
Gain on plan assets	68,000
	(1,65,750)
In the Balance sheet, the following will be recognised:	₹
Net defined benefit liability (₹ 27,20,000 – ₹ 23,80,000)	3,40,000

Q37 · ICAI Practice Questions · Ind AS 19 Q4

4. At 1st April, 20X0, the fair value of the Plan Assets was ₹ 10,00,000. The Plan paid benefits of ₹ 1,90,000 and received contributions of ₹ 4,90,000 on 30th September, 20X0. The company computes the Fair Value of Plan Assets to be ₹ 15,00,000 as on 31st March, 20X1 and the Present Value of the Defined Benefit Obligation amount to ₹ 14,79,200 on the same date. Actuarial losses on defined benefit obligation were ₹ 6,000.

Compounding happens half-yearly. The normal interest rate for 6 months period is 10%, while the effective interest rate for 12 months period is based on the following data:

At 1st April, 20X0, the company made the following estimates based on market prices at that date:

Particulars	%
Interest and Dividend Income, after tax payable by the fund	9.25
Add: Realized and Unrealized Gains on Plan Assets (after tax)	2.00
Less: Administration Costs	(1.00)
Expected Rate of Return	10.25

Determine actual return and expected return on plan asset. Also compute amount to be recognized in 'Other Comprehensive Income' in this case.

Solution — ICAI

4. **Computation of Expected Return on Plan Assets**

Particulars	₹
Return on ₹ 10,00,000 for 20X0-20X1 at 10.25%= ₹ 10,00,000 x 10.25%	1,02,500
Add: Return on ₹ 3,00,000 for 6 months at 10% Normal Rate = [3,00,000 (Inflow ₹ 4,90,000 less Payments ₹ 1,90,000) x 10% x 6/12)]	15,000
Expected Return on Plan Assets	**1,17,500**

Computation of Actual Return on Plan Assets

Particulars	₹
Fair Value of Plan Assets at the year-end – 31 March 20X1	15,00,000
Less: Fair Value of Plan Assets at the beginning – 1 April 20X0	(10,00,000)
Less: Contributions received during the year 20X0-20X1	(4,90,000)
Add: Benefits paid during the year 20X0-20X1	1,90,000
Actual Return on Plan Assets	**2,00,000**

Computation of Net Actuarial Gain

Particulars	₹
Actual Return on Plan Assets	2,00,000
Less: Expected Return on Plan Assets	(1,17,500)
Actuarial Gain on Plan Assets	82,500
Less: Actuarial Loss on Defined Benefit Obligation (given)	(6,000)
Net Actuarial Gain to be recognized in 'OCI'	**76,500**

Q38 · ICAI Practice Questions · Ind AS 19 Q5

5. From the following particulars, compute the net defined benefit liability and expense to be recognized in Profit and Loss account. **(₹ in lakhs)**

Particulars	Defined benefit obligation		Plan Assets	
	31st Dec. 20X2	31st Dec. 20X1	31st Dec. 20X2	31st Dec. 20X1
Balance at the beginning of the year	63.25	47.08	21.80	14.65
Current service cost	5.84	4.97	-	-
Interest cost	4.27	3.56	-	-
Changes in demographic assumptions	0.62	1.86	-	-
Changes in financial assumptions	3.58	1.93	-	-
Experience variance	(2.49)	4.46	-	-
Benefits paid	-	(0.61)	-	(0.61)
Investment income	-	-	1.47	1.12
Employers' contribution	-	-	8.00	7.00
Return on plan assets	-	-	2.12	(0.35)

Solution — ICAI

5. Computation of defined benefit liability and expenses to be charged to Statement of Profit and Loss:

	Defined benefit obligation (₹ in lakhs)		Plan Assets (₹ in lakhs)	
	31st Dec 20X2	31st Dec 20X1	31st Dec 20X2	31st Dec 20X1
Balance at the beginning of year	63.25	47.08	21.80*	14.65
Current service cost	5.84	4.97	-	-
Interest cost	4.27	3.56	-	-
Changes in demographic assumptions	0.62	1.86	-	-
Changes in financial assumptions	3.58	1.93	-	-
Experience variance	(2.49)	4.46	-	-
Benefits paid	-	(0.61)	-	(0.61)
Investment income	-	-	1.47	1.12
Employers' contribution	-	-	8.00	7.00
Return on plan assets	-	-	2.12	(0.35)
Balance at the end of year	75.07	63.25	33.39	21.81*

*Difference is due to approximation.

In the BALANCE SHEET, the following will be recognised:

Net defined liability to be recognised for the period ending 31st December, 20X1:

= ₹ 41.44 lakhs (₹ 63.25 lakhs - ₹ 21.81 lakhs)

Net defined liability to be recognised for the period ending 31st December, 20X2:

= ₹ 41.68 lakhs (₹ 75.07 lakhs - ₹ 33.39 lakhs)

In the STATEMENT OF PROFIT AND LOSS, the following will be recognised:

	Defined benefit obligation (₹ in lakhs)		Plan Assets (₹ in lakhs)	
	31st Dec., 20X2	31st Dec., 20X1	31st Dec., 20X2	31st Dec., 20X1
Current service cost	5.84	4.97	-	-
Interest cost	4.27	3.56	-	-
Investment income	-	-	(1.47)	(1.12)
Total	10.11	8.53	(1.47)	(1.12)

Expense to be recognised in the Statement of Profit and Loss for the period ending 31st December, 20X1 = ₹ 7.41 lakhs (₹ 8.53 lakhs - ₹ 1.12 lakhs)

Expense to be recognised in the Statement of Profit and Loss for the period ending 31st December, 20X2 = ₹ 8.64 lakhs (₹ 10.11 lakhs - ₹ 1.47 lakhs).

Q39 · ICAI Practice Questions · Ind AS 19 Q6

6. Arunachalam Ltd. operates a Defined Retirement Benefits Plan for its current and former employees. Given the large size of the company, it engaged a firm of Actuaries for advice on the Contribution Levels and overall Liabilities of the Plan to pay benefits. Following details are given:

   (a) On 1st April, 20X1, the actuarial valuation of the present value of the defined benefit obligation was ₹ 15 crores. On the same date, the fair value of the assets of the Defined Benefit Plan was ₹ 13 crores. On 1st April, 20X1, the annual market yield based on Government Bonds was 5%.

   (b) During the year ended 31st March, 20X2, Arunachalam made contributions of ₹ 1.75 crore into the Plan and the Plan paid out benefits of ₹ 1.05 crore to retired members. Assume that both these payments were made on 31st March, 20X2.

   (c) The Actuarial Firm estimated that the current service cost for the year ended 31st March, 20X2 would be ₹ 1.55 crores. On 28th February, 20X2, the rules of the Plan were amended with retrospective effect which led to an increase in the present value of the defined benefit obligation by ₹ 37.5 lakhs from that date.

   (d) During the year ended 31st March, 20X2, Arunachalam was in negotiation with employee representatives regarding planned redundancies. These negotiations were completed shortly before the year end and the redundancy packages were agreed. The impact of these redundancies was to reduce the present value of the defined benefit obligation by ₹ 2 crores. Before 31st March, 20X2, Arunachalam made payments of ₹ 1.875 crores to the employees affected by the redundancies in compensation for a curtailment of their benefits. These payments were made from the assets of the Retirement Benefits Plan.

   (e) On 31st March, 20X2, the present value of the defined benefit obligation was ₹ 17 crores and the fair value of the assets of the Defined Benefit Plan was ₹ 14 crores.

   Discuss how the above will be accounted for in the books of Arunachalam Ltd. for the year 20X1-20X2. Also give the extracts of financial statements affected due to the above transactions.

Solution — ICAI

6. 1. Extract of Balance Sheet (Net Amount in the Balance Sheet) **(₹ in lakhs)**

	31.3.20X2	1.4.20X1
PV of Defined Benefit Obligation (given)	(1,700.00)	(1,500.00)
FV of Plan Assets (given)	1,400.00	1,300.00
Net Defined Benefit Liability (under Long-term Provision)	**(300.00)**	**(200.00)**

2. Extract of Statement of Profit and Loss

	(₹ in lakhs)
Current service cost (given)	155.00
Past service cost (given)	37.50
Gain on settlement (₹ 200 lakhs – ₹ 187.50 lakhs)	(12.50)
Net interest on net defined benefit liability [₹ 75 lakhs-₹ 65 lakhs]	10.00
Total to Statement of Profit and Loss	**190.00**

3. Extract of Other Comprehensive Income (Remeasurements)

	(₹ in lakhs)
Actuarial loss on defined benefit obligation (W.N.1)	(237.50)
Return on plan assets other than expected return (W.N.2)	152.50
Total	**(85.00)**

Working Notes:

1. Defined Benefit Obligation Account

Particulars	₹ in lakhs	Particulars	₹ in lakhs
To Plan Assets (benefits paid)	105.00	By Balance b/f (given) [balance as on 1.4.20X1]	1,500.00
To Curtailment and Settlement	200.00	By Current Service Cost	155.00
		By Interest Cost [5% on Opening balance]	75.00
		By Past service cost	37.50
To Balance c/d (given) [balance as on 31.3.20X2]	1,700.00	By Actuarial Loss **(balancing figure)**	237.50
	2,005.00		**2,005.00**

2. Plan Assets Account

Particulars	₹ in lakhs	Particulars	₹ in lakhs
To Balance b/f (given) [balance as on 1.4.20X1]	1,300.00	By Defined Benefit Obligation [benefits paid]	105.00
To Expected Return [5% on Opening balance]	65.00	By Payments on curtailment and settlement	187.50
To Bank (contributions paid)	175.00	By Balance c/d (given) [balance as on 31.3.20X2]	1,400.00
To Actuarial Gain **(balancing figure)**	152.50		
	1,692.50		**1,692.50**

The above Defined Benefit Obligation Account and Plan Assets Account can alternatively be presented in a statement form as follows:

Defined Benefit Obligation		Plan Assets	
Particulars	**₹ in lakhs**	**Particulars**	**₹ in lakhs**
PV of Obligation b/f.	1,500.00	FV of Plan Assets b/f.	1,300.00
Interest Cost [₹ 1,500 x 5%]	75.00	Interest Income [₹ 1,300 x 5%]	65.00
Current Service Cost	155.00	Contribution during 20X1-20X2	175.00
Benefits paid during 20X1-20X2	(105.00)	Benefits paid during 20X1-20X2	(105.00)
Plan Curtailment and Settlement	(200.00)	Payment towards settlement	(187.50)
Past Service Cost	37.50		
Remeasurement Loss **(balancing figure)**	237.50	Remeasurement Gain **(balancing figure)**	152.50
PV of Obligation c/f.	**1,700.00**	FV of Plan Assets c/f.	**1,400.00**

33 Ind AS 33 Earnings per Share

SM Ch 8 Unit 2 · every paper: Sep 2025 6 marks, Jan 2026 MCQ, May 2026 MCQ

Point	Rule (SM)
Scope	Entities with ordinary shares traded or being issued publicly; in CFS, EPS on parent's profit. Present basic and diluted EPS (continuing and total) on the face of P&L, equal prominence, even if negative.
Basic — numerator	Profit attributable to ordinary equity holders of the parent − preference dividends: **cumulative** → the year's dividend whether declared or not; non-cumulative → only declared. Premium on buy-back of preference shares above carrying amount → deduct (Example 5); discount → add. Increasing-rate preference shares: amortise discount (Illus 1: deduct 1,00,000 in year 3).
Basic — denominator	**Weighted average** shares outstanding (time-weighted from date consideration is receivable). Partly paid → fraction to the extent entitled to dividend (Illus 17: 1.75/2.50 → 70,000). Contingently issuable → when conditions satisfied. Shares issued in business combination → from acquisition date. Treasury shares excluded.
Bonus / split / consolidation	No new resources → adjust shares as if from the beginning of the earliest period presented; restate prior-year EPS (Illus 4: 10 paise × 4,000/5,000 = **8 paise**; Illus 6: 35 p × 9/10 = 31.5 p). Two-for-one bonus → multiply by three (Example 7).
Rights issue	Bonus element factor = fair value per share cum-rights ÷ **theoretical ex-rights price** (TERP = (old shares × cum price + new × rights price) ÷ total shares). Apply factor to shares before the issue (TYK 1: TERP 0.9833 → 1,154,237 shares; TYK 4: 20X1 EPS 2.54).
Diluted — numerator	Add back post-tax effect of dividends, interest and other changes from converting dilutive potential shares (interest × (1 − tax)).
Diluted — denominator	+ potential shares from the start of the year (or issue date). **Options/warrants (treasury stock method):** only the "free" shares = shares issued − shares that the exercise proceeds would buy at **average market price**; dilutive only if exercise price < average price (TYK 3: 2,00,000 − 1,50,000 = **50,000** free). **Convertibles** → full number of shares, add back interest net of tax. **Mandatorily convertible** → included in basic from issue (Jan 2026 MCQ). Contingently issuable → if conditions would be met at year-end.
Anti-dilution	Include only if it reduces EPS (or increases loss per share) from **continuing operations**; test in order of most dilutive first (earnings per incremental share). Loss from continuing operations → potential shares anti-dilutive (Illus 13).
Other	Retrospective adjustment for bonus after year-end before approval. Participating preference / two classes → two-class method (Illus 15: 7.20 and 6.40 per share). Subsidiary's convertibles in group diluted EPS (TYK 5).

ICAI ·

Illus 8: 1,000 bonds × 20 shares = 20,000; interest 10,000 less tax → 7,900 → diluted EPS (5,00,000 + 7,900) / 10,20,000 = **0.498**. **May 2026 MCQ:** 2,000 × ₹ 100 10% bonds, each into 20 shares, 25% tax → ICAI key **2.25**. **TYK 2:** converted bonds and remaining bonds → diluted EPS 0.181. **Illus 5:** issue, bonus 1:3, further issue → weighted 1,576,389 shares.

Ind AS 33 Earnings per Share — ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

2.4 Definitions

Q40 · SM Ind AS 33 · Example 1

Example 1

ABC & Co has issued preference shares with the option to convert these into an equal number of ordinary shares in 2 years' time. They represent potential ordinary shares, even though it is not certain whether the preference shareholders will convert them into equity shares (since it will depend on the prices of each class of shares at that time). If the price of the ordinary share is higher than that of the preference shares, the holders will convert, and will make a profit. If the price is lower, they will not.

3. ***Options, warrants and their equivalents*** are financial instruments that give the holder the right to purchase ordinary shares.

4. ***Put options*** on ordinary shares are contracts that give the holder the right to sell ordinary shares at a specified price for a given period.

5. ***Dilution*** is a reduction in earnings per share or an increase in loss per share resulting from the assumption that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of specified conditions.

6. ***Antidilution*** is an increase in earnings per share or a reduction in loss per share resulting from the assumption that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of specified conditions.

ICAI example — facts and ICAI's analysis are printed together.

Q41 · SM Ind AS 33 · Example 2

Example 2

ABC Ltd. has interest paying debt which are convertible into ordinary shares at the option of the entity. On conversion, ABC Ltd. will save on the interest costs and in return will have to issue additional shares. In case the EPS of ABC Ltd. increases on conversion, the convertible debt would be considered as anti-dilutive. However, if the conversion will decrease the EPS, it would be considered as dilutive.

7. ***A contingent share agreement*** is an agreement to issue shares that is dependent on the satisfaction of specified conditions.

ICAI example — facts and ICAI's analysis are printed together.

Q42 · SM Ind AS 33 · Example 3

Example 3

ABC Ltd. has provided share options to its employees under a ESOP scheme. As per the scheme, the employees have to provide 3 years' services to the company for being eligible to share options at a discounted price. This is a contingent share agreement.

8. ***Contingently issuable ordinary shares*** are ordinary shares issuable for little or no cash or other consideration upon the satisfaction of specified conditions in a contingent share agreement.

ICAI example — facts and ICAI's analysis are printed together.

Q43 · SM Ind AS 33 · Example 4

Example 4

ABC Ltd. acquires XYZ Ltd.'s business in exchange for ABC Ltd.'s shares. If the share price falls by more than 25% within 6 months of the business combination, ABC Ltd. will issue more shares (for free) to XYZ Ltd., as a compensation.

ICAI example — facts and ICAI's analysis are printed together.

2.6 Measurement Of Basic Earnings Per Share

Q44 · SM Ind AS 33 · Example 5

Example 5

ABC Ltd. had issued preference shares at ₹ 100 each 10 years ago. Now ABC Ltd. buys back the shares for ₹ 120 each. ₹ 20 premium for each share is charged to retained earnings. No amount is recorded in the statement of profit and loss for this transaction. However, for EPS purposes, ₹20 for each share is charged to the statement of profit or loss for the period of the transaction.

ICAI example — facts and ICAI's analysis are printed together.

Q45 · SM Ind AS 33 · Illustration 1

Illustration 1

ABC Ltd. issues 9% preference shares of fair value of ₹ 10 each on 1.4.20X1. Total value of the issue is ₹ 10,00,000. The shares are issued for a period of 5 years and would be redeemed at the end of 5th year. The shares are to be redeemed at ₹ 11 each.

At the end of the year 3, i.e. on 31.3.20X4, company finds that it has earned good returns than expected over last three years and can make the redemption of preference shares early. To compensate the shareholders for two years of dividend which they need to forego, company decided to redeem the shares at ₹ 12 each instead of original agreement of ₹ 11. Comment on the impact of early conversion of preference shares at a premium on earnings for the year 20X3-20X4 attributable to ordinary equity holders of ABC Ltd. for basic EPS.

Ignore the applicability of the standards on Financial Instruments (i.e., ignore EIR; further, the additional payment to be made can be met from Securities Premium/Reserves as Premium on Redemption) and answer on the basis of Ind AS 33 only.

Solution — ICAI

Solution

In the given situation, ₹ 1 per share is the excess payment made by the company amounting to ₹ 1,00,000 in all. The amount of ₹ 1,00,000 will be deducted from the earnings of the year 20X3-20X4 while calculating the basic EPS of year 20X3-20X4.

Q46 · SM Ind AS 33 · Illustration 2

Illustration 2

An entity has following preference shares in issue at the end of 20X4:

- *5% redeemable, non-cumulative preference shares: These shares are classified as liabilities. During the year, an amount of ₹ 1,00,000 (computed using the coupon rate of 5% - ₹ 20,00,000 x 5%) was paid to the preference shareholders*
- *Increasing-rate, cumulative, non-redeemable preference shares issued at a discount in 20X0, with a cumulative dividend rate from 20X5 of 10%: The shares were issued at a discount to compensate the holders, because dividend payments will not commence until 20X5. The accrual for the discount in the current year, calculated using the effective interest method amounted to, say, ₹ 18,000. These shares are classified as equity – ₹ 200,000.*
- *8% non-redeemable, non-cumulative preference shares: At the beginning of the year, the entity had ₹ 100,000 8% preference shares outstanding but, at 30 June 20X4, it repurchased ₹ 50,000 of these at a discount of ₹ 1,000 – ₹ 50,000.*
- *7% cumulative, convertible preference shares (converted in the year): These shares were classified as equity, until their conversion into ordinary shares at the beginning of the year. No dividend was accrued in respect of the year, although the previous year's dividend was paid immediately prior to conversion. To induce conversion, the terms of conversion of the 7% convertible preference shares were also amended, and the revised terms entitled the preference shareholders to an additional 100 ordinary shares on conversion with a fair value of ₹ 300 – Nil.*

The profit after tax for the year 20X4 is ₹ 150,000.

Determine the adjustments for the purpose of calculating EPS.

Solution — ICAI

Solution

Adjustments for the purpose of calculating EPS are made as follows:

Particulars	Amount (₹)	Amount (₹)
Profit after tax		150,000
Amortisation of discount on issue of increasing-rate preference shares (Refer Note 1)	(18,000)	
Discount on repurchase of 8% preference shares (Refer Note 2)	1,000	
Premium to induce Conversion	(30,000)	(47,000)
Profit attributable to ordinary equity holders for basic EPS (Refer Note 3-5)		1,03,000

Notes:

1. The original discount on issue of the increasing-rate preference shares is treated as amortised to retained earnings and treated as preference dividends for EPS purposes and adjusted against profit attributable to the ordinary equity holders. There is no adjustment in respect of dividend, because these do not commence until 20X5. Instead, the finance cost is represented by the amortisation of the discount in the dividend-free period. In future years, the accrual for the dividend of ₹ 20,000 will be deducted from profits.
2. The discount on repurchase of the 8% preference shares has been credited to equity so should be added to profit.
3. The dividend on the 5% preference shares has been charged to the income statement, because the preference shares are treated as liabilities, so no adjustment is required for it from the profit.
4. No accrual for the dividend on the 8% preference shares is required, because they are non-cumulative. If a dividend had been declared for the year, it would have been deducted from profit for the purpose of calculating basic EPS, because the shares are treated as equity and the dividend would have been charged to equity in the financial statements.
5. The 7% preference shares are convertible and hence correctly classified as equity. Accordingly, the additional amount paid (100 additional shares x fair value ₹ 300 per share = ₹ 30,000) to induce conversion would be taken to Equity Share Capital and Retained Earnings or Securities Premium, as the case may be (transaction with 'owners'). Therefore, this excess amount paid would require to be deducted from the Net Profit to arrive at Net Profit attributable to Equity Shareholders.
6. It may be noted that as per Sections 53 and 55 of the Companies Act, 2013, a company cannot issue shares at discount or any irredeemable preference shares. However, the above illustration has been given only to explain the concept given in Ind AS.

Q47 · SM Ind AS 33 · Illustration 3

Illustration 3

Following is the data for company XYZ in respect of number of equity shares during the financial year 20X1-20X2. Find out the number of shares for the purpose of calculation of basic EPS as per Ind AS 33.

S. No.	Date	Particulars	No of shares
1	1-Apr-20X1	Opening balance of outstanding equity shares	100,000
2	15-Jun-20X1	Issue of equity shares	75,000
3	8-Nov-20X1	Conversion of convertible preference shares in Equity	50,000
4	22-Feb-20X2	Buy back of shares	(20,000)
5	31-Mar-20X2	Closing balance of outstanding equity shares	205,000

Solution — ICAI

Solution

The closing balance of the outstanding shares is 2,05,000 by a normal addition and subtraction. But as per weighted average concept, one need to find out for how many days each type of shares was actually held during the year.

The shares which were there on 1st April 20X1, were held for the whole year. Therefore, weighted average number of such shares will be given by the formula:

No of shares x no of days the shares were held during the year / 365

= 1,00,000 x 365 / 365 = 1,00,000

But the shares which were issued on 15th June 20X1, were held for only 290 days. Therefore, the weighted average number of shares will be 75,000 x 290 / 365 = 59,589.

Following the above formula, the weighted average number of shares for calculation of EPS for the year 20X1-20X2 will be as follows:

Sr. No.	Date	Particulars	No of shares	No of days shares were outstanding	Weighted average no of shares
1	1-Apr-20X1	Opening balance of outstanding equity shares	1,00,000	365	1,00,000
2	15-Jun-20X1	Issue of equity shares	75,000	290	59,589
3	8-Nov-20X1	Conversion of convertible preference shares in Equity	50,000	144	19,726
4	22-Feb-20X2	Buy back of shares	(20,000)	(38)*	(2,082)
5	31-Mar-20X2	Closing balance of outstanding equity shares	2,05,000		1,77,233

* These shares had already been considered in the shares issued. The same has been deducted assuming that the bought back shares have been extinguished immediately.

Q48 · SM Ind AS 33 · Example 6

Example 6

ABC Ltd. acquires a company in 20X1 for consideration paid in shares. If the profits for calendar years 20X1 and 20X2 meet budget, ABC Ltd. will issue more shares to the vendor in February 20X3. These additional shares will be included in the weighted-average calculation from 1 January 20X3 (considering reporting date as December end), if the targets are met.

ICAI example — facts and ICAI's analysis are printed together.

Q49 · SM Ind AS 33 · Example 7

Example 7

On a two-for-one bonus issue, the number of ordinary shares outstanding before the issue is multiplied by three to obtain the new total number of ordinary shares, or by two to obtain the number of additional ordinary shares.

- We have seen above that for calculation of weighted average number of shares, the date of issue/contract etc. is very important. However, in case of bonus shares where the number of shares change without the change in the resources, the date will be considered from the beginning of the earliest period presented, irrespective of the fact of the date of actual capitalisation of the reserves.

ICAI example — facts and ICAI's analysis are printed together.

Q50 · SM Ind AS 33 · Illustration 4

Illustration 4

On 31 March, 20X2, the issued share capital of a company consisted of ₹ 100,000,000 in ordinary shares of ₹ 25 each and ₹ 500,000 in 10% cumulative non-redeemable preference shares (classified as equity) of Re 1 each. On 1 October, 20X2, the company issued 1,000,000 ordinary shares fully paid by way of capitalisation of reserves in the proportion 1:4 for the year ended 31 March, 20X3.

Profit for 20X1-20X2 and 20X2-20X3 is ₹ 450,000 and ₹ 550,000 respectively.

Calculate the basic EPS for 20X1-20X2 and 20X2-20X3.

Solution — ICAI

Solution

	20X2-20X3 ₹'000	20X1-20X2 ₹'000
Calculation of earnings		
Profit for the year	550	450
Less: Preference shares dividend	(50)	(50)
Earnings (A)	500	400

	No. of shares in '000	No. of shares in '000
Number of ordinary shares		
Shares in issue for full year	4,000	4,000
Capitalisation issue at 1 October 20X2	1,000	1,000
Number of shares (B)	5,000	5,000
Earnings per ordinary share (A/B)	10 Paise	8 Paise*

*The comparative EPS for 20X1-20X2 can alternatively be calculated by adjusting the previously disclosed EPS in 20X1-20X2 (in this example, 10 Paise) by the following factor:

Number of shares before the bonus issue/ Number of shares after the bonus issue

*Adjusted EPS for 20X1-20X2 10 Paise x (4,000/ 5,000) = 8 Paise

QS1 · SM Ind AS 33 · Illustration 5

Illustration 5

X Ltd.

1 January	*1,000,000 shares in issue*
28 February	*Issued 200,000 shares at fair value*
31 August	*Bonus issue 1 share for 3 shares held*
30 November	*Issued 250,000 shares at fair value*

Calculate the number of shares which would be used in the basic EPS calculation. Consider reporting date as December end.

Solution — ICAI

Solution

Period	Calculations	Weighted average number of shares
1 January - 28 February	1,000,000 × 2 / 12 × 4 / 3	222,222
1 March - 31 August	1,200,000 × 6 / 12 × 4 / 3	800,000
1 September - 30 November	1,600,000 × 3 / 12	400,000
1 December - 31 December	1,850,000 × 1 / 12	154,167
		1,576,389

QS2 · SM Ind AS 33 · Illustration 6

Illustration 6

At 31 December 20X1, the issued share capital of a company consisted of 1.8 million ordinary shares of ₹ 10 each, fully paid. The profits for the year ended 31 December 20X1 and 20X2 amounted to ₹ 630,000 and ₹ 875,000 respectively. On 31 March 20X2, the company made a rights issue on a 1 for 4 basis at ₹ 30. The market price of the shares immediately before the rights issue was ₹ 60.

Calculate EPS.

Solution — ICAI

Solution

Calculation of theoretical ex rights price:

	Number of shares		₹
Initial holding	4	Market Value (4 x 60)	240
Rights taken up	1	Cost (1 x 30)	30
New holding	**5**	**Theoretical price**	**270**

Theoretical ex rights price = 270/5 = ₹ 54

Calculation of bonus element

The bonus element of the rights issue is given by the fraction:

Market price before rights issue/Theoretical ex-rights price =60 / 54 = 10/9

This corresponds to a bonus issue of 1 for 9. The bonus ratio will usually be greater than 1 (that is, the market price of the shares immediately prior to the exercise of rights is greater than the theoretical ex-rights price). If the ratio is less than 1, it might indicate that the market price has fallen significantly during the rights period, which was not anticipated when the rights issue was announced. In this situation, the rights issue should be treated as an issue of shares for cash at full market price.

It can be demonstrated, using the figures in the illustration, that a rights issue of 1 for 4 at ₹ 30 is equivalent to a bonus issue of 1 for 9 combined with an issue of shares at full market price of ₹ 54 per share. Consider an individual shareholder holding 180 shares:

	Number of shares (in '000s)	Value	₹ *(in million)*
Original holding	1,800	Value at ₹60 per share	108.00
Rights shares (1:4)	450	Value at ₹30 per share	13.50
Holding after rights issue	2,250	Value at ₹54 per share	121.50

The additional 450 thousand rights shares at ₹30 can be shown to be equivalent to a bonus issue of 1 for 9 on the original holding, followed by an issue of 1:8 at full market price of ₹54 following the bonus issue, as follows:

	Number of shares (in '000s)	Value	₹ *(in million)*
Original holding	1,800	Value at ₹60 per share	108.00
Bonus issue of 1 for 9	200	Value Nil	nil
	2000	**Value at ₹ 54 per share**	**108.00**
Issue of 1 for 8 at full price (450-200)	250	Value at ₹ 54 per share	13.50
Total holding	**2250**	**Value at ₹54 per share**	**121.50**

The shareholder is therefore indifferent as to whether the entity makes a rights issue of 1 for 4 at ₹ 30 per share, or a combination of a bonus issue of 1 for 9 followed by a rights issue of 1 for 8 at full market price of ₹ 54 per share.

Having calculated the bonus ratio, the ratio should be applied to adjust the number of shares in issue before the rights issue, both for the current year and for the previous year. Therefore, the weighted average number of shares in issue for the current and the previous period, adjusted for the bonus element, would be:

Weighted average number of shares:

	20X2	20X1
No of actual shares in issue before rights	1,800,000	1,800,000
Correction for bonus issue (1:9)	200,000	200,000
Deemed no of shares in issue before right issue	2,000,000	2,000,000
(1.8 million x 10/9 for the whole year)		
The no of shares after the rights issue would be		
= 1.8 million x 5/4 = 2,250,000		
Therefore, the weighted average number of shares would be		
2.0 million for the whole year		2,000,000
1.8 million x 10/9 x 3/12 (before rights issue)	500,000	-
2.25 million x 9/12 (after rights issue)	1,687,500	-
Weighted average number	**2,187,500**	**2,000,000**
	20X2	**20X1**
Calculation of earnings		**(as previously stated)**
Profits for the year	₹ 875,000	₹ 630,000
Weighted average number	2,187,500	1,800,000
Basic EPS	**40p**	**35p**
Basic EPS for 20X1 (as restated)		₹ 630,000 / 2,000,000
		= 31.50p

In practice, the restated EPS for 20X1 can also be calculated by adjusting the EPS figure of the previous year by the reciprocal of the bonus element factor:

* 35p x 9/10 = 31.50 p

2.7 Diluted Earnings Per Share

QS3 · SM Ind AS 33 · Illustration 7

Illustration 7

Entity A has in issue 25,000 4% debentures with a nominal value of ₹ 1. The debentures are convertible to ordinary shares at a rate of 1:1 at any time until 20X9. The entity's management receives a bonus based on 1% of profit before tax.

Entity A's results for 20X2 showed a profit before tax of ₹ 80,000 and a profit after tax of ₹ 64,000 (for simplicity, a tax rate of 20% is assumed in this question).

Calculate Earnings for the purpose of diluted EPS.

Solution — ICAI

Solution

For the purpose of calculating diluted EPS, the earnings should be adjusted for the reduction in the interest charge that would occur if the debentures were converted, and for the increase in the management bonus payment that would arise from the increased profit.

	Amount (₹)
Profit after tax	64,000
Add: Reduction in interest cost (25,000 × 4%) (*Refer Note*)	1,000
Less: Tax expense (1,000 × 20%)	(200)
Less: Increase in management bonus (1,000 × 1%)	(10)
Add: Tax benefit (10 × 20%)	2
Earnings for the purpose of diluted EPS	**64,792**

Note : For simplicity, this illustration does not classify the components of the convertible debenture as liabilities and equity, as required by Ind AS 32.

QS4 · SM Ind AS 33 · Illustration 8

Illustration 8

ABC Ltd. has 1,000,000 ₹ 1 ordinary shares and 1,000 ₹ 100 10% convertible bonds (issued at par), each convertible into 20 ordinary shares on demand, all of which have been in issue for the whole of the reporting period.

ABC Ltd.'s share price is ₹ 4.50 per share and earnings for the period are ₹ 500,000. The tax rate applicable to the entity is 21%.

Calculate basic EPS, earnings per incremental share for the convertible bonds and diluted EPS.

Ignore the requirements of Financial Instruments (Ind AS 109) for the purpose of this question.

Solution — ICAI

Solution

Basic EPS is ₹ 0.50 per share (ie 500,000/1,000,000)

The earnings per incremental share for the convertible bonds is calculated as follows:

Earnings effect = No. of bonds x nominal value x interest cost x (1 – applicable tax rate)

= 1,000 x 100 x 10% x (1- 0.21) = ₹ 7,900.

Incremental shares calculation

Assume all bonds are converted to shares, even though this converts ₹ 100 worth of bonds into 20 shares worth only ₹ 90 and is therefore not economically rational.

This gives 1000 x 20 = 20,000 additional shares.

Earnings per incremental share = ₹ 7,900 / 20,000 = ₹ 0.395

Diluted EPS = (₹ 500,000 + ₹ 7,900) / (1,000,000 + 20,000)

= ₹ 0.498 per share.

QSS · SM Ind AS 33 · Illustration 9

Illustration 9

At 30 June 20X1, the issued share capital of an entity consisted of 1,500,000 ordinary shares of ₹1 each. On 1 October 20X1, the entity issued ₹1,250,000 of 8% convertible loan stock for cash at par. Each ₹100 nominal value of the loan stock may be converted, at any time during the years ended 20X6 to 20X9, into the number of ordinary shares set out below:

30 June 20X6: 135 ordinary shares;

30 June 20X7: 130 ordinary shares;

30 June 20X8: 125 ordinary shares; and

30 June 20X9: 120 ordinary shares.

If the loan stocks are not converted by 20X9, they would be redeemed at par.

The written equity conversion option is accounted for as a derivative liability and marked to market through profit or loss. The change in the options' fair value reported in 20X2 and 20X3 amounted to losses of ₹2,500 and ₹2,650 respectively. It is assumed that there are no tax consequences arising from these losses.

The profit before interest, fair value movements and taxation for the year ended 30 June 20X2 and 20X3 amounted to ₹825,000 and ₹895,000 respectively and relate wholly to continuing operations. The rate of tax for both periods is 33%.

Calculate Basic and Diluted EPS.

Solution — ICAI

Solution

	20X3	20X2
Trading results	₹	₹
A. Profit before interest, fair value movements and tax	895,000	825,000
B. Interest on 8% convertible loan stock (20X2: 9/12 × ₹100,000)	(100,000)	(75,000)
C. Change in fair value of embedded option	(2,650)	(2,500)
Profit before tax	792,350	747,500
Taxation @ 33% on (A-B)	(262,350)	(247,500)
Profit after tax	**530,000**	**500,000**
Calculation of basic EPS		
Number of equity shares outstanding	1,500,000	1,500,000
Earnings	₹ 530,000	₹ 500,000
Basic EPS	35 paise	33 paise

Calculation of diluted EPS

Test whether convertibles are dilutive:

The saving in after-tax earnings, resulting from the conversion of ₹ 100 nominal of loan stock, amounts to ₹ 100 × 8% × 67% + ₹ 2,650/12,500 = ₹ 5.36 + ₹ 0.21 = ₹ 5.57.

There will then be 135 extra shares in issue.

Therefore, the incremental EPS is 4 paise (ie. ₹ 5.57/135). As this incremental EPS is less than the basic EPS at the continuing level, it will have the effect of reducing the basic EPS of 35 paise. Hence the convertibles are dilutive.

	20X3	20X2
Adjusted earnings	₹	₹
Profit for basic EPS	530,000	500,000
Add: Interest and other charges on earnings saved as a result of the conversion	102,650 (100,000 + 2,650)	77,500 (75000+ 2500)
Less: Tax relief thereon	(33,000)	(24,750)
Adjusted earnings for equity	**599,650**	**552,750**

Adjusted number of shares

From the conversion terms, it is clear that the maximum number of shares issuable on conversion of ₹ 1,250,000 loan stock after the end of the financial year would be at the rate of 135 shares per ₹ 100 nominal (that is, 1,687,500 shares).

	20X3	20X2
Number of equity shares for basic EPS	1,500,000	1,500,000
Maximum conversion at date of issue 1,687,500 × 9/12		1,265,625
Maximum conversion after balance sheet date	1,687,500	–
Adjusted shares	**3,187,500**	**2,765,625**
Adjusted earnings for equity	₹ 599,650	₹ 552,750
Diluted EPS (approx.)	**19 paise**	**20 paise**

Note: Since Effective Interest Rate is not given, splitting of the convertible loan into liability and equity components as envisaged under Ind AS 109 cannot be done. However, since fair values of derivatives are given, the same is considered for accounting at FVTPL.

Q56 · SM Ind AS 33 · Examples 8-10

Examples 8-10

8. ABC Ltd. has issued 20 lacs shares. It has also issued 1 lac warrants convertible into shares at ₹ 45 per share. The average market price of shares during the current period was ₹ 45.

   Such shares are assumed to be fairly priced, and to be neither dilutive, nor anti-dilutive. They are ignored in the calculation of diluted earnings per share.

9. ABC Ltd. has issued 20 lacs shares. It has also issued 1 lac warrants convertible into shares at ₹ 30 per share. The average market price of shares during the current period was ₹ 37. ₹ 7 (i.e. ₹ 37 - ₹ 30) is the dilution per share of the warrants.

   Such shares generate no proceeds and have no effect on profit attributable to the ordinary shares outstanding. They are dilutive and are added to the number of shares outstanding in the calculation of diluted earnings per share.

10. In 20X1, ABC Ltd. issued some staff share options that can be exercised after 3 years' service. They are treated as outstanding on the grant date in 20X1 for diluted earnings per share purposes.

ICAI example — facts and ICAI's analysis are printed together.

Q57 · SM Ind AS 33 · Illustration 10

Illustration 10

At 31 December 20X7 and 20X8, the issued share capital of an entity consisted of 4,000,000 ordinary shares of ₹ 25 each. The entity has granted options that give holders the right to subscribe for ordinary shares between 20Y6 and 20Y9 at ₹ 70 per share. Options outstanding at 31 December 20X7 and 20X8 were 630,000. There were no grants, exercises or lapses of options during the year. The profit after tax, attributable to ordinary equity holders for the years ended 31 December 20X7 and 20X8, amounted to ₹ 500,000 and ₹ 600,000 respectively (wholly relating to continuing operations).

Average market price of share:

Year ended 31 December 20X7 = ₹ 120

Year ended 31 December 20X8 = ₹ 160

Calculate basic and diluted EPS.

Solution — ICAI

Solution

	20X8	20X7
Calculation of basic EPS		
Profit after tax	₹ 600,000	₹ 500,000
Number of share	4,000,000	4,000,000
Basic EPS (approx.)	15 paise	13 paise.
Calculation of diluted EPS		
Adjusted number of shares		
Number of shares under option:		
Issued at full market price:		
(630,000 × 70) ÷ 120		367,500
(630,000 × 70) ÷ 160	275,625	
Issued at nil consideration — dilutive	354,375	262,500
Total number of shares under option	630,000	630,000
Number of equity shares for basic EPS	4,000,000	4,000,000
Number of dilutive shares under option	354,375	262,500
Adjusted number of shares (A)	4,354,375	4,262,500
Profit after tax (B)	₹ 600,000	₹ 500,000
Diluted EPS (B/A)	14 paise	12 paise

Note: *If options had been granted or exercised during the period, the number of 'nil consideration' shares in respect of these options would be included in the diluted EPS calculation on a weighted average basis for the period prior to exercise.*

QS8 · SM Ind AS 33 · Illustration 11- Effects of share options on diluted earnings per share

Illustration 11- Effects of share options on diluted earnings per share	
Profit attributable to ordinary equity holders of the parent entity for year 20X1	*₹ 1,200,000*
Weighted average number of ordinary shares outstanding during year 20X1	*500,000 shares*
Average market price of one ordinary share during year 20X1	*₹ 20.00*
Weighted average number of shares under option during year 20X1	*100,000 shares*
Exercise price for shares under option during year 20X1	*₹ 15.00*
Calculate basic and diluted EPS.	

Solution — ICAI

Solution

Calculation of earnings per share

	Earnings	*Shares*	*Per share*
Profit attributable to ordinary equity holders of the parent entity for year 20X1	₹ 1,200,000		
Weighted average shares outstanding during year 20X1		500,000	
Basic earnings per share			**₹ 2.40**
Weighted average number of shares under option		100,000	

Weighted average number of shares that would have been issued at average market price: (100,000 × ₹ 15.00) ÷ ₹ 20.00	Refer Note	(75,000)	
Diluted earnings per share	**₹ 1,200,000**	**525,000**	**₹ 2.29**

Note: Earnings have not increased because the total number of shares has increased only by the number of shares (25,000) deemed to have been issued for no consideration.

Q59 · SM Ind AS 33 · Illustration 12- Contingently issuable shares

Illustration 12- Contingently issuable shares

Ordinary shares outstanding during 20X1	*1,000,000 (there were no options, warrants or convertible instruments outstanding during the period)*
An agreement related to a recent business combination provides for the issue of additional ordinary shares based on the following conditions:	
	5,000 additional ordinary shares for each new retail site opened during 20X1
	1,000 additional ordinary shares for each ₹ 1,000 of consolidated profit in excess of ₹ 2,000,000 for the year ended 31 December 20X1
Retail sites opened during the year:	*one on 1 May 20X1*
	one on 1 September 20X1
Consolidated year-to-date profit attributable to ordinary equity holders of the parent entity:	*₹ 1,100,000 as of 31 March 20X1*
	₹ 2,300,000 as of 30 June 20X1
	₹ 1,900,000 as of 30 September 20X1 (including a ₹ 450,000 loss from a discontinued operation)
	₹ 2,900,000 as of 31 December 20X1
Calculate basic and diluted EPS on quarterly as well as annual basis.	

Solution — ICAI

Solution

	Basic earnings per share				
	First quarter	*Second quarter*	*Third quarter*	*Fourth quarter*	*Full year*
Numerator (₹)	1,100,000	1,200,000	(400,000)	1,000,000	2,900,000
Denominator:					
Ordinary shares outstanding	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
Retail site contingency	–	3,333[6]	6,667[7]	10,000	5,000[8]
Earnings contingency[9]	–	–	–	–	–
Total shares	1,000,000	1,003,333	1,006,667	1,010,000	1,005,000
Basic earnings per share (₹)	1.10	1.20	(0.40)	0.99	2.89

6 5,000 shares × $^{2}/_{3}$

7 5,000 shares + (5,000 shares × $^{1}/_{3}$)

8 (5,000 shares × $^{8}/_{12}$) + (5,000 shares × $^{4}/_{12}$)

9 The earnings contingency has no effect on basic earnings per share because it is not certain that the condition is satisfied until the end of the contingency period. Profits for the year are determined / finalized on after Q4 / year is completed, i.e. in the year 20X2. Thus, the earliest when these shares can be actually issued is on 1 Jan 20X2.

	Diluted earnings per share				
	First quarter	*Second quarter*	*Third quarter*	*Fourth quarter*	*Full year*
Numerator (₹)	1,100,000	1,200,000	(400,000)	1,000,000	2,900,000
Denominator:					
Ordinary shares outstanding	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
Retail site contingency	–	5,000	10,000	10,000	10,000
Earnings contingency	–[10]	300,000[11]	–[12]	900,000[13]	900,000
Total shares	1,000,000	1,305,000	1,010,000	1,910,000	1,910,000
Diluted earnings per share (₹)	1.10	0.92	(0.40)[14]	0.52	1.52

10 Company A does not have year-to-date profit exceeding ₹ 2,000,000 at 31 March 20X1. The Standard does not permit projecting future earnings levels and including the related contingent shares.

11 Each quarter is treated as an independent reporting period and hence if the conditions are fulfilled during the quarter, the contingent shares are considered for Diluted EPS right from the beginning of the reporting period i.e., the quarter in the said case. [(₹ 2,300,000 – ₹ 2,000,000) ÷ 1,000] × 1,000 shares = 300,000 shares.

12 Year-to-date profit is less than ₹ 2,000,000.

13 [(₹ 2,900,000 – ₹ 2,000,000) ÷ 1,000] × 1,000 shares = 900,000 shares.

14 Because the loss during the third quarter is attributable to a loss from a discontinued operation, the antidilution rules do not apply. The control number (ie profit or loss from, continuing operations attributable to the equity holders of the parent entity) is positive. Accordingly, the effect of potential ordinary shares is included in the calculation of diluted earnings per share.

Q60 · SM Ind AS 33 · Illustration 13

Illustration 13

Assume the following facts for Company XY:

-	*Income from continuing operations:*	*INR 30,00,000*
-	*Loss from discontinued operations:*	*(INR 36,00,000)*
-	*Net loss:*	*(INR 6,00,000)*
-	*Weighted average Number of shares outstanding*	*10,00,000*
-	*Incremental common shares outstanding relating to stock options*	*2,00,000*

(a) You are required to calculate the basic and diluted EPS for Company XY from the above information.

(b) Assume, if in above case, Loss from continued operations is ₹ 10,00,000 and income from discontinued operations is ₹ 36,00,000 calculate the diluted EPS.

Solution — ICAI

Solution:

(a) Step 1:

Basic EPS = Profit for the year / Weighted average Number of shares outstanding

Basic EPS (Continued Operations) = Profit from continued operations / Weighted average Number of shares outstanding

= ₹ 30,00,000 / 10,00,000 = ₹ 3.00

Basic Loss per share (Discontinued operations)	=	Loss from discontinued operations / Weighted average Number of shares outstanding
	=	₹ (36,00,000) / 10,00,000 = (₹ 3.60)
Overall Basic Loss per share	=	(₹ 6,00,000) / 10,00,000 = ₹ (0.60) (i)

Step 2: Calculation of Diluted EPS

Diluted EPS	=	Profit for the year / Adjusted Weighted average Number of shares outstanding
EPS (Continued Operations)	=	Profit from continued operations / Adjusted Weighted average Number of shares outstanding
	=	₹ 30,00,000 / 12,00,000 = ₹ 2.50
Loss per share (Discontinued operations)	=	Loss from discontinued operations / Adjusted weighted average number of shares outstanding
	=	₹ (36,00,000) / 12,00,000 = (₹ 3.00)
Overall Diluted Loss per share	=	₹ (6,00,000) / 12,00,000 = ₹ (0.50) (ii)

The income from continuing operations is the control number, there is a dilution in basic EPS for income from continuing operations (reduction of EPS from ₹ 3.00 to ₹ 2.50). Therefore, even though there is an anti-dilution [Loss per share reduced from ₹ 0.60 (i) to ₹ 0.50 (ii) above], diluted loss per share of ₹ 0.50 is reported.

(b) In case of loss from continuing operations, the potential shares are excluded since including those shares would result into anti-dilution effect on the **control number** (loss from continuing operations). Therefore, the diluted EPS will be calculated as under:

Diluted EPS	=	Profit for the year / Adjusted Weighted average Number of shares outstanding
Overall Profit	=	Loss from continuing operations + Gain from discontinued operations
	=	₹ (10,00,000) + ₹ 36,00,000 = ₹ 26,00,000
Weighted average number of shares outstanding	=	10,00,000
Diluted EPS	=	₹ 2.60

The dilutive effect of the potential common shares on EPS for income from discontinued operations and net income would not be reported because of the loss from continuing operations.

Q61 · SM Ind AS 33 · Illustration 14

Illustration 14

An entity issues 2,000 convertible bonds at the beginning of Year 1. The bonds have a three-year term and are issued at par with a face value of ₹ 1,000 per bond, giving total proceeds of ₹ 2,000,000. Interest is payable annually in arrears at a nominal annual interest rate of 6 per cent. Each bond is convertible at any time up to maturity into 250 ordinary shares. The entity has an option to settle the principal amount of the convertible bonds in ordinary shares or in cash.

When the bonds are issued, the prevailing market interest rate for similar debt without a conversion option is 9 per cent. At the issue date, the market price of one ordinary share is ₹ 3. Income tax is ignored. Entity has accounted for the convertible instrument using the principles of Financial Instruments.

Interest @ 6% for the year has already been adjusted in the profit attributable to shareholders.

Calculate basic and diluted EPS when

Profit attributable to ordinary equity holders of the parent entity Year 1	*₹ 1,000,000*
Ordinary shares outstanding	*1,200,000*
Convertible bonds outstanding	*2,000*

Solution — ICAI

Solution

Assumption: Entity intends to settle only interest in cash

Allocation of proceeds of the bond issue:	
Liability component (Refer Note 1)	₹ 303,755
Equity component	₹ 1,696,245
	₹ 2,000,000

The liability and equity components would be determined in accordance with Ind AS 32. These amounts are recognised as the initial carrying amounts of the liability and equity components. The amount assigned to the issuer conversion option equity element is an addition to equity and is not adjusted.

Basic earnings per share Year 1:

$\frac{₹1,000,000}{1,200,000}$ = ₹ 0.83 per ordinary share

Diluted earnings per share Year 1:

It is presumed that the issuer will settle the contract by the issue of ordinary shares. The dilutive effect is therefore calculated in accordance with the Standard.

$\frac{₹1,000,000 + ₹27,338}{1,200,000 + 500,000}$ = ₹ 0.60 per ordinary share

Notes:

1. This represents the present value of the interest discounted at 9% – ₹ 120,000 payable annually in arrears for three years. ₹ 2,000,000 assumed to be settled in equity since option is with the entity will not form part of liability.
2. Profit is adjusted for the accretion of ₹ 27,338 (₹303,755 x 9%) of the liability because of the passage of time.
3. 500,000 ordinary shares = 250 ordinary shares x 2,000 convertible bonds.

Q62 · SM Ind AS 33 · Example 11

Example 11

Assume that an entity has 160 written put options outstanding on 160 of its ordinary shares, with an exercise price of ₹ 10 per option. The put obligation is therefore ₹ 1,600. The average market price of the entity's ordinary shares is ₹ 8 for the period. In calculating diluted EPS, the entity assumes that it issues 200 ordinary shares at ₹ 8 per share to raise the proceeds necessary to satisfy the put option. The difference between the 200 ordinary shares assumed to be issued and the 160 ordinary shares that would have been received on exercise of the option (that is, 40 shares) is added to the denominator (number of shares) in calculating the diluted EPS. No adjustments are made to the numerator (profit attributable to ordinary shareholders), because the shares are deemed issued for nil proceeds.

ICAI example — facts and ICAI's analysis are printed together.

2.11 Additional Topics

Q63 · SM Ind AS 33 · Illustration 15

Illustration 15

An entity has two classes of shares in issue:

- *5,000 non-convertible preference shares*
- *10,000 ordinary shares*

The preference shares are entitled to a fixed dividend of ₹ 5 per share before any dividends are paid on the ordinary shares. Ordinary dividends are then paid in which the preference shareholders do not participate. Each preference share then participates in any additional ordinary dividend above ₹ 2 at a rate of 50% of any additional dividend payable on an ordinary share.

The entity's profit for the year is ₹ 100,000, and dividends of ₹ 2 per share are declared on the ordinary shares.

Compute the allocation of earnings for the purpose of calculation of Basic EPS when an entity has ordinary shares & participating equity instruments that are not convertible into ordinary shares.

Solution — ICAI

Solution

The calculation of basic EPS is as follows:

	₹	₹
Profit		100,000
Less: Dividends payable for the period:		
Preference (5,000 × ₹ 5)	25,000	
Ordinary (10,000 × ₹ 2)	20,000	(45,000)
Undistributed earnings		55,000

Allocation of undistributed earnings:

Allocation per ordinary share = A

Allocation per preference share = B where B = 50% of A

(A × 10,000) + (50% × A × 5,000) = ₹ 55,000

A = 55,000 / (10,000 + 2,500) = ₹ 4.4

B = 50% of A i.e. B = ₹ 2.2

Dividend per share are:	Preference shares ₹ per share	Ordinary shares ₹ per share
Distributed earnings	5.00	2.00
Undistributed earnings	2.20	4.40
Totals	**7.20**	**6.40**

Proof: (5,000 × ₹ 7.2) + (10,000 × ₹ 6.4) = ₹100,000

Q64 · SM Ind AS 33 · Illustration 16

Illustration 16

(This illustration does not illustrate the classification of the components of convertible financial instruments as liabilities and equity or the classification of related interest and dividends as expenses and equity as required by Ind AS 32).

Profit for the year	*₹ 100,000*
Ordinary shares outstanding	*10,000*
Non-convertible preference shares	*6,000*
Non-cumulative annual dividend on preference shares (before any dividend is paid on ordinary shares)	*₹ 5.50 per share*

After ordinary shares have been paid a dividend of ₹ 2.10 per share, the preference shares participate in any additional dividends on a 20:80 ratio with ordinary shares.

Compute the allocation of earnings for the purpose of calculation of Basic EPS when an entity has ordinary shares & participating equity instruments that are not convertible into ordinary shares.

Solution — ICAI

Solution

Dividends on preference shares paid (6000 x ₹ 5.50 per share)	₹ 33,000
Dividends on ordinary shares paid (10,000 x ₹ 2.10 per share)	₹ 21,000

Basic earnings per share is calculated as follows:		₹	₹
Profit attributable to equity holders of the parent entity			100,000
Less: Dividend paid:			
Preference	33,000		
Ordinary	21,000		(54,000)
Undistributed earnings			46,000

Allocation of undistributed earnings:

Allocation per ordinary share = A

Allocation per preference share = B; B = $^1/_4$ A

(A x 10,000) + ($^1/_4$ x A x 6,000) = ₹ 46,000

A = ₹ 46,000 ÷ (10,000 + 1,500)

A = ₹ 4.00

B = $^1/_4$ A

B = Re. 1.00

Dividend per share:		
	Preference shares	Ordinary shares
Distributed earnings	₹ 5.50	₹ 2.10
Undistributed earnings	₹ 1.00	₹ 4.00
Totals	**₹ 6.50**	**₹ 6.10**

Q65 · SM Ind AS 33 · Illustration 17

Illustration 17

An entity issues 100,000 ordinary shares of ₹1 each for a consideration of ₹2.50 per share. Cash of ₹1.75 per share was received by the balance sheet date. The partly paid shares are entitled to participate in dividends for the period in proportion to the amount paid.

Calculate number of shares for calculation of Basic EPS.

Solution — ICAI

Solution

The number of ordinary share equivalents that would be included in the basic EPS calculation on a weighted basis is as follows:

(100,000 × ₹ 1.75) / ₹ 2.50 = 70,000 shares.

Test Your Knowledge

Q66 · SM Ind AS 33 · Test Your Knowledge Q1

1. ABC Ltd — 1 January 20X1 — Shares in issue 1,000,000

   31 March 20X1 — (a) Rights issue 1 for 5 at 90 paise

   (b) Fair value of shares ₹ 1 (cum-rights price)

Calculate the number of shares for use in the EPS calculation for the calendar year.

Solution — ICAI

1. Rights issue bonus fraction

	Shares	₹ per share	₹
Cum-rights	5	1	5.0
Rights	1	0.9	0.9
Ex-rights	6		5.9

Theoretical ex-rights price (5.9 / 6) = 0.9833

Bonus fraction = Cum-rights price / Theoretical ex-rights price

= 1/0.9833

	Number of shares
1 January - 31 March (1,000,000 × 3/12 × 1/.9833)	254,237
1 April - 31 December (1,200,000 × 9/12)	900,000
	1,154,237

Q67 · SM Ind AS 33 · Test Your Knowledge Q2

2. 1 January — Shares in issue 1,000,000

   5% Convertible bonds ₹ 100,000

(terms of conversion 120 ordinary shares for ₹ 100)

31 March Holders of ₹ 25,000 bonds converted to ordinary shares.

Profit for the year ended 31 December ₹ 200,000

Tax rate 30%.

Calculate basic and diluted EPS. Ignore the need to split the convertible bonds into liability and equity elements.

Solution — ICAI

2.

	Number of shares	Profit ₹
Profit		200,000
Ourdinary shares	1,000,000	
New shares on conversion (weighted average)		
9/12 × ₹ 25,000 / 100 × 120	22,500	-
Figures for basic EPS	1,022,500	200,000

Basic EPS is (₹ 200,000 / 1,022,500) = 0.196 per share		
Dilution adjustments		
Unconverted shares ₹ 75,000 / 100 × 120	90,000	
Interest: ₹ 75,000 × 5% × 0.7 (net of tax)		2,625
Converted shares pre conversion adjustment		
3/12 × ₹ 25,000 / 100 × 120	7,500	
Interest: [3/12 × ₹ 25,000 × 5% × 0.7]		219
	1,120,000	**202,844**
Diluted EPS is (₹ 202,844 / 1,120,000) = 0.181		

Q68 · SM Ind AS 33 · Test Your Knowledge Q3

3.	1 January	Shares in issue	1,000,000
		Profit for the year ended 31 December	₹ 100,000
		Average fair value during period	₹ 8

The company has in issue 200,000 options to purchase equal ordinary shares

Exercise price ₹ 6

Calculate the diluted EPS for the period.

Solution — ICAI

3. Diluted EPS

	Number of Shares	Profit (₹)	EPS
Basic	1,000,000	100,000	0.10
Dilution (Refer W.N.)	50,000	–	–
	1,050,000	100,000	0.095

Working Notes:

Proceeds of issue	(200,000 × ₹ 6)	=	1,200,000
Number that would have been issued at Fair value (1,200,000 / ₹ 8)		=	150,000
Number actually issued			200,000
Number for "free" (200,000 – 150,000)			50,000

Q69 · SM Ind AS 33 · Test Your Knowledge Q4

4. Calculate Basic EPS for period ending 20X0, 20X1 and 20X2, when

	20X0	20X1	20X2
Profit attributable to ordinary equity holders of the parent entity	₹ 1,100	₹ 1,500	₹ 1,800
Shares outstanding before rights issue	500 shares		
Rights issue	One new share for each five outstanding shares		
Exercise price	₹ 5.00		
Date of rights issue	1 January 20X1		
Last date to exercise rights	1 March 20X1		
Market price of one ordinary share immediately before exercise on 1st March 20X1:	₹ 11.00		
Reporting date	31 December		

Solution — ICAI

4. Calculation of theoretical ex-rights value per share

$$\frac{\text{Fair value of all outstanding shares before the exercise of rights + total amount received from exercise of rights}}{\text{Number of shares outstanding before exercise + number of shares issued in the exercise}}$$

$$\frac{(₹11.00 \times 500 \text{ shares}) + (₹5.00 \times 100 \text{ shares})}{500 \text{ shares} + 100 \text{ shares}}$$

Theoretical ex-rights value per share = ₹10.00

Calculation of adjustment factor

$$\frac{\text{Fair value per share before exercise of rights}}{\text{Theoretical ex-rights value per share}} \quad \frac{₹\ 11.00}{₹\ 10.00} = 1.10$$

Calculation of basic earnings per share

	20X0	20X1	20X2
20X0 Basic EPS as originally reported: ₹1,100 / 500 shares	₹ 2.20		
20X0 Basic EPS restated for rights: ₹1,100/(500 shares x 1.1)	₹ 2.00		
20X1 Basic EPS including effects of rights issue:		₹ 2.54	
{₹1,500 / [(500 x 1.1 x 2/12) + (600x10/12)]}			
20X2 Basic EPS: ₹ 1,800 / 600 shares		₹ 3.00	

Q70 · SM Ind AS 33 · Test Your Knowledge QS

5. Calculate Subsidiary's and Group's Basic EPS and Diluted EPS, when

Parent:	
Profit attributable to ordinary equity holders of the parent entity	₹ 12,000 (excluding any earnings of, or dividends paid by, the subsidiary)
Ordinary shares outstanding	10,000
Instruments of subsidiary owned by the parent	800 ordinary shares
	30 warrants exercisable to purchase ordinary shares of subsidiary
	300 convertible preference shares
Subsidiary:	
Profit	₹ 5,400
Ordinary shares outstanding	1,000
Warrants	150, exercisable to purchase ordinary shares of the subsidiary
Exercise price	₹ 10
Average market price of one ordinary share	₹ 20
Convertible preference shares	400, each convertible into one ordinary share
Dividends on preference shares	₹ 1 per share
No inter-company eliminations or adjustments were necessary except for dividends.	
Ignore income taxes. Also, ignore classification of the components of convertible financial instruments as liabilities and equity or the classification of related interest and dividends as expenses and equity as required by Ind AS 32.	

Solution — ICAI

5. Subsidiary's earnings per share

Basic EPS ₹ 5.00 calculated: ₹ 5,400 (a) – ₹400 (b) / 1,000 (c)

Diluted EPS ₹ 3.66 calculated: ₹ 5,400 (d) / (1,000 + 75 (e) + 400(f))

Notes:

(a) Subsidiary's profit attributable to ordinary equity holders.

(b) Dividends paid by subsidiary on convertible preference shares.

(c) Subsidiary's ordinary shares outstanding.

(d) Subsidiary's profit attributable to ordinary equity holders (₹ 5,000) increased by ₹ 400 preference dividends for the purpose of calculating diluted earnings per share.

(e) Incremental shares from warrants, calculated: [(₹ 20 – ₹ 10) ÷ ₹ 20] × 150.

(f) Subsidiary's ordinary shares assumed outstanding from conversion of convertible preference shares, calculated: 400 convertible preference shares × conversion factor of 1.

Consolidated earnings per share

Basic EPS ₹ 1.63 calculated: ₹ 12,000(a) + ₹ 4,300(b) / 10,000(c)

Diluted EPS ₹ 1.61 calculated: ₹ 12,000 + ₹ 2,928(d) + ₹ 55(e) + ₹ 1,098(f) / 10,000

(a) Parent's profit attributable to ordinary equity holders of the parent entity.

(b) Portion of subsidiary's profit to be included in consolidated basic earnings per share, calculated: (800 × ₹ 5.00) + (300 × Re 1.00).

(c) Parent's ordinary shares outstanding.

(d) Parent's proportionate interest in subsidiary's earnings attributable to ordinary shares, calculated: (800 ÷ 1,000) × (1,000 shares × ₹ 3.66 per share).

(e) Parent's proportionate interest in subsidiary's earnings attributable to warrants, calculated: (30 ÷ 150) × (75 incremental shares × ₹ 3.66 per share).

(f) Parent's proportionate interest in subsidiary's earnings attributable to convertible preference shares, calculated: (300 ÷ 400) × (400 shares from conversion × ₹ 3.66 per share).

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ICAI Practice Questions

Q71 · ICAI Practice Questions · Ind AS 33 Q1

1. CAB Limited is in the process of preparation of the consolidated financial statements of the group for the year ending 31st March, 20X3 and the extract of the same is as follows:

Particulars	Attributable to CAB Limited	Non-controlling interest	Total (₹ in '000)
Profit for the year	39,000	3,000	42,000
Other Comprehensive Income	5,000	Nil	5,000
Total Comprehensive Income	44,000	3,000	47,000

The long-term finance of the company comprises of the following:

(i) 20,00,00,000 equity shares at the beginning of the year and the company has issued 5,00,00,000 shares on 1st July, 20X2 at full market value.

(ii) 8,00,00,000 irredeemable preference shares. These shares were in issue for the whole of the year ended 31st March, 20X3. The dividend on these preference shares is discretionary.

(iii) ₹ 18 crores of 6% convertible debentures issued on 1st April, 20X1 and repayable on 31st March, 20X5 at par. Interest is payable annually. As an alternative to repayment at par, the holder on maturity can elect to exchange their convertible debentures for 10 crores ordinary shares in the company. On 1st April, 20X1, the prevailing market interest rate for four-year convertible debentures which had no right of conversion was 8%. Using an annual discount rate of 8%, the present value of ₹ 1 payable in four years is 0.74 and the cumulative present value of ₹ 1 payable at the end of years one to four is 3.31.

In the year ended 31st March, 20X3, CAB Limited declared an ordinary dividend of 0.10 paise per share and a dividend of 0.05 paise per share on the irredeemable preference shares.

Compute the following:

- the finance cost of convertible debentures and its closing balance as on 31st March, 20X3 to be presented in the consolidated financial statements.
- the basic and diluted earnings per share for the year ended 31st March, 20X3.

Assume that income tax is applicable to CAB Limited and its subsidiaries at 25%.

Solution — ICAI

1. **Calculation of the liability and equity components on 6% Convertible debentures:**

Present value of principal payable at the end of 4th year (₹ 1,80,000 thousand x 0.74)

= ₹ 1,33,200 thousand

Present value of interest payable annually for 4 years (₹ 1,80,000 thousand x 6% x 3.31)

= ₹ 35,748 thousand

Total liability component = ₹ 1,68,948 thousand

Therefore, equity component = ₹ 1,80,000 thousand – ₹ 1,68,948 thousand = ₹ 11,052 thousand

Calculation of finance cost and closing balance of 6% convertible debentures

Year	Opening balance ₹ in '000	Finance cost @ 8% ₹ in '000	Interest paid @ 6% ₹ in '000	Closing balance ₹ in '000
	a	b = a x 8%	c	d = a + b - c
31.3.20X2	1,68,948	13,515.84	10,800	1,71,663.84
31.3.20X3	1,71,663.84	13,733.11	10,800	1,74,596.95

Finance cost of convertible debentures for the year ended 31.3. 20X3 is ₹ **13,733.11 thousand** and closing balance as on 31.3. 20X3 is ₹ **1,74,596.95** thousand.

Calculation of Basic EPS **₹ in '000**

Profit for the year	39,000
Less: Dividend on preference shares (80,000 thousand x ₹ 0.05)	(4,000)
Profit attributable to equity shareholders	35,000

Weighted average number of shares = 20,00,00,000 + {5,00,00,000 x (9/12)}

= 23,75,00,000 shares or 2,37,500 thousand shares

Basic EPS = ₹ 35,000 thousand / 2,37,500 thousand shares

= ₹ 0.147

Calculation of Diluted EPS **₹ in '000**

Profit for the year		39,000
Less: Dividend on preference shares (80,000 x 0.05)		(4,000)
		35,000
Add: Finance cost (as given in the above table)	13,733.11	
Less: Tax @ 25%	(3,433.28)	10,299.83
		45,299.83

Weighted average number of shares

= 20,00,00,000 + {5,00,00,000 x (9/12)} + 10,00,00,000

= 33,75,00,000 shares or 3,37,500 thousand shares

Diluted EPS = ₹ 45,299.83 thousand / 3,37,500 thousand shares

= ₹ 0.134

Q72 · ICAI Practice Questions · Ind AS 33 Q2

2. Following information pertains to an entity for the year ending 31st March 20X1:

Net profit for the year	**₹ 12,00,000**
Weighted average number of equity shares outstanding during the year	5,00,000 shares
Average market price per share during the year	₹ 20
Weighted average number of shares under option during the year	1,00,000 shares
Exercise price per share under option during the year	₹ 15

Calculate basic and diluted earnings per share.

Solution — ICAI

2. Calculation of earnings per share

	Earnings	*Shares*	*Per share*
Profit attributable to equity holders	₹ 12,00,000		
Weighted average shares outstanding during year 20X1		5,00,000	
Basic earnings per share			**₹ 2.40**
Weighted average number of shares under option		100,000	
Weighted average number of shares that would have been issued at average market price: (1,00,000× ₹15.00)÷₹20.00	Refer Note	(75,000)	
Diluted earnings per share	**₹ 1,200,000**	**525,000**	**₹ 2.29**

Note: Earnings have not increased because the total number of shares has increased only by the number of shares (25,000) deemed to have been issued for no consideration.

Q73 · ICAI Practice Questions · Ind AS 33 Q3

3. Company S is a subsidiary of Company P.

Following facts are in respect of Company S:

- Company S has 10,000 ordinary shares and 1,000 options outstanding, of which Company P owns 9,000 shares and 500 options, respectively.
- The options have an exercise price of ₹ 40.
- The average market price of Company S's ordinary share was ₹ 50 in 20X1.
- In 20X1, Company S's profit was ₹ 30,000.

Following facts are in respect of Company P:

- Company P has 5,000 ordinary shares outstanding.
- In 20X1, Company P's profit (excluding any distributed and undistributed earnings of subsidiaries) was ₹ 7,000.
- The options outstanding are dilutive at P's level.

Determine the diluted EPS of Company P for the year 20X1. Ignore income tax.

Solution — ICAI

3. To determine the diluted EPS of Company P, the diluted EPS of Company S has to be calculated first.

Calculation of Company S's diluted EPS:

Company S's earnings for the period	₹ 30,000
Weighted average ordinary shares	10,000
Incremental shares (refer W.N.)	200
Company S's diluted EPS	₹ 30,000/ (10,000 + 200)
	₹ 2.94

Calculation of Company P's diluted EPS:

Company P's earning for the period	₹ 7,000
Company P's share of Company S's earning attributable to ordinary shares [(9,000 /10,000) x (2.94 x 10,000)]	₹ 26,460
Company P's share of Company S's earning attributable to options [(500 /1,000) x (2.94 x 200)]	₹ 294
Company P's weighted average ordinary shares outstanding	5,000
Company P's diluted EPS = (7,000 + 26,460 + 294) / 5,000	₹ 6.75

Working Note:

Computation of Incremental shares related to weighted average options outstanding:

All options are dilutive because their exercise price is below the average market price of Company S's ordinary shares for the period.

The incremental shares are calculated as follows:

Shares issued on assumed exercise of options	1,000
Less: Shares that would be issued at average market Price [(40 x 1,000)/50]	(800)
Incremental shares	200

Q74 · ICAI Practice Questions · Ind AS 33 Q4

4. Company P has both ordinary shares and equity-classified preference shares in issue. The reconciliation of the number of shares during Year 1 is set out below: *Number of shares*

Dates in Year 1	Transaction	Ordinary shares	Treasury shares	Preference shares
1st April	Balance	30,00,000	(5,00,000)	5,00,000
15th April	Bonus issue – 5% (no corresponding changes in resources)	1,50,000	(25,000)	-
1st May	Repurchase of shares for cash	-	(2,00,000)	-
1st November	Shares issued for cash	4,00,000	-	-
31st March	Balance	35,50,000	(7,25,000)	5,00,000

The following additional information is relevant for Year 1.

- Company P's net profit for the year is ₹ 46,00,000.
- On 15th February, non-cumulative preference dividends of ₹ 1.20 per share were declared. The dividends were paid on 15th March. Preference shares do not participate in additional dividends with ordinary shares.
- Dividends on non-cumulative preference shares are deductible for tax purposes. The applicable income tax rate is 30%.

The financial year of Company P ends on 31st March.

Determine the Basic EPS of the Company P for Year 1. Use the number of months or part of months, rather than the number of days in the calculation of EPS.

Solution — ICAI

4. **Determination of numerator for calculation of Basic EPS**

The first step in the basic EPS calculation is to determine the profit or loss that is attributable to ordinary shareholders of Company P for the period.

Non-cumulative dividends paid on equity-classified preference shares are not deducted in arriving at net profit or loss for the period, but they are not returns to ordinary shareholders. Accordingly, these dividends are deducted from net profit or loss for the period in arriving at the numerator.

		(₹)
Net profit		46,00,000
Preference dividends (5,00,000 shares x 1.2)	(6,00,000)	
Related tax (₹ 6,00,000 x 30%)	1,80,000	(4,20,000)
Profit or loss attributable to P's ordinary shareholders		**41,80,000**
Accordingly, the numerator for calculation of Basic EPS is ₹ 41,80,000		

Determination of denominator for calculation of Basic EPS

The second step in the basic EPS calculation is to determine the weighted-average number of ordinary shares outstanding for the reporting period.

Number of shares	Time weighting	Weight	Weighted average number of shares
1st April – opening balance (30,00,000 – 5,00,000)	25,00,000	1	
15th April – bonus issue (1,50,000 – 25,000)	1,25,000		
1st April to 30th April	26,25,000	1/12	2,18,750
1st May – repurchase of shares	(2,00,000)		
1st May to 31st October	24,25,000	6/12	12,12,500
1st November – new shares issued	4,00,000		
1st November to 31st March	28,25,000	5/12	11,77,083
Weighted average number of shares for the year			**26,08,333**

The denominator for calculation of Basic EPS is 26,08,333 shares.

Basic EPS = ₹ 41,80,000 / 26,08,333 shares = ₹ 1.60 per share (approx.).

20 Ind AS 20 Government Grants

SM Ch 10 Unit 2 · 8 marks in Jan 2026 and May 2026

Point	Rule (SM)
Recognise when	**Reasonable assurance** that (a) entity will comply with conditions and (b) grant will be received. Receipt alone is not proof of compliance.
Approach	**Income approach only** — never directly to equity (TYK 4: promoter-government contributions recognised as income/deferred income unless they are equity contributions by owners).
Timing	In P&L on a **systematic basis** over the periods the related costs are expensed. Depreciable asset → over its useful life in proportion to depreciation. Non-depreciable asset with conditions (land + build factory) → over the life of the building (Example 5).
Compensation for past costs / immediate support	No future costs → P&L when receivable (Illus 1: past H1N1 research → immediately; PQ 3: compensation for past losses → year receivable; May 2026: start-up grant → immediately).
Future costs	Illus 2: grant for R&D over 2 years → deferred income, P&L over 2 years. Training grant (PQ 1): match with training costs (or deduct from them).
Asset grants — presentation	Either **deferred income** (released over life) or **deduct from carrying amount** (lower depreciation). Cash flow: show asset purchase and grant receipt separately (investing) — Illus 8.
Income grants — presentation	Either as other income, or deducted from the related expense.
Non-monetary grants	Land etc. at **fair value** (asset + deferred income), or at **nominal value** (Illus 6: FV option or nominal ₹0,000). Jan 2026 / May 2026: free land → FV as deferred income or nominal.
Below-market government loan	Loan at FV (Ind AS 109 — PV at market rate); benefit (cash − FV) = grant → recognise as per the costs it compensates (Illus 4: ₹0 lakh at 5% vs 12% → FV **37,38,328**; grant 12,61,672; Illus 5: over 4 years or with depreciation). Interest-free loan (PQ 5): FV 4,32,000, unwind at 5%.
Repayment	Change in estimate (prospective): first against unamortised deferred income, excess → P&L. Asset grant deducted from cost → increase asset; cumulative extra depreciation → P&L now (Illus 10).
Government assistance	Free advice, guarantees, procurement policy — no value; disclose. Forgivable loan → grant when reasonable assurance of forgiveness.

ICAI ·

TYK 6: equipment 1,00,000, grant 15,000, depreciation 20% reducing → deduct method: carrying 85,000 − 17,000 = 68,000. **Illus 7:** solar panels 1 cr, grant ₹0 lakh, 10 years → 5 lakh a year to P&L (or deduct from cost). **PQ 2:** 60,000 over 3 years for jobs (40,000 / 10,000 / 10,000), costs spread → deferred income 18,333, 10,000, nil. **TYK 1 (Delhi grants):** start-up 20 lakh → immediately; machinery grant 2 lakh → deduct → depreciate 8 lakh. **Jan 2026 Q4(b):** BPL treatment grant over 5 years; 40% machinery subsidy; free land; unconditional incentive.

Ind AS 20 Government Grants – ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

2.3 Definitions

Q75 · SM Ind AS 20 · Examples 1-4 : Government assistance

Examples 1-4 : Government assistance

1. Free technical assistance or marketing advice and the provision of guarantees are forms of government assistance to which no value could reasonably be assigned.

2. An example of transactions with government which cannot be distinguished from the normal trading transactions of the entity is a government procurement policy that is responsible for a portion of the entity's sales. The existence of the benefit might be unquestioned but any attempt to segregate the trading activities from government assistance could well be arbitrary.

3. **Assistance in the form of priority bidding status:** The government specifies that entities below a certain size are to be given priority in bidding for a particular type of government contract by mandating a minimum number of such entities to obtain bidding status. Although the entities will benefit from the quota, the value cannot be identified, and the effects of the assistance cannot be segregated from the trading activities of the entities.

4. **Assistance in the form of credit facilities at market rates:** Three governments that amongst themselves own over 50% of the shares in an airline, participate in granting it a revolving credit facility at a market rate of interest. This is not a government grant as a loan is provided at market rate of interest which any private market participant might have accepted. However, it is government assistance as the benefit cannot be distinguished from normal trading activities of the airline.

The significance of the benefit in the above examples may be such that disclosure of the nature, extent and duration of the assistance is necessary in order that the financial statements may not be misleading.

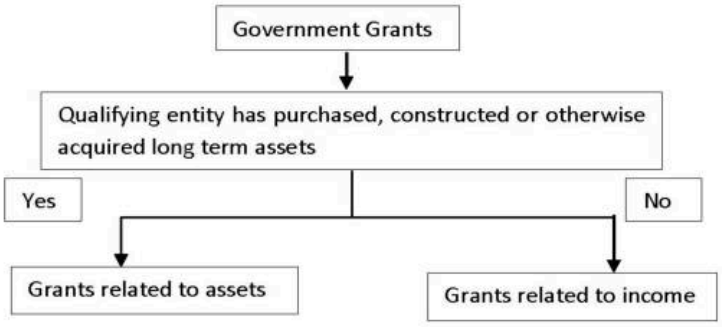
3. ***Government grants*** are assistance by the government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity.

   They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

   Government grants are sometimes called by other names such as subsidies, subventions, or premiums.

4. ***Grants related to assets*** are government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets. Subsidiary conditions may also be attached restricting the type or location of the assets or the periods during which they are to be acquired or held.

5. ***Grants related to income*** are government grants other than those related to assets.



6. ***Forgivable loans*** are loans which the lender undertakes to waive repayment of under certain prescribed conditions.

7. **Fair value** is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (Ind AS 113, *Fair Value Measurement*).

ICAI example — facts and ICAI's analysis are printed together.

2.4 Recognition Of Government Grants

Q76 · SM Ind AS 20 · Illustration 1

Illustration 1

Government gives a grant of ₹ 10,00,000 for past research of H1N1 vaccine to A Pharmaceuticals Limited. There is no condition attached to the grant.

Examine how this government grant be recognised in the books of A Pharmaceuticals Limited.

Solution — ICAI

Solution

The entire grant should be recognised immediately in the statement of profit and loss.

Q77 · SM Ind AS 20 · Illustration 2

Illustration 2

Government gives a grant of ₹ 10,00,000 for research and development of H1N1 vaccine to A Pharmaceuticals Limited even though similar vaccines are available in the market but are expensive. The entity has to ensure by developing a manufacturing process over a period of 2 years that the costs come down by at least 40%.

Examine how this government grant be recognised assuming that A Pharmaceuticals Limited has reasonable assurance that the conditions attached to the grant will be complied with.

Solution — ICAI

Solution

The entire grant should be recognised immediately as deferred income and charged to profit or loss over a period of two years.

Q78 · SM Ind AS 20 · Illustration 3

Illustration 3

A village of artisans in a district got devastated because of an earthquake. A Limited was operating in that district and was providing employment to the artisans. The government gave a grant of ₹ 10,00,000 to A Limited so that 100 artisans are rehabilitated over a period of 3 years. Government releases ₹ 2,00,000.

Examine how this government grant be recognised.

Solution — ICAI

Solution

A Limited will recognise ₹ 10,00,000 as government grant and set it up as a deferred income and will recognise it in its profit or loss over the period of three years as per the principles enunciated in Ind AS 20.

Once a government grant is recognised, any related contingent liability or contingent asset is treated in accordance with Ind AS 37, *Provisions, Contingent Liabilities and Contingent Assets.*

The manner in which a grant is received does not affect the accounting method to be adopted in regard to the grant. Thus a grant is accounted for in the same manner whether it is received in cash or as a reduction of a liability to the government or in the form of a non-monetary asset.

Q79 · SM Ind AS 20 · Illustration 4

Illustration 4

A Limited received from the government a loan of ₹ 50,00,000 @ 5% payable after 5 years in a bullet payment. The prevailing market rate of interest is 12%. Interest is payable regularly at the end of each year.

Calculate the amount of government grant and pass necessary journal entry. Also examine how the Government grant be recognised.

Solution — ICAI

Solution

The fair value of the loan is calculated at ₹ 37,38,328 (refer Working Note).

Year	Opening Balance	Interest calculated @ 12%	Interest paid @ 5% on ₹ 50,00,000 + principal paid	Closing Balance
(a)	(b)	(c) = (b) x 12%	(d)	(e) =(b) + (c) – (d)
1	37,38,328	4,48,600	2,50,000	39,36,928
2	39,36,928	4,72,431	2,50,000	41,59,359
3	41,59,359	4,99,123	2,50,000	44,08,482
4	44,08,482	5,29,018	2,50,000	46,87,500
5	46,87,500	5,62,500	52,50,000	Nil

A Limited will recognise ₹ 12,61,672 (₹ 50,00,000 – ₹ 37,38,328) as the government grant and will make the following entry on receipt of loan:

Bank Account	Dr.	50,00,000	
To Deferred Income			12,61,672
To Loan Account			37,38,328

₹ 12,61,672 is to be recognised in profit or loss on a systematic basis over the periods in which A Limited recognise as expenses the related costs for which the grant is intended to compensate. (see Illustration 5 in this regard).

Working Note:

Particulars	Amount (₹)	Discounting factor	Present value taking 12% as the discount rate (₹)
Interest @ 5% for Year 1 on loan amount of ₹ 50 lakhs	2,50,000	0.893	2,23,214
Interest @ 5% for Year 2 on loan amount of ₹ 50 lakhs	2,50,000	0.797	1,99,298
Interest @ 5% for Year 3 on loan amount of ₹ 50 lakhs	2,50,000	0.712	1,77,945
Interest @ 5% for Year 4 on loan amount of ₹ 50 lakhs	2,50,000	0.636	1,58,880
Interest @ 5% for Year 5 on loan amount of ₹ 50 lakhs	2,50,000	0.567	1,41,857
Loan	50,00,000	0.567	28,37,134
Present value of loan at the beginning of Year 1			**37,38,328**

The above present value above has been computed on full scale basis.

2.5 Accounting Of Government Grant

Q80 · SM Ind AS 20 · Illustration 5

Illustration 5

Continuing with the facts given in the Illustration 4, state how the grant will be recognized in the statement of profit or loss assuming:

(a) the loan is an immediate relief measure to rescue the enterprise

(b) the loan is a subsidy for staff training expenses, incurred equally, for a period of 4 years

(c) the loan is to finance a depreciable asset.

Solution — ICAI

Solution

₹ 12,61,672 is to be recognised in profit or loss on a systematic basis over the periods in which A Limited recognised as expenses the related costs for which the grant is intended to compensate.

Assuming (a), the loan is an immediate relief measure to rescue the enterprise - ₹ 12,61,672 will be recognised in profit or loss immediately.

Assuming (b), the loan is a subsidy for staff training expenses, incurred equally, for a period of 4 years, ₹ 12,61,672 will be recognised in profit or loss over a period of 4 years.

Assuming (c), the loan is to finance a depreciable asset - ₹ 12,61,672 will be recognised in profit or loss on the same basis as depreciation.

Q81 · SM Ind AS 20 · Example 5

Example 5

A grant of land may be conditional upon the erection of a building on the site and it may be appropriate to recognise the grant in profit or loss over the life of the building.

ICAI example — facts and ICAI's analysis are printed together.

Q82 · SM Ind AS 20 · Illustration 6

Illustration 6

A Limited wants to establish a manufacturing unit in a backward area and requires 5 acres of land. The government provides the land on a leasehold basis at a nominal value of ₹ 10,000 per acre. The fair value of the land is ₹ 100,000 per acre.

Calculate the amount of the government grant to be recognized by an entity.

Solution — ICAI

Solution

A limited will recognise the land at fair value of ₹ 5,00,000 and ₹ 450,000 [(₹ 100,000 – ₹ 10,000) x 5)] as government grant. This government grant should be presented in the balance sheet by setting up the grant as deferred income.

Alternatively, the land may be recognised by A Ltd. at nominal value of ₹ 50,000 (₹ 10,000 x 5).

2.6 Presentation Of Grants Related To Assets

Q83 · SM Ind AS 20 · Illustration 7

Illustration 7

A Limited establishes solar panels to supply solar electricity to its manufacturing plant. The cost of solar panels is ₹ 1,00,00,000 with a useful life of 10 years. The depreciation is provided on straight line method basis. The government gives ₹ 50,00,000 as a subsidy.

Examine how the Government grant be realized.

Solution — ICAI

Solution

A Limited will set up ₹ 50,00,000 as deferred income and will credit ₹ 5,00,000 equally to its statement of profit and loss over next 10 years.

Alternatively, A Ltd. may deduct ₹ 50,00,000 from the cost of solar panel of ₹ 1,00,00,000.

Q84 · SM Ind AS 20 · Illustration 8

Illustration 8

Continuing with the facts given in Illustration 7 above, state how the same will be disclosed in the Statement of cash flows.

Solution — ICAI

Solution

A Limited will show ₹ 1,00,00,000 being acquisition of solar panels as outflow in investing activities. The receipt of ₹ 50,00,000 from government will be shown as inflow under investing activities.

2.7 Presentation Of Grants Related To Income

Q85 · SM Ind AS 20 · Illustration 9

Illustration 9

A Ltd. received a government grant of ₹ 10,00,000 to defray expenses for environmental protection. Expected environmental costs to be incurred is ₹ 3,00,000 per annum for the next 5 years.

Determine the presentation of such grant related to income in the financial statements of A Ltd.?

Solution — ICAI

Solution

As per paragraph 29 of Ind AS 20, grants related to income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense.

In accordance with the above, presentation of grants related to income under both the methods are as follows:

Method 1: Credit in the statement of profit and loss

The entity can recognise the grant as income on a straight line basis i.e., ₹ 2,00,000 per year in the statement of profit and loss either separately or under the head "Other Income".

The supporters of this method consider it inappropriate to present income and expense items on a net basis and that 'separation of the grant from the expense facilitates comparison with other expenses not affected by a grant'.

Method 2: As a deduction in reporting the related expense

Since the grant relates to environmental expenses incurred/to be incurred by the entity, it can present the grant by reducing the grant amount every year from the related expense i.e., environmental expense of ₹ 1,00,000 (i.e., net expense ₹ 3,00,000 – ₹ 2,00,000).

The supporters of this method are of the view that 'the expenses might well not have been incurred by the entity if the grant had not been available and presentation of the expense without offsetting the grant may therefore be misleading'.

The Standard regards both the methods as acceptable for the presentation of grants related to income. However, method 2 may be more appropriate when the company can relate the grant to a specific expenditure.

The Standard also provides that disclosure of the grant may be necessary for a proper understanding of the financial statements. Disclosure of the effect of the grants on any item of income or expense which is required to be separately disclosed is usually appropriate.

2.8 Repayment Of Government Grants

Q86 · SM Ind AS 20 · Illustration 10

Illustration 10

A Ltd. has received a grant of ₹ 10,00,00,000 in the year 20X1-20X2 from local government in the form of subsidy for selling goods at lower price to lower income group population in a particular area for two years. A Ltd. had accounted for the grant as income in the year 20X1-20X2. While accounting for the grant in the year 20X1-20X2, A Ltd. was reasonably assured that all the conditions attached to the grant will be complied with. However, in the year 20X5-20X6, it was found that A Ltd. has not complied with the above condition and therefore notice of refund of grant has been served to it. A Ltd. has contested but lost in court in 20X5-20X6 and now grant is fully repayable. The accounting done in previous years was not incorrect and was not an error as per Ind AS 8.

Analyse how should A Ltd. reflect repayable grant in its financial statements ending 20X5-20X6?

Solution — ICAI

Solution

Paragraph 32 of Ind AS 20, states that a government grant that becomes repayable shall be accounted for as a change in accounting estimate (see Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors).

Repayment of a grant related to income shall be applied first against any unamortised deferred credit recognised in respect of the grant. To the extent that the repayment exceeds any such deferred credit, or when no deferred credit exists, the repayment shall be recognised immediately in profit or loss.

The following journal entries should be passed:

S. No.	Particulars		Nature of Account	Amount (₹ in crores)
(i)	Repayment of Government Grant	Dr.	Expense (P/L)	10
	To Grant repayable		Balance sheet (Liability)	10
	(Being recognition of repayment of grant in statement of profit or loss)			
(ii)	Grant repayable	Dr.	Balance sheet (Liability)	10
	To Bank		Balance sheet (Asset)	10
	(Being grant refunded)			

Assuming that no deferred credit balance exists in the year 20X5-20X6, therefore repayment recognised in P&L.

Test Your Knowledge

Q87 · SM Ind AS 20 · Test Your Knowledge Q1

1. ABC Ltd. has received the following grants from the Government of Delhi for its newly started pharmaceutical business:

   - ₹ 20 lakhs received for immediate start-up of business without any further condition.
   - ₹ 50 lakhs received for research and development of drugs required for the treatment of cardiovascular diseases with following conditions:
     - that drugs should be available to the public at 20% cheaper from current market price; and
     - the drugs should be in accordance with quality prescribed by the World Health Organisation [WHO].
   - Two acres of land (fair Value: ₹ 10 Lakhs) received for set up of plant.
   - ₹ 2 lakhs received for purchase of machinery of ₹ 10 lakhs. Useful life of machinery is 5 years. Depreciation on this machinery is to be charged on straight-line basis.

   Recommend how should ABC Ltd. recognise the government grants in its books of accounts.

Solution — ICAI

1. ABC Ltd. should recognise the grants in the following manner:

- ₹ 20 lakhs have been received for immediate start-up of business. This should be recognised in Statement of Profit and Loss immediately as there are no further conditions attached to the grant.
- ₹ 50 lakhs should be recognised in profit or loss on a systematic basis over the periods which the entity recognises as expense the related costs for which the grants are intended to compensate provided that there is reasonable assurance that ABC Ltd. will comply with the conditions attached to the grant.
- Land should be recognised at fair value of ₹ 10 lakhs and government grant should be presented in the balance sheet by setting up the grant as deferred income. Alternatively, deduct the amount of grant from the cost of the asset. In the given case, the land is granted at no cost. It will be presented in the books at nominal value.
- ₹ 2 lakhs should be recognised as deferred income and will be transferred to profit and loss over the useful life of the asset. In this case, ₹ 40,000 [₹ 2 lakhs/5] should be credited to profit and loss each year over a period of 5 years. Alternatively, ₹ 2,00,000 will be deducted from the cost of the asset and depreciation will be charged at reduced amount of ₹ 8,00,000 (₹ 10,00,000 – ₹ 2,00,000) every year.

Q88 · SM Ind AS 20 · Test Your Knowledge Q2

2. A Limited received from the government a loan of ₹1,00,00,000 @ 5% payable after 5 years in a bulleted payment. The prevailing market rate of interest is 12%. Interest is payable regularly at the end of each year.

Calculate the amount of government grant and pass necessary journal entry. Also examine how the government grant be recognised. Also state how the grant will be recognized in the statement of profit or loss assuming that the loan is to finance a depreciable asset.

Solution — ICAI

2. The fair value of the loan is calculated at ₹ 74,76,656 (refer Working Note).

Year	Opening Balance	Interest calculated @ 12%	Interest paid @ 5% on ₹ 1,00,00,000 + principal paid	Closing Balance
(a)	(b)	(c) = (b) x 12%	(d)	(e) =(b) + (c) – (d)
1	74,76,656	8,97,200	5,00,000	78,73,856
2	78,73,856	9,44,862	5,00,000	83,18,718
3	83,18,718	9,98,246	5,00,000	88,16,964
4	88,16,964	10,58,036	5,00,000	93,75,000
5	93,75,000	11,25,000	1,05,00,000	Nil

A Limited will recognise ₹ 25,23,344 (₹ 1,00,00,000 – ₹ 74,76,656) as the government grant and will make the following entry on receipt of loan:

Bank Account	Dr.	1,00,00,000	
To Deferred Income			25,23,344
To Loan Account			74,76,656

₹ 25,23,344 is to be recognised in profit or loss on a systematic basis over the periods in which A Limited recognised as expenses the related costs for which the grant is intended to compensate.

If the loan is to finance a depreciable asset. ₹ 25,23,344 will be recognised in profit or loss on the same basis as depreciation.

Working Note:

Particulars	Rs.	Discounting factor@ 12%	Present value taking 12% as the discount rate (Rs.)
Interest @ 5% for Year 1 on loan amount of ₹ 1 crore	5,00,000	0.893	4,46,429
Interest @ 5% for Year 2 on loan amount of ₹ 1 crore	5,00,000	0.798	3,98,597
Interest @ 5% for Year 3 on loan amount of ₹ 1 crore	5,00,000	0.712	3,55,890
Interest @ 5% for Year 4 on loan amount of ₹ 1 crore	5,00,000	0.636	3,17,759
Interest @ 5% for Year 5 on loan amount of ₹ 1 crore	5,00,000	0.567	2,83,713
Loan	1,00,00,000	0.567	56,74,269
Present value of loan at the beginning of Year 1			**74,76,656**

The above present value above has been computed on full scale basis.

Q89 · SM Ind AS 20 · Test Your Knowledge Q3

3. MNC Ltd. has received grant in the nature of exemption of custom duty on capital goods with certain conditions related to export of goods under Export Promotion Capital Goods (EPCG) scheme of Government of India.

State whether the same is a government grant under Ind AS 20, Government Grants and Disclosure of Government Assistance? If yes, then how the same is to be accounted for if it is

(a) A grant related to asset; or

(b) A grant related to income.

Solution — ICAI

3. Paragraph 3 of Ind AS 20 states that Government grants are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

In accordance with the above, in the given case exemption of custom duty under EPCG scheme is a government grant and should be accounted for as per the provisions of Ind AS 20.

Ind AS 20 defines grant related to assets and grants related to income as follows:

"Grants related to asset are government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets. Subsidiary conditions may also be attached restricting the type or location of the assets or the periods during which they are to be acquired or held. Grants related to income are government grants other than those related to assets."

Presentation

It is pertinent to note that the classification of the grant as related to asset or income will require exercise of judgement and careful examination of the facts, objective and conditions attached to the scheme of the government. Care is also required to ascertain the purpose of the grant and the costs for which the grant is intended to compensate. Based on the evaluation of facts, if it is ascertained that the grant is an asset related grant then the same shall be presented as per paragraphs 24 and 26 of Ind AS 20 which has been stated below:

Presentation of grants related to assets

As per para 24, government grants related to assets, including non-monetary grants at fair value, shall be presented in the balance sheet by setting up the grant as deferred income.

As per para 26, the grant set up as deferred income is recognised in profit or loss on a systematic basis over the useful life of the asset.

If it is determined that the grant is related to income then the same shall be presented as follows:

Presentation of grants related to income

As per para 29, grants related to income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense.

It may be further noted that as per paragraph 12 of Ind AS 20, government grants shall be accounted as follows:

As per para 12, government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate.

In the given case, if based on the terms and conditions of the scheme, the grant received is to compensate the import cost of assets subject to an export obligation as prescribed in the EPCG Scheme; recognition of grant in the statement of profit and loss should be linked to fulfilment of associated export obligations.

However, if the grant received is to compensate the import cost of the asset and based on the examination of the terms and conditions of the grant, if it can be reasonably concluded that conditions relating to export of goods are subsidiary conditions, then it is appropriate to recognise such grant in profit or loss over the life of the underlying asset.

Q90 · SM Ind AS 20 · Test Your Knowledge Q4

4. ABC Ltd is a government company and is a first-time adopter of Ind AS. As per the previous GAAP, the contributions received by ABC Ltd. from the government (which holds 100% shareholding in ABC Ltd.) which is in the nature of promoters' contribution have been recognised in capital reserve and treated as part of shareholders' funds in accordance with the provisions of AS 12, Accounting for Government Grants.

   State whether the accounting treatment of the grants in the nature of promoters' contribution as per AS 12 is also permitted under Ind AS 20 Accounting for Government Grants and Disclosure of Government Assistance.

Solution — ICAI

4. Paragraph 2 of Ind AS 20, "Accounting for Government Grants and Disclosure of Government Assistance" inter alia states that the Standard does not deal with government participation in the ownership of the entity.

Since ABC Ltd. is a government company, it implies that government has 100% shareholding in the entity. Accordingly, as per Ind AS 20, the entity needs to determine whether the payment is provided as a shareholder contribution or as a government. Equity contributions will be recorded in equity while grants will be shown in the Statement of Profit and Loss.

Where it is concluded that the contributions are in the nature of government grant, the entity shall apply the principles of Ind AS 20 retrospectively as specified in Ind AS 101 'First Time Adoption of Ind AS'. Ind AS 20 requires all grants to be recognised as income on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Unlike AS 12, Ind AS 20 requires the grant to be classified as either a capital or an income grant and does not permit recognition of government grants in the nature of promoter's contribution directly to shareholders' funds.

Q91 · SM Ind AS 20 · Test Your Knowledge Q5

5. Rainbow Limited carries out various projects for which it has either received government financial assistance or is in the process of receiving the same. The company has received two grants of ₹ 1,00,000 each, relating to the following ongoing research and development projects:

   (i) The first grant relates to the "Clean river project" which involves research into the effect of various chemicals waste from the industrial area in Madhya Pradesh. However, no major steps have been completed by Rainbow limited to commence this research as at 31st March, 20X2.

   (ii) The second grant relates to the commercial development of a new equipment that can be used to manufacture eco-friendly substitutes for existing plastic products. Rainbow Limited is confident about the technical feasibility and financial viability of this new technology which will be available for sale in the market by April 20X3.

   In September 20X1, due to the floods near one of its factories, the entire production was lost and Rainbow Limited had to shut down the factory for a period of 3 months. The State Government announced a compensation package for all the manufacturing entities affected due to the floods. As per the scheme, Rainbow Limited is entitled to a compensation based on the average of previous three months' sales figure prior to the floods, for which the company is required to submit an application form on or before 30th June, 20X2 with necessary figures. The financial statements of Rainbow Limited for the year ended 31st March 20X2 are to be adopted on 31st May, 20X2, by which date the claim form would not have been filed with the State Government.

   Suggest the accounting treatment of, if any, for the two grants received and the flood-related compensation in the books of accounts of Rainbow Limited as at 31st March, 20X2.

Solution — ICAI

5. **Accounting treatment for:**

   1. First Grant

   The first grant for 'Clear River Project' involving research into effects of various chemicals waste from the industrial area in Madhya Pradesh, seems to be

unconditional as no details regarding its refund has been mentioned. Even though the research has not been started nor any major steps have been completed by Rainbow Limited to commence the research, yet the grant will be recognised immediately in profit or loss for the year ended 31st March, 20X2.

Alternatively, in case, the grant is conditional as to expenditure on research, the grant will be recognised in the books of Rainbow Limited over the year the expenditure is being incurred.

2. **Second Grant**

The second grant related to commercial development of a new equipment is a grant related to depreciable asset. As per the information given in the question, the equipment will be available for sale in the market from April, 20X3. Hence, by that time, grant relates to the construction of an asset and should be initially recognised as deferred income.

The deferred income should be recognised as income on a systematic and rational basis over the asset's useful life.

The entity should recognise a liability in its balance sheets as at 31st March, 20X2 and 31st March, 20X3. Once the equipment starts getting used in the manufacturing process, the deferred grant income of ₹ 100,000 should be recognised over the asset's useful life to compensate for depreciation costs.

Alternatively, as per Ind AS 20, Rainbow Limited would also be permitted to offset the deferred income of ₹ 100,000 against the cost of the equipment as at 1st April, 20X3.

3. **For flood related compensation**

Rainbow Limited will be able to submit an application form only after 31st May, 20X2 ie in the year 20X2-20X3. Although flood happened in September, 20X1 and loss was incurred due to flood in the year 20X1-20X2, the entity should recognise the income from the government grant in the year when the application form related to it is submitted and approved by the government for compensation.

Since, in the year 20X1-20X2, the application form could not be submitted due to adoption of financials with respect to sales figure before flood occurred, Rainbow Limited should not recognise the grant income as it has not become receivable as at 31st March,20X2.

Q92 · SM Ind AS 20 · Test Your Knowledge Q6

6. An entity opens a new factory and receives a government grant of ₹ 15,000 in respect of capital equipment costing ₹ 1,00,000. It depreciates all plant and machinery at 20% per annum on straight-line basis.

Show the statement of profit and loss and balance sheet extracts in respect of the grant for first year under both the methods as per Ind AS 20.

Solution — ICAI

6. (a) When grant is treated as deferred income

Statement of profit and loss – An extract

	₹
Depreciation (₹ 1,00,000 x 20%)	(20,000)
Government grant credit (W.N.1)	3,000

Balance Sheet - An extract

		₹
Non-current assets		
Property, plant and equipment	1,00,000	
Less: Accumulated depreciation	(1,00,000 x 20%) (20,000)	80,000
		XXXX
Non-current liabilities		
Government grant	[12,000 – 3,000 (current liability)]	9,000
Current liabilities		
Government grant	(15,000 x 20%)	3,000
		XXXX

Working Note:

1. Government grant deferred income account

	₹		₹
To Profit or loss (15,000 × 20%)	3,000	By Grant cash received	15,000
To Balance c/f	12,000		
	15,000		15,000

(b) When grant is deducted from cost of the asset

Statement of profit and loss – An extract

	₹
Depreciation [(₹ 1,00,000 – 15,000) x 20%]	(17,000)

Balance Sheet – An extract

		₹
Non-current assets		
Property, plant and equipment	(1,00,000-15,000) 85,000	
Less: Accumulated depreciation	(17,000)	68,000

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ICAI Practice Questions

Q93 · ICAI Practice Questions · Ind AS 20 Q1

1. A company receives a cash grant of ₹ 30,000 on 31st March 20X1. The grant is towards the cost of training young apprentices. Training programme is expected to last for 18 months starting from 1st April 20X1. Actual costs of the training incurred in 20X1-20X2 was ₹ 50,000 and in 20X2-20X3 ₹ 25,000.

   State, how this grant should be accounted for.

Solution — ICAI

1. As at 31st March 20X1 the grant would be recognised as a liability (deferred income) and presented in the balance sheet as a split between current and non-current amounts.

   ₹ 20,000 [(12 months / 18 months) x 30,000] is current which would be recognised in the statement of profit and loss for the year ended 31st March, 20X2. The balance amount of ₹ 10,000 will be shown as non-current.

   At the end of year 20X1-20X2, there would be a current balance of 10,000 (being the non-current balance at the end of year 20X1-20X1 reclassified as current) in the balance sheet. This would be recognised in profit in the year 20X2-20X3.

   Extracts from the financial statements are as follows:

Balance Sheet (extracts)

	31 March 20X1	31 March 20X2	31 March 20X3
Current liabilities			
Deferred income	20,000	10,000	-
Non-current liabilities			
Deferred income	10,000	-	-

Statement of profit and loss (extracts)

	31 March 20X2	31 March 20X3
Method 1		
Other Income - Government grant received	20,000	10,000
Training costs	(50,000)	(25,000)
Method 2		
Training costs (50,000 – 20,000)	30,000	
Training costs (25,000 – 10,000)		15,000

Q94 · ICAI Practice Questions · Ind AS 20 Q2

2. Entity A is awarded a government grant of ₹ 60,000 receivable over three years (₹ 40,000 in year 1 and ₹ 10,000 in each of years 2 and 3), contingent on creating 10 new jobs and maintaining them for three years. The employees are recruited at a total cost of ₹ 30,000, and the wage bill for the first year is ₹ 1,00,000, rising by ₹ 10,000 in each of the subsequent years.

   Calculate the grant income and deferred income to be accounted for in the books for the years 1, 2 and 3 under the following two situations:

   (a) There is reasonable assurance that the entity will comply with the conditions attaching to them and the grant will be received

   (b) There is no reasonable assurance that the grant will be received.

Solution — ICAI

2. (a) When there is reasonable assurance

The grant of ₹ 60,000 should be recognised at the beginning of the first year as receivable and will be compensated for the related costs over three years.

The initial journal entry would be:

Grant Receivable Ac Dr. ₹ 60,000

To Deferred Income A/c ₹ 60,000

Calculation of grant income and deferred income:

Year	Labour Cost	Grant Income	Computation of Grant Income	Deferred Income at the end of the year	Computation of deferred income at the end of the year
	₹	₹		₹	
1	1,30,000	21,667	60,000 x (130/360)	38,333	(60,000 – 21,667)
2	1,10,000	18,333	60,000 x (110/360)	20,000	(38,333 – 18,333)
3	1,20,000	20,000	60,000 x (120/360)	-	(20,000 – 20,000)
	3,60,000	60,000			

Therefore, grant income to be recognised in the Statement of Profit and Loss for the years 1, 2 and 3 would be ₹ 21,667, ₹ 18,333 and ₹ 20,000 respectively.

The amount of grant that has not yet been credited to the statement of profit and loss i.e. deferred income is to be shown in the balance sheet. Hence deferred income balance as at end of year 1, 2 and 3 are ₹ 38,333, ₹ 20,000 and Nil respectively.

(b) When reasonable assurance is not there

The grant of ₹ 60,000 should be recognised over three years to compensate for the related costs.

The journal entry on receipt of grant at year 1 would be:

Grant Receivable Ac Dr. ₹ 40,000

To Deferred Income A/c ₹ 40,000

Calculation of Grant Income and Deferred Income:

Year	Labour Cost	Grant Income wrt 1st receipt of 40,000	Grant Income wrt 2nd receipt of 10,000	Grant Income wrt 3rd receipt of 10,000	Deferred Income at the end of the year	Computation of deferred income at the end of the year
	₹	₹			₹	
1	1,30,000	14,445	NA	NA	25,555	(40,000 – 14,445)
2	1,10,000	12,222	4,783	NA	18,550	(50,000 – 14,445 – 12,222 – 4,783)
3	1,20,000	13,333	5,217	10,000	-	(60,000 – 14,445 – 12,222 – 4,783 – 13,333 – 5,217 – 10,000)
	3,60,000	40,000*	10,000**	10,000***		

*40,000 bifurcated into three years in the ratio of 130:110:120

**10,000 bifurcated into two years in the ratio of 110:120

***10,000 credited entirely in the third year

Therefore, Grant income to be recognised in the statement of Profit and Loss for the years 1, 2 and 3 would be ₹ 21,667, ₹ 18,333 and ₹ 20,000 respectively.

Amount of grant that has not yet been credited to the statement of profit and loss i.e; deferred income is to be shown in the balance sheet. Hence, deferred income balance as at the end of year 1, 2 and 3 are ₹ 18,333, ₹ 10,000 and Nil respectively.

Q95 · ICAI Practice Questions · Ind AS 20 Q3

3. A Ltd. has been conducting its business activities in backward areas of the country and due to higher operating costs in such regions, it has collectively incurred huge losses in previous years. As per a scheme of government announced in March 20X1, the company will be partially compensated for the losses incurred by it to the extent of ₹ 10,00,00,000, which will be received in October 20X1. The compensation being paid by the government meets the definition of government grant as per Ind AS 20. Assume that no other conditions are to be fulfilled by the company to receive the compensation.

When should the grant be recognised in the statement of profit and loss? Discuss in light of relevant Ind AS.

Solution — ICAI

3. Paragraph 7 of Ind AS 20 states that, Government grants, including non-monetary grants at fair value, shall not be recognised until there is reasonable assurance that:

(a) the entity will comply with the conditions attaching to them; and

(b) the grants will be received.

Further, paragraphs 20 and 22 of Ind AS 20 state as follows:

"A government grant that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the entity with no future related costs shall be recognised in profit or loss of the period in which it becomes receivable".

"A government grant may become receivable by an entity as compensation for expenses or losses incurred in a previous period. Such a grant is recognised in profit or loss of the period in which it becomes receivable, with disclosure to ensure that its effect is clearly understood."

In accordance with the above, in the given case, as at March 20X1, A Ltd. is entitled to receive government grant in the form of compensation for losses already incurred by it in the previous years. Therefore, even though the compensation will be received in the month

of October 20X1, A Ltd. should recognise the compensation receivable by it as a government grant in the profit or loss for the period in which it became receivable, i.e., for the financial year 20X0-20X1 with disclosure to ensure that its effect is clearly understood.

Q96 · ICAI Practice Questions · Ind AS 20 Q4

4. A Limited is engaged in the manufacturing of certain specialized chemicals. During the manufacturing process, certain wastewater is produced which is released by A Limited in the nearby river. To reduce pollution of the rivers, the state government has introduced a scheme with the following salient features:

   - If a manufacturer installs certain pre-approved wastewater treatment plant, the government will provide an interest free loan equal to 50% of the cost of the plant;
   - Such loan will be repayable to the government in 5 years from the date of disbursal;
   - The manufacturer availing the benefit of this scheme must treat the wastewater of its factory using the specified plant before releasing it to the river. If this condition is violated, the entire loan shall become immediately repayable to the government along with a penalty of ₹ 10 lakh.

   Cost of the wastewater treatment plant to be installed to avail the benefit of the scheme is ₹ 50 lakh. A Limited decided to utilise this scheme because, if it were to obtain the similar loan from a bank, it would be available at a market interest rate of 12% per annum. Accordingly, A Limited applied for and obtained the government loan of ₹ 25 lakh on 1st April, 20X1. A Limited purchased and installed the plant such that it became ready for use on the same date.

   A Limited has an accounting policy of recognising government grant in relation to depreciable assets in the proportion of depreciation expense. It has determined that the plant will be depreciated over a period of 5 years using straight-line method. In the month of March, 20X3, government officials conducted a surprise audit, and it was found that A Limited was not using the wastewater treatment plant as prescribed. Accordingly, on 31st March, 20X3, the government ordered A Limited to repay the entire loan along with penalty. A Limited repaid the loan with interest and penalty as per the order on 31st March, 20X3.

   Measure the amount of government grant as on 1st April, 20X1. Determine the nature of the government grant and its accounting treatment (principally) for the year ended 31st March, 20X2. Also determine the impact on profit or loss if any, on account of revocation of government grant as on 31st March, 20X3.

Solution — ICAI

4. As per the principles of Ind AS 20 "Accounting for Government Grants and Disclosure of Government Assistance", the benefits of a government loan at a below market rate of interest is treated as a government grant. The loan shall be recognized and measured in accordance with Ind AS 109 "Financial Instruments". The benefit of the below market rate of interest shall be measured as the difference between the initial carrying value of the loan determined in accordance with Ind AS 109 and the proceeds received. The benefit is accounted for in accordance with Ind AS 20. As per Ind AS 109, the loan should be initially measured at its fair value.

Initial recognition of grant as on 1st April, 20X1

Fair value of loan = ₹ 25,00,000 x 0.567 (PVF @ 12%, 5th year) = ₹ 14,17,500

A Limited will recognize ₹ 10,82,500 (25,00,000 – 14,17,500) as the government grant and will make the following entry on receipt of loan:

Date	Particulars		Dr. (₹)	Cr. (₹)
1.4.20X1	Bank account	Dr.	25,00,000	
	To Deferred Grant Income			10,82,500
	To Loan account			14,17,500
	(Being grant initially recorded at fair value)			

Accounting treatment for year ending 31st March, 20X2

As per para 3 of Ind AS 20, grants related to assets are government grants whose primary condition is that an entity qualifying for them should purchase, construct or otherwise acquire long-term assets.

As per para 24-27 of Ind AS 20, Government grants related to assets, including non-monetary grants at fair value, shall be presented in the balance sheet either by setting up the grant as deferred income or by deducting the grant in arriving at the carrying amount of the asset.

One method recognises the grant as deferred income that is recognised in profit or loss on a systematic basis over the useful life of the asset.

The other method deducts the grant in calculating the carrying amount of the asset. The grant is recognised in profit or loss over the life of a depreciable asset as a reduced depreciation expense.

A Ltd. has adopted first method of recognising the grant as deferred income that is recognised in profit or loss on a systematic basis over the useful life of the asset. Here, deferred income is recognised in profit or loss in the proportion in which depreciation expense on the asset is recognised.

Depreciation for the year (20X1-20X2) = ₹ 50,00,000 / 5 years = ₹ 10,00,000

As the loan is to finance a depreciable asset, ₹ 10,82,500 will be recognized in Profit or Loss on the same basis as depreciation.

Since the depreciation is provided on straight line basis by A Limited, it will credit ₹ 2,16,500 (10,82,500 / 5) equally to its statement of profit and loss over the 5 years.

Journal Entries

Date	Particulars	Dr. (₹)	Cr. (₹)
31.3.20X2	Depreciation (Profit or Loss A/c) Dr. To Property, Plant & Equipment (Being depreciation provided for the year)	10,00,000	 10,00,000
	Deferred grant income Dr. To Profit or Loss (Being deferred income adjusted)	2,16,500	 2,16,500

Impact on profit or loss due to revocation of government grant as on 31st March 20X3

As per para 32 of Ind AS 20, a government grant that becomes repayable shall be accounted for as a change in accounting estimate. Repayment of a grant related to income shall be applied first against any unamortised deferred credit recognised in respect of the grant. To the extent that the repayment exceeds any such deferred credit, or when no deferred credit exists, the repayment shall be recognised immediately in profit or loss.

Amount payable to Government on account of principal loan = ₹ 25,00,000

Amount payable to Government on account of penalty = ₹ 10,00,000

Journal Entries

Date	Particulars	Dr. (₹)	Cr. (₹)
31.3.20X3	Deferred grant income Dr. To Profit or Loss (Being deferred income adjusted)	2,16,500	 2,16,500

	Loan account (W.N.1)	Dr.	17,78,112	
	Deferred grant income (W.N.2)	Dr.	6,49,500	
	Profit or Loss	Dr.	72,388	
	To Government grant payable			25,00,000
	(Being refund of government grant)			
	Profit or Loss	Dr.	10,00,000	
	To Government grant payable			10,00,000
	(Being penalty payable to government)			

Therefore, total impact on profit or loss on account of revocation of government grant as on 31st March, 20X3 will be ₹ 10,72,388 (10,00,000 + 72,388).

Circumstances giving rise to repayment of a grant related to an asset may require consideration to be given to the possible impairment of the new carrying amount of the asset.

Working Notes:

1. Amortisation Schedule of Loan

Year	Opening balance of Loan	Interest @ 12%	Closing balance of Loan
31.03.20X2	14,17,500	1,70,100	15,87,600
31.03.20X3	15,87,600	1,90,512	17,78,112

2. Deferred Grant Income

Year	Opening balance	Adjustment	Closing balance
31.03.20X2	10,82,500	2,16,500	8,66,000
31.03.20X3	8,66,000	2,16,500	6,49,500

Q97 · ICAI Practice Questions · Ind AS 20 QS

5. To encourage entities to expand their operations in a specified development zone, the government provides interest-free loans to fund the purchase of manufacturing equipment.

In accordance with the development scheme, an entity receives an interest-free loan of ₹ 5,00,000 from the government for a period of three years. The market rate of interest for similar loans for 3 years is 5% per year.

There are no future performance conditions attached to the interest-free loan.

Discuss how to account for the above loan. Pass necessary journal entries in the entity's books of accounts from year 1 to year 3, as per relevant Ind AS.

Solution — ICAI

5. The entity measures the loan on initial recognition at ₹ 4,32,000, which is the present value of the loan (financial liability) — ₹ 5,00,000/$(1.05)^3$. ₹ 68,000, the difference between the loan proceeds received ₹ 5,00,000 (the loan's face value) and present value of the loan ₹ 4,32,000, is a government grant and is recognised immediately as there are no specified future performance conditions.

The amount recognised on day one will accrete to ₹ 5,00,000 over the three-year term using the effective interest method.

Jodeurnal Entries

On initial recognition:

		₹	₹
Cash/Bank (financial asset)	Dr.	5,00,000	
To Loan (financial liability)			4,32,000
To Income (profit or loss)			68,000
(Being interest-free loan recognised at fair value and the receipt of a government grant)			

At the end of

Year 1:

		₹	₹
Finance cost (profit or loss)	Dr.	21,600	
To Loan (financial liability)			21,600
(Being accretion of time value recognised on the financial liability)			

Year 2

		₹	₹
Finance cost (profit or loss)	Dr.	22,680	
To Loan (financial liability)			22,680
(Being accretion of time value recognised on the financial liability)			

Year 3

		₹	₹
Finance cost (profit or loss)	Dr.	23,720	
To Loan (financial liability)			23,720
(Being accretion of time value recognised on the financial liability)			

Immediately after all the accretions are recognised, the carrying amount of the loan is equal to its face value of ₹ 5,00,000, which is also the amount payable to the government.

		₹	₹
Loan (financial liability)	Dr.	5,00,000	
To Cash/Bank			5,00,000
(Being loan repaid to the government)			

Working Note:

Calculation of Amortised Cost

Year	Opening balance (A)	Interest at 5% (B) = (A) x 5%	Cash flow (C)	Closing balance (A) + (B) – (C)
1	4,32,000	21,600	–	4,53,600
2	4,53,600	22,680	–	4,76,280
3	4,76,280	23,720*	(5,00,000)	–

* Difference is due to approximation.

(11) Ind AS 111 Joint Arrangements SM Ch 13 Unit 5

Point	Rule (SM)
Joint arrangement	*Two or more parties bound by a contractual arrangement that gives two or more of them **joint control**. Contract may be in articles, minutes, agreements — need not be in writing (Illus 11: informal agreement evidenced in meetings).*
Joint control	*Contractually agreed sharing of control; decisions about **relevant activities** need **unanimous consent** of the parties sharing control. Steps: does the contract give all parties, or a group, control collectively? → do decisions need unanimous consent of that group?*
Examples (SM)	*50:50 with unanimous decisions → joint (Illus 1, 2 implicit). A 50%, B 30%, C 20% with 75% majority → A and B jointly control (Illus 3). 50/25/25 with 75% → more than one combination → no joint control unless contract specifies (Illus 4). 35/35/30 with simple majority → not a JA (Illus 5). Chairman's casting vote → one party controls (Illus 7). Board appointment rights decide, not voting % (Illus 6, 8). Protective rights don't count (Illus 12). Dispute resolution by one party doesn't stop joint control (Illus 13). Different activities, key ones joint → JA (Illus 10).*
Type	***Joint operation** = parties have rights to the **assets** and obligations for the **liabilities**. **Joint venture** = rights to the **net assets**.*
Classification steps	*(1) Not in a separate vehicle → **JO** (Illus 14, 15). (2) Separate vehicle: does the **legal form** give rights to assets/obligations (LLP/partnership with no separation → JO — Illus 17; company → JV — Illus 16)? (3) **Contract terms** override? (Illus 18). (4) **Other facts**: output sold mainly to the parties and they fund the liabilities → JO (Illus 19 reassessment).*
JO accounting	*Recognise **own share** of assets, liabilities, revenue, expenses (line by line, in own and separate FS) (Illus 21: machinery 2,50,000, cash 25,000, loans). Sale to JO → gain/loss only to the extent of **other parties' interests**; full loss if it shows impairment (Illus 23: bank 32 + loss 8 = asset 40). Purchase from JO → don't recognise own share of the JO's gain until resold (Illus 24).*
JV accounting	***Equity method** (Ind AS 28). Party without joint control: JO with rights → recognise share; else Ind AS 109 / 28.*

ICAI ·

Ch 13 PQ 4, 9, 13, 15 and **TYK 1** (convertible preference shares giving Z a veto → Y becomes a JV of X and Z → X loses control; retained interest at FV, then equity method) are included below.

Ind AS 111 Joint Arrangements — ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

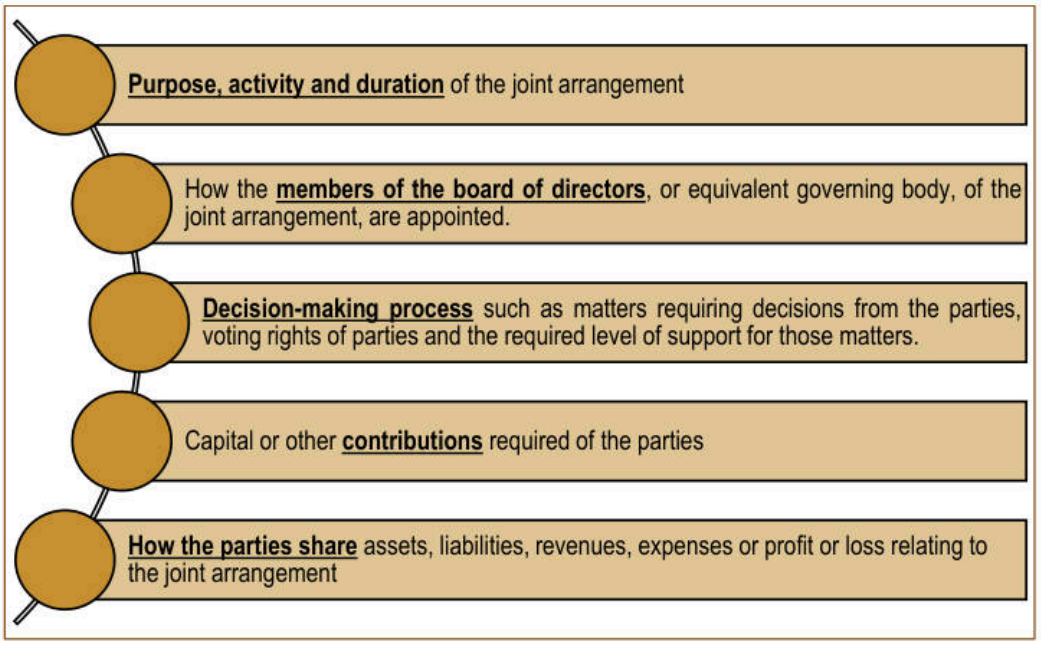
5.3 Assessment Of Joint Arrangement

Q98 · SM Ind AS 111 · Example 1

Example 1

A Ltd. and B Ltd. incorporated a new entity AB Ltd. The articles of association of AB Ltd. defines the terms of contractual arrangements between A Ltd. and B Ltd.

The contractual arrangement describes the terms of arrangement between the two or more parties that are involved in the activity that is subject of the arrangement. The contractual arrangement generally deals with such matters as:



ICAI example — facts and ICAI's analysis are printed together.

Q99 · SM Ind AS 111 · Illustration 1: Joint control

Illustration 1: Joint control

ABC Ltd. and DEF Ltd. have entered into a contractual arrangement to manufacture a product and sell that in retail market. As per the terms of the arrangement, decisions about the relevant activities require consent of both the parties. The parties share the returns of the arrangement equally amongst them. Whether the arrangement can be treated as joint arrangement?

Solution — ICAI

Solution:

The arrangement is a joint arrangement since both the parties are bound by the contractual arrangement and the decisions about relevant activities require unanimous consent of both the parties.

Q100 · SM Ind AS 111 · Illustration 2: Implicit joint control

Illustration 2: Implicit joint control

PQR Ltd. and XYZ Ltd. established an arrangement in which each has 50% of the voting rights and the contractual arrangement between them specifies that at least 51% of the voting rights are required to make decisions about the relevant activities. Whether the arrangement can be treated as joint arrangement?

Solution — ICAI

Solution:

In this case, the parties have implicitly agreed that they have joint control of the arrangement because decisions about the relevant activities cannot be made without both parties agreeing.

Q101 · SM Ind AS 111 · Illustration 3: Implicit joint control

Illustration 3: Implicit joint control

A Ltd., B Ltd. and C Ltd. established an arrangement whereby A Ltd. has 50% of the voting rights in the arrangement, B Ltd. has 30% and C has 20%. The contractual arrangement between A Ltd., B Ltd. and C Ltd. specifies that at least 75% of the voting rights are required to make decisions about the relevant activities of the arrangement. Whether the arrangement can be treated as joint arrangement?

Solution — ICAI

Solution:

In this case, even though A can block any decision, it does not control the arrangement because it needs the agreement of B. The terms of their contractual arrangement requiring at least 75% of the voting rights to make decisions about the relevant activities imply that A Ltd. and B Ltd. have joint control of the arrangement because decisions about the relevant activities of the arrangement cannot be made without both A Ltd. and B Ltd. agreeing.

Q102 · SM Ind AS 111 · Illustration 4: Explicit joint control

Illustration 4: Explicit joint control

An arrangement has three parties: X Ltd. has 50% of the voting rights in the arrangement and Y Ltd. and Z Ltd. each have 25%. The contractual arrangement between them specifies that at least 75% of the voting rights are required to make decisions about the relevant activities of the arrangement. Whether the arrangement can be treated as joint arrangement?

Solution — ICAI

Solution:

In this case, even though X Ltd. can block any decision, it does not control the arrangement because it needs the agreement of either Y Ltd. or Z Ltd. In this question, X Ltd., Y Ltd. and Z Ltd. collectively control the arrangement. However, there is more than one combination of parties that can agree to reach 75% of the voting rights (i.e. either X Ltd. and Y Ltd. or X Ltd. and Z Ltd.). In such a situation, to be a joint arrangement the contractual arrangement between the parties would need to specify which combination of the parties is required to agree unanimously to decisions about the relevant activities of the arrangement.

Q103 · SM Ind AS 111 · Illustration 5: Explicit joint control

Illustration 5: Explicit joint control

An arrangement has A Ltd. and B Ltd. each having 35% of the voting rights in the arrangement with the remaining 30% being widely dispersed. Decisions about the relevant activities require approval by a majority of the voting rights. Whether the arrangement can be treated as joint arrangement?

Solution — ICAI

Solution:

A Ltd. and B Ltd. have joint control of the arrangement only if the contractual arrangement specifies that decisions about the relevant activities of the arrangement require both A Ltd. and B Ltd. agreeing. However, in the given case, decisions about the relevant activities require approval by a majority of the voting rights. Hence, there is no joint arrangement.

Q104 · SM Ind AS 111 · Illustration 6: Joint control through board representation

Illustration 6: Joint control through board representation

Electronics Ltd. is established by two investors R Ltd. and S Ltd. The investors are holding 60% and 40% of the voting power of the investee respectively.

As per the articles of association of Electronics Ltd., both the investors have right to appoint 2 directors each on the board of Electronics Ltd. The directors appointed by each investor will act in accordance with the directions of the investor who has appointed such director. Further, articles of association provides that the decision about relevant activities of the entity will be taken by board of directors through simple majority.

Determine whether Electronics Ltd. is controlled by a single investor or is jointly controlled by both the investors.

Solution — ICAI

Solution:

The decisions about relevant activities are required to be taken by majority of board of directors. Hence, out of the 4 directors, at least 3 directors need to agree to pass any decision. Accordingly, the directors appointed by any one investor cannot take the decisions independently without the consent of at least one director appointed by other investor. Hence, Electronics Ltd. is jointly controlled by both the investors. R Ltd. holding majority of the voting rights is not relevant in this case since the voting rights do not given power over the relevant activities of the investee.

Q105 · SM Ind AS 111 · Illustration 7: Chairman with casting vote

Illustration 7: Chairman with casting vote

MN Software Ltd. is established by two investors M Ltd. and N Ltd. Both the investors are holding 50% of the voting power each of the investee.

As per the articles of association of MN Software Ltd., both the investors have right to appoint 2 directors each on the board of the company. The directors appointed by each investor will act in accordance with the directions of the investor who has appointed such director. The decision about relevant activities of the entity will be taken by board of directors through simple majority. Articles of association also provides that M Ltd. has right to appoint the chairman of the board who will have right of a casting vote in case of a deadlock situation.

Determine whether MN Software Ltd. is jointly controlled by both the investors.

Solution — ICAI

Solution:

The decisions about relevant activities are required to be taken by majority of board of directors. Hence, out of the 4 directors, at least 3 directors need to agree to pass any decision. Accordingly, the directors appointed by any one investor cannot take the decisions independently without the consent of at least one director appointed by other investor. However, the chairman of the board has right for a casting vote in case of a deadlock in the board. Hence, M Ltd. has the ability to take decisions related to relevant activities through 2 votes by directors and 1 casting vote by chairman of the board. Therefore, M Ltd. individually has power over MN Software Ltd. and there is no joint control.

Q106 · SM Ind AS 111 · Illustration 8: Equal voting rights but no joint control

Illustration 8: Equal voting rights but no joint control

ABC Ltd. is established by two investors AB Ltd. and BC Ltd. Each investor is holding 50% of the voting power of the investee.

As per the articles of association of ABC Ltd., AB Ltd. and BC Ltd. have right to appoint 3 directors and 2 directors respectively on the board of ABC Ltd. The directors appointed by each investor will act in accordance with the directions of the investor who has appointed such director. Further, articles of association provides that the decision about relevant activities of the entity will be taken by board of directors through simple majority.

Determine whether ABC Ltd. is jointly controlled by both the investors.

Solution — ICAI

Solution:

The decisions about relevant activities are required to be taken by majority of board of directors. Hence, out of the 5 directors, at least 3 directors need to agree to pass any decision. Accordingly, the directors appointed by AB Ltd. can take the decisions independently without the consent of any of the directors appointed by BC Ltd. Hence, ABC Ltd. is not jointly controlled by both the investors. Equal voting rights held by both the investors is not relevant in this case since the voting rights do not given power over the relevant activities of the investee.

Q107 · SM Ind AS 111 · Illustration 9: Joint control over specific asset

Illustration 9: Joint control over specific asset

X Ltd. and Y Ltd. entered into a contractual arrangement to buy a piece of land to construct residential units on the said land and sell to customers.

As per the arrangement, the land will be further divided into three equal parts. Out of the three parts, both the parties will be responsible to construct residential units on one part each by taking decision about relevant activities independently and they will be entitled to the returns generated from their own part of land. The third part of the land will be jointing managed by both the parties requiring unanimous consent of both the parties for all the decision making.

Determine whether the arrangement is a joint arrangement or not.

Solution — ICAI

Solution:

The two parts of the land which are required to be managed by both the parties independently on their own would not fall within the definition of a joint arrangement. However, the third part of the land which is required to be managed by both the parties with unanimous decision making would meet the definition of a joint arrangement.

Q108 · SM Ind AS 111 · Illustration 10: Multiple relevant activities directed by different investors

Illustration 10: Multiple relevant activities directed by different investors

Entity R and entity S established a new entity RS Ltd. to construct a national highway and operate the same for a period of 30 years as per the contract given by government authorities.

As per the articles of association of RS Ltd, the construction of the highway will be done by entity R and all the decisions related to construction will be taken by entity R independently. After the construction is over, entity S will operate the highway for the period of 30 years and all the decisions related to operating of highway will be taken by entity S independently. However, decisions related to funding and capital structure of RS Ltd. will be taken by both the parties with unanimous consent.

Determine whether RS Ltd. is a joint arrangement between entity R and entity S?

Solution — ICAI

Solution:

In this case, the investors should evaluate which of the decisions about relevant activities can most significantly affect the returns of RS Ltd. In the given case, construction of the national highway and operation of the same are both significant activities with control over the same being held unilaterally by R Ltd. and S Ltd. However, the decisions related to funding and capital structure of RS Ltd. are taken with unanimous consent.

The above structure is tabulated below:

Activity	Decision-making	Remarks
Construction of the highway	R Ltd., independently	All activities are significant for RS Ltd., but since funding and capital structure are essential without which construction and operation cannot commence, the same is highly significant.
Operation of the highway	S Ltd., independently	
Funding and Capital Structure	Joint decision-making by R Ltd. and S Ltd., both	

In view of the above, since the decision relating to Funding and Capital Structure are taken jointly by R Ltd. and S Ltd. both, we can conclude that RS Ltd. is a joint arrangement.

Q109 · SM Ind AS 111 · Illustration 11: Informal agreement for sharing of control

Illustration 11: Informal agreement for sharing of control

An entity has four investors A, B, C and D holding 10%, 20%, 30% and 40% voting power respectively. The articles of association require decisions about relevant activities to be taken by majority voting rights. However, investor A, B and C have informally agreed to vote together. This informal agreement has been effective in recent meetings of the investors to take decisions about relevant activities. Whether A, B and C have joint control over the entity?

Solution — ICAI

Solution:

In this case, three investors have informally agreed to make unanimous decisions. These three investors together also have majority voting rights in the entity. Hence, investor A, B and C have joint control over the entity. The agreement between investor A, B and C need not be formally documented as long as there is evidence of its existence in recent meetings of the investors.

Q110 · SM Ind AS 111 · Illustration 12: Party with protective rights

Illustration 12: Party with protective rights

D Ltd., E Ltd. and F Ltd. have established a new entity DEF Ltd. As per the arrangement, unanimous consent of all three parties is required only with respect to decisions related to change of name of the entity, amendment to constitutional documents of the entity to enter into a new business, change in the registered office of the entity, etc. Decisions about other relevant activities require consent of only D Ltd. and E Ltd. Whether F Ltd. is a party with joint control of the arrangement?

Solution — ICAI

Solution:

Consent of F Ltd. is required only with respect to the fundamental changes in DEF Ltd. Hence these are protective rights. The decisions about relevant activities are taken by D Ltd. and E Ltd. Hence, F Ltd. is not a party with joint control of the arrangement.

Q111 · SM Ind AS 111 · Illustration 13: Resolution of disputes without unanimous consent

Illustration 13: Resolution of disputes without unanimous consent

Entity A and Entity B established a contractual arrangement whereby the decision related to relevant activities are required to be taken by unanimous consent of both the parties. However, in case of any dispute with any vendor or customer of the arrangement, entity A has right to take necessary decisions for the resolution of disputes including decisions of going for the arbitration or filing a suit in court of law. Whether the arrangement is a joint arrangement?

Solution — ICAI

Solution:

The arrangement is a joint arrangement since the contractual arrangement requires decisions about relevant activities to be taken by unanimous consent of both the parties. The right available with entity A to take decisions for resolution of disputes will not prevent the arrangement from being a joint arrangement.

5.4 Types Of Joint Arrangement

Q112 · SM Ind AS 111 · Illustration 14: Joint operation

Illustration 14: Joint operation

P Ltd. and Q Ltd. are two construction entities and they have entered into a contractual arrangement to jointly construct a metro rail project.

The construction of metro rail project involves various activities such as construction of infrastructure (like metro station, control room, pillars at the centre of the road, etc.) for the metro, laying of the tracks, acquiring of the coaches of the metro, etc. The total length of the metro line to be constructed is 50 kms. As per the arrangement, both the parties are responsible to construct 25 kms each. Each party is required to incur its own cost, use its own assets, incur the liability and has right to the revenue from their own part of the work.

Determine whether the arrangement is a joint operation or not?

Solution — ICAI

Solution:

The arrangement is a joint operation since the arrangement is not structured through a separate vehicle and each party has rights to the assets, and obligations for the liabilities relating to their own part of work in the joint arrangement.

Q113 · SM Ind AS 111 · Illustration 15: Joint operation by sharing an asset

Illustration 15: Joint operation by sharing an asset

RS Ltd. and MN Ltd. entered into a contractual arrangement to run a business of providing cars of hire. The cars will be owned by both the parties jointly. The expenses to run the car (like driver salary, petrol, maintenance, insurance, etc.) and revenues from the business will be shared between both the parties as agreed in the contractual arrangement. Determine whether the arrangement is a joint operation or not?

Solution — ICAI

Solution:

The arrangement is a joint operation since the arrangement is not structured through a separate vehicle.

Q114 · SM Ind AS 111 · Illustration 16: Legal form indicates the arrangement to be a joint venture

Illustration 16: Legal form indicates the arrangement to be a joint venture

Entity X and Entity Y are engaged in the business of Engineering, Procurement and Construction (EPC) for its customers. Both the parties have jointly won a contract from a customer for executing an EPC contract and for that the parties have established a new entity XY Ltd. The contract will be executed through XY Ltd.

All the assets required for the execution of the contract will be acquired and liabilities relating to the execution will be incurred by XY Ltd. in its own name. Entity X and entity Y will have share in the net profits of XY Ltd. in the ratio of their shareholding i.e. 50% each. Assuming that the arrangement meets the definition of a joint arrangement, determine whether the joint arrangement is a joint operation or a joint venture?

Solution — ICAI

Solution:

The legal form of the separate vehicle is a company. The legal form of the separate vehicle causes the separate vehicle to be considered in its own right. Hence, it indicates that the arrangement is a joint venture. In this case, the parties should further evaluate the terms of contractual arrangements and other relevant facts and circumstances to conclude whether the arrangement is a joint venture or a joint operation.

Q115 · SM Ind AS 111 · Illustration 17: Legal form indicates the arrangement to be a joint operation

Illustration 17: Legal form indicates the arrangement to be a joint operation

Two entities have established a Limited Liability Partnership (LLP) with each party having 50% share in the net profits of the firm. If the arrangement meets the definition of a joint arrangement, determine whether the joint arrangement is a joint operation or a joint venture? Would your answer change if a partnership firm was established instead of an LLP.

Solution — ICAI

Solution:

A limited liability partnership is recognized as a body corporate with an existence distinct from that of its partners. Accordingly, the partners to the LLP would have a right to the net assets of the LLP as against a right to the assets and obligations to the liabilities of the same. Accordingly, such an arrangement would be a joint venture.

In case the entity formed is a partnership firm, the Indian Partnership Act, 1932 does not distinguish the partners from the partnership firm, and therefore all the partners would be liable to the liabilities of the firm, as well as have interest in the assets of the firm (and not the net assets). accordingly, there would be no separation between the partners and the partnership firm. Hence, in such a case, the joint arrangement would be regarded as a joint operation.

Q116 · SM Ind AS 111 · Illustration 18: Assessing the terms of the contractual arrangement

Illustration 18: Assessing the terms of the contractual arrangement

Continuing with the illustration 16 above, assume that Entity X and Entity Y have entered into a separate agreement whereby they have agreed that each party has an interest in the assets of the XY Ltd. and each party is liable for the liabilities of XY Ltd. in a specified proportion. Determine whether the joint arrangement is a joint operation or a joint venture?

Solution — ICAI

Solution:

In this case, the terms of the separate agreement may cause the arrangement to be a joint operation.

Q117 · SM Ind AS 111 · Illustration 19: Assessing other facts and circumstances

Illustration 19: Assessing other facts and circumstances

Two parties structure a joint arrangement in an incorporated entity i.e. Entity A in which each party has a 50% ownership interest. The purpose of the arrangement is to manufacture materials required by the parties for their own, individual manufacturing processes. The arrangement ensures that the parties operate the facility that produces the materials to the quantity and quality specifications of the parties. The legal form of Entity A (an incorporated entity) through which the activities are conducted initially indicates that the assets and liabilities held in Entity A are the assets and liabilities of Entity A. The contractual arrangement between the parties does not specify that the parties have rights to the assets or obligations for the liabilities of Entity A. There are following other relevant facts and circumstances applicable in this case:

- *The parties agreed to purchase all the output produced by Entity A in a ratio of 50:50. Entity A cannot sell any of the output to third parties, unless this is approved by the two parties to the arrangement. Because the purpose of the arrangement is to provide the parties with output they require, such sales to third parties are expected to be uncommon and not material.*
- *The price of the output sold to the parties is set by both parties at a level that is designed to cover the costs of production and administrative expenses incurred by Entity A. On the basis of this operating model, the arrangement is intended to operate at a break-even level.*

Based on the above fact pattern, determine whether the arrangement is a joint operation or a joint venture?

Solution — ICAI

Solution:

The legal form of Entity A and the terms of the contractual arrangement indicate that the arrangement is a joint venture. However, the other relevant facts and circumstances mentioned above indicates that:

- the obligation of the parties to purchase all the output produced by Entity A reflects the exclusive dependence of Entity A upon the parties for the generation of cash flows and, thus, the parties have an obligation to fund the settlement of the liabilities of Entity A.
- the fact that the parties have rights to all the output produced by Entity A means that the parties are consuming, and therefore have rights to, all the economic benefits of the assets of Entity A.

These facts and circumstances indicate that the arrangement is a joint operation. The conclusion about the classification of the joint arrangement in these circumstances would not change if, instead of the parties using their share of the output themselves in a subsequent manufacturing process, the parties sold their share of the output to third parties.

If the parties changed the terms of the contractual arrangement so that the arrangement was able to sell output to third parties, this would result in Entity A assuming demand, inventory and credit risks. In that scenario, such a change in the facts and circumstances would require reassessment of the classification of the joint arrangement. Such facts and circumstances would indicate that the arrangement is a joint venture.

Q118 · SM Ind AS 111 · Illustration 20: Multiple joint arrangements under single framework agreement

Illustration 20: Multiple joint arrangements under single framework agreement

AB Ltd. and CD Ltd. have entered into a framework agreement to manufacture and distribute a new product i.e. Product X. The two activities to be performed as per the framework agreement are i) Manufacture of Product X and ii) Distribution of Product X. The manufacturing of the product will not be done through a separate vehicle. The parties will purchase the necessary machinery in their joint name. For the distribution of the product, the parties have established a new entity ABCD Ltd. All the goods manufactured will be sold to ABCD Ltd. as per price mutually agreed by the parties. Then ABCD Ltd. will do the marketing and distribution of the product. Both the parties will have joint control over ABCD Ltd.

The legal form of ABCD Ltd. causes it to be considered in its own right (ie the assets and liabilities held in ACD Ltd. are the assets and liabilities of ABC Ltd. and not the assets and liabilities of the parties). Further, the contractual arrangement and other relevant facts and circumstances also do not indicate otherwise.

Determine whether various arrangements under the framework agreement are joint operation or joint venture?

Solution — ICAI

Solution:

The manufacturing of Product X is not done through a separate vehicle and the assets used to manufacture the product are jointly owned by both the parties. Hence, the manufacturing activity is a joint operation.

The distribution of Product X is done through a separate vehicle i.e. ABCD Ltd. Further, AB Ltd. and CD Ltd. do not have rights to the assets, and obligations for the liabilities, relating to ABCD Ltd. Hence ABCD Ltd. is a joint venture.

5.5 Accounting Of Joint Operations

Q119 · SM Ind AS 111 · Illustration 21: Accounting of interest in joint operation

Illustration 21: Accounting of interest in joint operation

P and Q form a joint arrangement PQ using a separate vehicle. P and Q each own 50% of the capital of PQ. However, the contractual terms of the joint arrangement states that P has the rights to all of Machinery and the obligation to pay Bank Loan in PQ. P and Q have rights to all other assets in PQ and obligations for all other liabilities in PQ in proportion to their share of capital (i.e. 50% each).

PQ's balance sheet is as follows:

Balance Sheet

Liabilities	₹	Assets	₹
Capital	1,50,000	Machinery	2,50,000
Bank Loan	75,000	Cash	50,000
Other Loan	75,000		
	3,00,000		3,00,000

How should P record in its financial statements its rights and obligations in PQ?

Solution — ICAI

Solution:

Under Ind AS 111, P should record the following in its financial statements, to account for its rights in the assets of PQ and its obligations for the liabilities of PQ.

Machinery	2,50,000
Cash	25,000
Capital	75,000
Bank Loan	75,000
Other Loan	37,500

Q120 · SM Ind AS 111 · Illustration 22: Accounting of interest in joint operation

Illustration 22: Accounting of interest in joint operation

AB Ltd. and BC Ltd. have established a joint arrangement through a separate vehicle PQR. The legal form of the separate vehicle does not confer separation between the parties and the separate vehicle itself. Thus, both the parties have rights to the assets and obligations for the liabilities of PQR. As neither the contractual terms nor the other facts and circumstances indicate otherwise, it is concluded that the arrangement is a joint operation and not a joint venture.

Both the parties own 50% each of the equity interest in PQR. However, the contractual terms of the joint arrangement state that AB Ltd. has the rights to all of Building No. 1 owned by PQR and the obligation to pay all of the debt owned by PQR to a lender XYZ. AB Ltd. and BC Ltd. have rights to all other assets of PQR and obligations for all other liabilities of PQR in proportion of their equity interests (i.e. 50% each)

PQR's balance sheet is as follows:

Balance Sheet

Liabilities	₹	Assets	₹
Debt owed to XYZ	240	Cash	40
Employee benefit plan obligation	100	Building 1	240
Equity	140	Building 2	200
	480		480

How should AB Ltd. record in its financial statements its rights and obligations in PQR?

Solution — ICAI

Solution:

Under Ind AS 111, AB Ltd. should record the following in its financial statements, to account for its rights in the assets of PQR and its obligations for the liabilities of PQR.

	₹
Assets	
Cash	20
Building 1 *	240
Building 2	100
Liabilities	
Debt (third party) ^	240
Employee benefit plan obligation	50
Equity	70

* Since AB Ltd. has the rights to all of Building No. 1, it records the amount in its entirety.

^ AB Ltd. has obligation for the debt owed by PQR to XYZ in its entirety

Q121 · SM Ind AS 111 · Illustration 23: Accounting for sales or contributions of assets to a joint oper

Illustration 23: Accounting for sales or contributions of assets to a joint operation

A Ltd. is one of the parties to a joint operation holding 60% interest in a joint operation and the balance 40% interest is held by another joint operator. A Ltd. has contributed an asset held by it to the joint operation for the activities to be conducted in joint operation. The carrying value of the asset sold was ₹ 100 and the asset was actually sold for ₹ 80 i.e. at a loss of ₹ 20.

How should A Ltd. account for the sale of asset to joint operation in its books?

Solution — ICAI

Solution:

A Ltd. should record the loss on the transaction only to the extent of other party's interest in the joint operation.

The total loss on the transaction is ₹ 20. Hence, A Ltd. shall record loss on sale of asset to the extent of ₹ 8 (₹ 20 x 40%) which is the loss pertaining to the interest of other party to the joint operation. The loss of ₹ 12 (₹ 20 - ₹ 8) shall not be recognised as that is unrealised loss.

Further, while accounting its interest in the joint operation, A Ltd. shall record its share in that asset at value of ₹ 60 [A Ltd. share of asset ₹ 48 (₹ 80 x 60%) plus unrealised loss of ₹ 12].

The journal entry for the transaction would be as follows:

Bank	Dr.	₹ 32	
Loss on sale	Dr.	₹ 8	
To Asset			₹ 40

Q122 · SM Ind AS 111 · Illustration 24: Accounting for purchases of assets from a joint operation

Illustration 24: Accounting for purchases of assets from a joint operation

A Ltd. is one of the parties to a joint operation holding 60% interest in the joint operation and the balance 40% interest is held by another joint operator. A Ltd. has purchased an asset from the joint operation. The carrying value of the asset in the books of joint operation was ₹ 100 and the asset was actually purchased for ₹ 80 i.e. at a loss of ₹ 20. How should A Ltd. account for the purchase of asset from joint operation in its books?

Solution — ICAI

Solution:

A Ltd. should not record its share of the loss until the asset is resold to a third party.

The joint operation has sold the asset at ₹ 80 by incurring a loss of ₹ 20. Hence, A Ltd. shall record the asset at ₹ 92 [Purchase price ₹ 80 + A Ltd.'s share in loss ₹ 12 (₹ 20 x 60%)].

Further, while accounting its interest in the joint operation, A Ltd. shall not record any share in the loss incurred in sale transaction by the joint operation.

The journal entry for the transaction would be as follows:

Asset	Dr.	₹ 32	
To Bank			₹ 32

Ch 13 Test Your Knowledge

Q123 · SM Ch 13 · Test Your Knowledge Q1

1. X Limited was holding 100% of the equity share capital of Y Limited and Y Limited was treated as a subsidiary by X Limited. Now, Y Limited issues convertible preference shares to Z Limited. As per the issue document of convertible preference shares, Z Limited also gets the rights to participate in the relevant activities of Y Limited whereby Z Limited's consent is also necessary to pass any decision by the equity shareholder of Y Limited (i.e. X Limited). Determine how should X Limited account for its investment in Y Limited in its consolidated financial statements after the issue of convertible preference shares by Y Limited to Z Limited?

Solution — ICAI

1. As per the issue document of convertible preference shares, unanimous consent of both X Limited and Z Limited are required to pass any decision about the relevant activities of Y Limited. Hence, Y Limited is jointly controlled by X Limited and Z Limited and thereby, Y Limited becomes a joint arrangement between X Limited and Z Limited.

Y Limited is structured through a separate vehicle. The legal form of Y Limited, terms of the contractual arrangement or other facts and circumstances do not give X Limited and Z Limited rights to the assets, and obligations for the liabilities, relating to Y Limited. Hence, Y Limited is a joint venture between X Limited and Z Limited.

When the convertible preference shares are issued to Z Limited, X Limited losses control over Y Limited. Hence X Limited should derecognise the assets and liabilities of Y Limited from its consolidated financial statements. 100% equity shares in Y Limited is still held by X Limited. Hence such investment would be accounted at fair value on the date of loss of control by X Limited. The difference between the fair value of 100% equity shares retained in Y Limited and the carrying value of assets and liabilities of Y Limited derecognised is recognised in profit or loss of X Limited. After the loss of control, the investment in Y Limited is accounted as per equity method of accounting by X Limited whereby the investment value in Y Limited will be adjusted for the change in the X Limited's share of the net assets Y Limited post the date of loss of control. Also, the difference between the fair value of investment in Y Limited and fair value of net identifiable assets of Y Limited shall be goodwill or capital reserve.

ICAI Practice Questions (Ch 13)

Q124 · ICAI Practice Questions · Ch 13 Q4

4. On 1st April 20X1 Alpha Ltd. commenced joint construction of a property with Gama Ltd. For this purpose, an agreement has been entered into that provides for joint operation and ownership of the property. All the ongoing expenditure, comprising maintenance plus borrowing costs, is to be shared equally. The construction was completed on 30th September 20X1 and utilisation of the property started on 1st January 20X2 at which time the estimated useful life of the same was estimated to be 20 years.

Total cost of the construction of the property was ₹ 40 crores. Besides internal accruals, the cost was partly funded by way of loan of ₹ 10 crores taken on 1st January 20X1. The loan carries interest at an annual rate of 10% with interest payable at the end of year on 31st December each year. The company has spent ₹ 4,00,000 on the maintenance of such property.

The company has recorded the entire amount paid as investment in Joint Venture in the books of accounts. Suggest the suitable accounting treatment of the above transaction as per applicable Ind AS.

Solution — ICAI

4. As provided in Ind- AS 111 - Joint Arrangements - this is a joint arrangement because two or more parties have joint control of the property under a contractual arrangement. The arrangement will be regarded as a joint operation because Alpha Ltd. and Gama Ltd. have rights to the assets and obligations for the liabilities of this joint arrangement. This means that the company and the other investor will each recognise 50% of the cost of constructing the asset in property, plant and equipment.

The borrowing cost incurred on constructing the property should under the principles of Ind AS 23 'Borrowing Costs', be included as part of the cost of the asset for the period of construction.

In this case, the relevant borrowing cost to be included is ₹ 50,00,000 (₹ 10,00,00,000 x 10% x 6/12).

The total cost of the asset is ₹ 40,50,00,000 (₹ 40,00,00,000 + ₹ 50,00,000) ₹ 20,25,00,000 crores is included in the property, plant and equipment of Alpha Ltd. and the same amount in the property, plant and equipment of Gama Ltd.

The depreciation charge for the year ended 31 March 20X2 will therefore be ₹ 1,01,25,000 (₹ 40,50,00,000 x 1/20 x 6/12) ₹ 50,62,500 will be charged in the statement of profit or loss of the company and the same amount in the statement of profit or loss of Gama Ltd.

The other costs relating to the arrangement in the current year totalling ₹ 54,00,000 (finance cost for the second half year of ₹ 50,00,000 plus maintenance costs of ₹ 4,00,000) will be charged to the statement of profit or loss of Alpha Ltd. and Gama Ltd. in equal proportions- ₹ 27,00,000 each.

Not repeated: *MTP Nov 2023 S-I · Q3(c) Or — same question, same answer.*

Q125 · ICAI Practice Questions · Ch 13 Q9

9. Identify the type of joint arrangements in each of the following scenarios:

(i) X Ltd and Y Ltd, manufacturing similar type of mobile phones, form a joint arrangement to manufacture and sell mobile phones. Under the terms of the arrangement, both X Ltd and Y Ltd are to use their own assets to manufacture the mobile phones and both are responsible for liabilities related to their respective manufacture. The arrangement also lays down the distribution revenues from the sale of the mobile phones and expenses incurred thereof. X Ltd., however, has

exclusive control over the marketing and distribution functions and does not require the consent of Y Ltd in this aspect. No separate entity is created for the arrangement.

(ii) Continuing with (i) above, what would be the classification of the joint arrangement if X Ltd and Y Ltd both jointly control all the relevant activities of the Joint arrangement including the marketing and the distribution functions?

(iii) What would be the classification of the joint arrangement if under the terms of the arrangement, a separate entity is created to manufacture the mobile phones.

(iv) Continuing with (iii) above, the joint arrangement is a means of manufacturing mobile phones on a common platform but the output of the joint arrangement is purchased by both X Ltd and Y Ltd in the ratio of 50:50. The joint arrangement cannot sell output to third parties. The price of the output sold to X Ltd and Y Ltd is set by both the parties to the arrangement to cover the production costs and other administrative costs of the joint arrangement entity.

(v) Would your answer in (iv) above be different if X Ltd and Y Ltd sold their respective share of output to third parties?

(vi) Assume that in (iv) above, the contractual terms of the arrangement were modified so that the joint arrangement entity is not obliged to sell the output to X Ltd and Y Ltd but was able to sell the output to third parties.

Solution — ICAI

9. For a joint arrangement to be either a *joint operation* or *joint venture*, it depends on whether the parties to the joint arrangement have rights to the assets and obligations for liabilities (will be a joint operation) OR whether the parties to the joint arrangement have rights to the net assets of the arrangement (will be joint venture).

(i) In order to fit into the definition of a joint arrangement, the parties to the joint arrangement should have joint control over the arrangement. In the given case, decisions relating to relevant activities, ie, marketing and distribution, are solely controlled by X Ltd and such decisions do not require the consent of Y Ltd. Hence,

the joint control test is not satisfied in this arrangement and the arrangement does not fit into the definition of a joint arrangement in accordance with the Standard.

(ii) Where X Ltd and Y Ltd both jointly control all the relevant activities of the arrangement and since no separate entity is formed for the arrangement, the joint arrangement is in the nature of a *joint operation.*

(iii) Where under a joint arrangement, a separate vehicle is formed to give effect to the joint arrangement, then the joint arrangement can either be a *joint operation* or a *joint venture.*

Hence in the given case, if:

(a) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd rights to the assets and obligations for the liabilities relating to the arrangement, and the rights to the corresponding revenues and obligations for the corresponding expenses, *then the joint arrangement will be in the nature of a joint operation.*

(b) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd. rights to the net assets of the arrangement, *then the joint arrangement will be in the nature of a joint venture.*

(iv) Where the rights to assets and liabilities to obligations are not clear from the contractual arrangement, then other facts and circumstances also need to be considered to determine whether the joint arrangement is a joint operation or a joint venture.

When the provision of the activities of the joint venture is primarily to produce output and the output is available / distributed only to the parties to the joint arrangement in some pre-determined ratio, then this indicates that the parties have substantially all the economic benefits of the assets of the arrangement. The only source of cash flows to the joint arrangement is receipts from parties through their purchases of the output and the parties also have a liability to fund the settlement of liabilities of the separate entity. Such an arrangement indicates that the joint arrangement is in the nature of *a joint operation.*

In the given case, the output of the joint arrangement is exclusively used by X Ltd. and Y Ltd. and the joint arrangement is not allowed to sell the output to outside parties. Hence, the joint arrangement between X Ltd. and Y Ltd. is in the nature of *a joint operation.*

(v) It makes no difference whether the output of the joint arrangement is exclusively for use by the parties to the joint arrangement or the parties to the arrangement sold their share of the output to third parties.

Hence, even if X Ltd. and Y Ltd. sold their respective share of output to third parties, the fact still remains that the joint arrangement cannot sell output directly to third parties. Hence, the joint arrangement will still be deemed to be in the nature of *a joint operation.*

(vi) Where the terms of the contractual arrangement enable the separate entity to sell the output to third parties, this would result in the separate entity assuming demand, inventory and credit risks. Such facts and circumstances would indicate that the arrangement is a joint venture.

Q126 · ICAI Practice Questions · Ch 13 Q13

13. Entities A and B establish a 50:50 joint operation in the form of a separate legal entity, Entity J, whereby each operator has a 50% ownership interest and takes 50% of the output.

On formation of the joint operation, Entity A contributes a property with fair value of ₹ 110 lakhs and intangible asset with fair value of ₹ 10 lakhs whereas Entity B contributes equipment with a fair value of ₹ 120 lakhs.

The carrying amounts of the assets contributed by Entities A and B are ₹ 100 lakhs and ₹ 80 lakhs, respectively.

What will be the amount of any gain or loss to be recognised by Entity A and Entity B in its separate financial statements as well as consolidated financial statements?

Solution — ICAI

13. Paragraph B34 of Ind AS 111 states that when an entity enters into a transaction with a joint operation in which it is a joint operator, such as a sale or contribution of assets, it is conducting the transaction with the other parties to the joint operation and, as such, the joint operator shall recognise gains and losses resulting from such a transaction only to the extent of the other parties' interests in the joint operation.

The amount of gain or loss to be recognised by Entity A in its separate financial statements as well as consolidated financial statements will be computed as below:

(All amounts are ₹ in lakhs)

A's share of fair value of asset contributed by Entity B (50% x ₹ 120 lakhs)	60
Less: Asset contributed by Entity A to the joint operation – carrying amount of proportion ceded to Entity B (50% x ₹ 100 lakhs)	(50)
Gain to be recognised by Entity A	10

The gain can alternatively be calculated as:

Share acquired in fair value of net assets of joint operation (50% x ₹ 240 lakhs)	120
Less: Carrying amount of asset contributed	(100)
Less: Unrealised portion of gain on asset contributed (50% × (₹ 120 lakhs – ₹ 100 lakhs))	(10)
Gain to be recognised by Entity A	10

The amount of gain or loss to be recognised by Entity B in its separate financial statements as well as consolidated financial statements will be computed as below:

(All amounts are ₹ in lakhs)

B's share of fair value of asset contributed by Entity A (50% x ₹ 120 lakhs)	60
Less: Asset contributed by Entity B to the joint operation – carrying amount of proportion ceded to Entity A (50% x ₹ 80 lakhs)	(40)
Gain to be recognised by Entity B	20

The gain can alternatively be calculated as:

Share acquired in fair value of net assets of joint operation (50% x ₹ 240 lakhs)	120
Less: Carrying amount of asset contributed	(80)
Less: Unrealised portion of gain on asset contributed (50% × (₹ 120 lakhs – ₹ 80 lakhs))	(20)
Gain to be recognised by Entity B	20

Not repeated: *RTP Nov 2023 · Q14 — same question, same answer.*

Q127 · ICAI Practice Questions · Ch 13 Q15

15. P Limited and Q Limited enter into a contractual arrangement to buy a building that has 12 floors, which they will lease to other parties. P Limited and Q Limited are authorised to lease five floors each. P Limited and Q Limited can unilaterally make all decisions related to their respective floors and are entitled to all of the income from those floors. The remaining two floors will be jointly managed – all decisions concerning these two floors must be unanimously agreed to between P Limited and Q Limited who will share net profits or net losses in respect of these two floors equally, i.e. they both have the rights to the net assets of the arrangement. The leasing of property is determined

Solution — ICAI

15. Paragraphs 15-17 of Ind AS 111 state that a joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities, relating to the arrangement. Those parties are called joint operators.

Further, a joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement. Those parties are called joint venturers.

Furthermore, an entity applies judgement when assessing whether a joint arrangement is a joint operation or a joint venture. An entity shall determine the type of joint arrangement in which it is involved by considering its rights and obligations arising from the arrangement. An entity assesses its rights and obligations by considering the structure and legal form of the arrangement, the terms agreed by the parties in the contractual arrangement and, when relevant, other facts and circumstances.

In the given case, accounting by P Limited and Q Limited would be as follows:

(i) Five floors that P Limited controls

Five floors that are controlled by P Limited shall be accounted for by P Limited as investment property under Ind AS 40, Investment Property, which defines the term 'investment property' as property (land or a building—or part of a building—or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for:

(a) use in the production or supply of goods or services or for administrative purposes; or

(b) sale in the ordinary course of business.

(ii) Five floors that Q Limited controls

Five floors that are controlled by Q Limited shall be accounted for by Q Limited as investment property under Ind AS 40.

(iii) Two floors that P Limited and Q Limited jointly control

For the two floors that are jointly controlled by P Limited and Q Limited, as per the contractual arrangement, both P Limited and Q Limited will share net profits or net losses equally i.e. they both have the rights to the net assets of the arrangement. Thus, the arrangement in respect of these two floors is a joint venture and shall be accounted for accordingly by P Limited and Q Limited.

Not repeated: *RTP Nov 2024 · Q20 — same question, same answer.*

RTP / MTP / past papers

Q128 · MTP May 2023 S-II · Q4(b)

(b) Identify the type of joint arrangements in each of the following scenarios:

(i) X Ltd and Y Ltd, manufacturing similar type of mobile phones, form a joint arrangement to manufacture and sell mobile phones. Under the terms of the arrangement, both X Ltd and Y Ltd are to use their own assets to manufacture the mobile phones and both are responsible for liabilities related to their respective manufacture. The arrangement also lays down the distribution revenues from the sale of the mobile phones and expenses incurred thereof. X Ltd however has exclusive control over the marketing and distribution functions and does not require the consent of Y Ltd in this aspect. No separate entity is created for the arrangement.

(ii) Continuing with (i) above, what would be the classification of the joint arrangement if X Ltd and Y Ltd both jointly control all the relevant activities of the Joint arrangement including the marketing and the distribution functions?

(iii) What would be the classification of the joint arrangement if under the terms of the arrangement, a separate entity is created to manufacture the mobile phones.

(iv) Continuing with (iii) above, the joint arrangement is a means of manufacturing mobile phones on a common platform but the output of the joint arrangement is purchased by both X Ltd and Y Ltd in the ratio of 50:50. The joint arrangement cannot sell output to third parties. The price of the output sold to X Ltd and Y Ltd is set by both the parties to the arrangement to cover the production costs and other administrative costs of the joint arrangement entity.

(v) Would your answer in (iv) above be different if X Ltd and Y Ltd sold their respective share of output to third parties?

(vi) Assume that in (iv) above, the contractual terms of the arrangement were modified so that the joint arrangement entity is not obliged to sell the output to X Ltd and Y Ltd but was able to sell the output to third parties. (7 Marks)

Solution — ICAI

(b) (i) In order to fit into the definition of a joint arrangement, the parties to the joint arrangement should have joint control over the arrangement. In the given case, decisions relating to relevant activities, ie, marketing and distribution, are solely controlled by X Ltd and such decisions do not require the consent of Y Ltd. Hence, the joint control test is not satisfied in this arrangement and the arrangement does not fit into the definition of a joint arrangement in accordance with the Standard.

(ii) Where X Ltd and Y Ltd both jointly control all the relevant activities of the arrangement and

since no separate entity is formed for the arrangement, the joint arrangement is in the nature of a joint operation.

(iii) Where under a joint arrangement, a separate vehicle is formed to give effect to the joint arrangement, then the joint arrangement can either be a joint operation or a joint venture.

Hence in the given case, if:

(a) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd rights to the assets and obligations for the liabilities relating to the arrangement, and the rights to the corresponding revenues and obligations for the corresponding expenses, then the joint arrangement will be in the nature of a joint operation.

(b) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd. rights to the net assets of the arrangement, then the joint arrangement will be in the nature of a joint venture.

(iv) Where the rights to assets and liabilities to obligations are not clear from the contractual arrangement, then other facts and circumstances also need to be considered to determine whether the joint arrangement is a joint operation or a joint venture.

When the provision of the activities of the joint venture is primarily to produce output and the output is available / distributed only to the parties to the joint arrangement in some pre-determined ratio, then this indicates that the parties have substantially all the economic benefits of the assets of the arrangement. The only source of cash flows to the joint arrangement is receipts from parties through their purchases of the output and the parties also have a liability to fund the settlement of liabilities of the separate entity. Such an arrangement indicates that the joint arrangement is in the nature of a joint operation.

In the given case, the output of the joint arrangement is exclusively used by X Ltd. and Y Ltd. and the joint arrangement is not allowed to sell the output to outside parties. Hence, the joint arrangement between X Ltd. and Y Ltd. is in the nature of a joint operation.

(v) It makes no difference whether the output of the joint arrangement is exclusively for use by the parties to the joint arrangement or the parties to the arrangement sold their share of the output to third parties.

Hence, even if X Ltd. and Y Ltd. sold their respective share of output to third parties, the fact still remains that the joint arrangement cannot sell output directly to third parties.

Hence, the joint arrangement will still be deemed to be in the nature of a joint operation.

(vi) Where the terms of the contractual arrangement enable the separate entity to sell the output to third parties, this would result in the separate entity assuming demand, inventory and credit risks. Such facts and circumstances would indicate that the arrangement is a joint venture.

For a joint arrangement to be either a joint operation or joint venture, it depends on whether

the parties to the joint arrangement have rights to the assets and obligations for liabilities (will be a joint operation) OR whether the parties to the joint arrangement have rights to the net assets of the arrangement (will be joint venture).

Q129 · MTP May 2025 S-1 · Part II Q1

1. A Ltd. and B Ltd. are companies registered under the Companies Act, 2013. A Ltd. is an Ind AS compliant entity and follows year ended March as its financial reporting period.

On 1st April 20X1, they entered into an agreement to jointly engage in the hospitality business. For this purpose, they formed a partnership firm with the name of M/s. Star Hotel ("the Firm"). Under the relevant laws, the partners and the Firm are not considered as separate legal entities.

To regulate the operations of the Firm, A Ltd. and B Ltd. entered into a partnership deed whose relevant terms and conditions are as follows:

• A Ltd. and B Ltd. shall be the partners of the Firm.

• Consent of both partners shall be required for taking decisions on any matter which may affect the returns of the business.

• The Firm shall operate a three-storied hotel as follows:

Floor	Rights and obligations relating to the floor
Ground floor (Ground floor will comprise of reception, lobby, restaurant, laundry division, and general administration office)	Both partners shall jointly and equally own the legal and beneficial ownership of the ground floor including all of its assets and related liabilities. All the costs relating to the operation of the ground floor shall be jointly and equally shared by both the partners.
First floor (First floor will comprise of Indian themed rooms for customers)	A Ltd. shall have legal and beneficial ownership of the first floor including all of its assets and related liabilities. The net profit for the period attributable to the renting of rooms of first floor shall accrue solely to the account of A Ltd..
Second floor (Second floor will comprise of Italian themed rooms for customers)	B Ltd. shall have legal and beneficial ownership of the second floor including all of its assets and related liabilities. The net profit for the period attributable to the renting of rooms of second floor shall accrue solely to the account of B Ltd..
Third floor (Third floor will comprise of a banquet hall)	Both the partners shall jointly and equally own legal and beneficial ownership of the third floor including all of its assets and related liabilities. The net profit for the period attributable to the renting of the banquet hall shall accrue equally to the account of both the partners.

During the first year of operation of the hotel, A Ltd. many time doubted and objected to the manner in which the guests were preferentially convinced by the reception desk to occupy the Italian-themed rooms of the second floor.

To avoid the repetitive disputes, on 1st April 20X2, A Ltd. and B Ltd. converted the partnership firm into a company named Star Hotel Pvt. Ltd. ("the Company"). Under the relevant laws, the shareholders and the Company are considered as separate legal entities.

To regulate the operations of the Company, A Ltd. and B Ltd. entered into a shareholders' agreement with the following relevant terms and conditions:

i. A Ltd. and B Ltd. shall transfer their individual rights regarding the respective floors of the hotel in favour of the Company such that the Company becomes the legal and beneficial owner thereof.

ii. The Company shall assume all the liabilities of A Ltd. and B Ltd. in relation to the hotel business.

iii. In consideration of transfer of rights and obligations by A Ltd. and B Ltd. in favour of the Company, A Ltd. and B Ltd. shall receive equity shares of the Company in equal proportion.

iv. Each equity share shall entitle the holder thereof one vote in the general meetings of the Company.

v. The Company's Board shall consist of·6 directors. All the matters in relation to the operations of the Company, except certain reserved matters, shall be decided by the Board by a vote of simple majority. In case of equality of votes in respect of any matter other than the reserved matters, the chairman shall have a casting vote.

vi. Following are the Reserved Matters in respect of which decisions shall be taken only by unanimous consent of all the directors:

a. Approval of the operating plan for each financial year;

b. Capital expenditure exceeding ₹ 20 crore in a year;

c. Entering into borrowing arrangements for an amount which is equal to or more than 30% of the Company's net worth; and

d. Any matter which may affect the returns of the business.

vii. A Ltd. and B Ltd. shall have the right to nominate 3 directors each in the Board. A Ltd. and B Ltd. shall have the right to replace the directors being nominated by them respectively with any other directors of their choice. The chairman of the Board shall be nominated by A Ltd.

viii. The profits of the business may be distributed by the Company to the shareholders in the form of dividends which shall be approved by a simple majority of votes in a general meeting of the Company.

ix. Shareholders shall be entitled to dividends in the proportion of the share capital held by them.

x. Upon liquidation of the Company, its net assets, after repayment of all of its liabilities, shall be distributed to the shareholders in the proportion of share capital held by them.

xi. During the period 1st April, 20X2 to 31st March, 20X7, A Ltd. shall have the right to sell all the equity shares held in the Company to B Ltd. at a price which is

10% more than the fair value determined by an independent valuer. If such right is exercised by A Ltd., B Ltd. shall be under obligation to purchase the shares in accordance with this clause.

Required

How should the arrangement with B Ltd. be classified and recognised in the financial statements of A Ltd. for the year ended 31st March, 20X2? Explain the basis of your conclusion.

Additionally, describe the changes, if any, to the classification and recognition in the consolidated financial statements of A Ltd. for the year ended 31st March, 20X3.

(14 Marks)

Solution — ICAI

1. As per the terms and conditions of the partnership deed, the consent of both the partners shall be required for taking decisions on any matter which may affect the returns of the business. Here, both the partners have joint control over the business of the partnership firm as defined under Ind AS 111. Therefore, we can conclude that the arrangement between A Ltd. and B Ltd. is a joint arrangement under Ind AS 111.

Classification of the joint arrangement for the year ended 31st March, 20X2

Para B15 of Ind AS 111 states that the classification of joint arrangements requires the parties to assess their rights and obligations arising from the arrangement. When making that assessment, an entity shall consider the following:

(a) the structure of the joint arrangement.

(b) when the joint arrangement is structured through a separate vehicle:

(i) the legal form of the separate vehicle;

(ii) the terms of the contractual arrangement; and

(iii) when relevant, other facts and circumstances.

Para B24 states that the assessment of the rights and obligations conferred upon the parties by the legal form of the separate vehicle is sufficient to conclude that the arrangement is a joint operation only if the parties conduct the joint arrangement in a separate vehicle whose legal form does not confer separation between the parties and the separate vehicle (ie the assets and liabilities held in the separate vehicle are the parties' assets and liabilities).

As per para 15 of Ind AS 111, a joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Those parties are called joint operators.

Accordingly, the joint arrangement is carried out through a separate vehicle M/s. Star

Hotel whose legal form does not confer separation between the parties and the separate vehicle (ie the assets and liabilities held in vehicle M/s. Star Hotel are the parties' assets and liabilities ie of A Ltd. and B Ltd.). This is reinforced by the terms agreed by the parties in their contractual arrangement, which state that A Ltd. and B Ltd. have rights to the assets, and obligations for the liabilities relating to the arrangement that is conducted through vehicle M/s. Star Hotel. [As per para B25 and B28 of Ind AS 111].

Hence, here the joint arrangement is a joint operation.

Recognition in the financial statements of A Ltd. for the year ended 31st March, 20X2

A Ltd. in its financial statements for the year ended 31st March, 20X2 will recognise its share of the assets and its share of any liabilities resulting from the arrangement (eg- accounts payable to third parties) on the basis of its agreed participation share. It will also recognise its share of the revenue and expenses resulting from the hospitality services provided through M/s Star Hotel.

First floor that is controlled by A Ltd. shall be accounted for by A Ltd. in its financial statements.

For the two floors (Ground Floor and Third Floor) that are jointly controlled by A Ltd. and B Ltd., as per the contractual arrangement, both A Ltd. and B Ltd. will jointly and equally own the legal and beneficial ownership of assets and related liabilities. Thus, A Ltd. will recognise its 50% share of the revenue and expenses resulting from these floors.

With respect to second floor, A Ltd. should not account for any items of assets and liabilities, revenue and expenses in its financial statements.

The assets, liabilities, revenue and expenses should be recognised on a line-by-line basis based on nature and classification of the respective items and according to the principles of recognition and measurement prescribed under the respective Ind AS applicable to such items.

Reclassification of the joint arrangement for the year ended 31st March, 20X3

As per para B23 of Ind AS 111, the joint arrangement is carried out through a separate vehicle whose legal form causes the separate vehicle to be considered in its own right (ie the assets and liabilities held in the separate vehicle are the assets and liabilities of the separate vehicle and not the assets and liabilities of the parties).

Since the terms of the contractual arrangement in the formation of company Star Hotel Pvt. Ltd. does not specify the parties have rights to the assets, or obligations for the liabilities, relating to the arrangement. Instead, the terms of the

contractual arrangement establish that the parties have rights to the net assets of Star Hotel Pvt. Ltd.

The legal form of the company confers separation between the shareholders and the company. Further, as per the shareholders' agreement, the individual assets and liabilities of the business are legally beneficial to the company rather than the shareholders. Upon liquidation of the company, its net assets, after repayment of all its liabilities, shall be distributed to the shareholders in the proportion of share capital held by them. It implies that the shareholders have rights to the assets of the company. This is a key characteristic of a joint venture.

The terms and conditions of the shareholders' agreement do not modify or reverse the rights and obligations conferred by the legal form of the company.

Therefore, on the basis of the description of terms and conditions of the shareholders' agreement, there are no other facts and circumstances that indicate that the parties have rights to substantially all the economic benefits of the assets relating to the arrangement, and that the parties have an obligation for the liabilities relating to the arrangement.

Hence, the joint arrangement shall be reclassified from a joint operation to a joint venture in the financial statements of A Ltd. for the financial year ended 31st March, 20X3.

Recognition in the consolidated financial statements of A Ltd. for the year ended 31st March, 20X3

As per Para 24 of Ind AS 111, a joint venturer shall recognise its interest in a joint venture as an investment and shall account for that investment using the equity method in accordance with Ind AS 28 'Investments in Associates and Joint Ventures' unless the entity is exempted from applying the equity method as specified in that standard.

Accordingly, A Ltd. shall recognise its right to the net assets of Star Hotel Pvt. Ltd. as investment and account for it using the equity method assuming that the right to sell the shares to B Ltd. is not substantive and will not have any implication on the assessment as it will not alter the joint arrangement.

Note: Right to sell 50% shares by A Ltd. has been ignored, since the right to exercise the option rest with A Ltd. and not B Ltd. Hence, B Ltd. is under obligation to buy but do not have potential voting rights.

Q130 · RTP May 2022 · Q12

12. Identify the type of joint arrangements in each of the following scenarios:

(i) X Ltd and Y Ltd, manufacturing similar type of mobile phones, form a joint

arrangement to manufacture and sell mobile phones. Under the terms of the arrangement, both X Ltd and Y Ltd are to use their own assets to manufacture the mobile phones and both are responsible for liabilities related to their respective manufacture. The arrangement also lays down the distribution revenues from the sale of the mobile phones and expenses incurred thereof. X Ltd however has exclusive control over the marketing and distribution functions and does not require the consent of Y Ltd in this aspect. No separate entity is created for the arrangement.

(ii) Continuing with (i) above, what would be the classification of the joint arrangement if X Ltd and Y Ltd both jointly control all the relevant activities of the Joint arrangement including the marketing and the distribution functions?

(iii) What would be the classification of the joint arrangement if under the terms of the arrangement, a separate entity is created to manufacture the mobile phones.

(iv) Continuing with (iii) above, the joint arrangement is a means of manufacturing mobile phones on a common platform but the output of the joint arrangement is purchased by both X Ltd and Y Ltd in the ratio of 50:50. The joint arrangement cannot sell output to third parties. The price of the output sold to X Ltd and Y Ltd is set by both the parties to the arrangement to cover the production costs and other administrative costs of the joint arrangement entity.

(v) Would your answer in (iv) above be different if X Ltd and Y Ltd sold their respective share of output to third parties?

(vi) Assume that in (iv) above, the contractual terms of the arrangement were modified so that the joint arrangement entity is not obliged to sell the output to X Ltd and Y Ltd but was able to sell the output to third parties.

Solution — ICAI

12. For a joint arrangement to be either a joint operation or joint venture, it depends on whether the parties to the joint arrangement have rights to the assets and obligations for liabilities (will be a joint operation) OR whether the parties to the joint arrangement have rights to the net assets of the arrangement (will be joint venture).

(i) In order to fit into the definition of a joint arrangement, the parties to the joint arrangement should have joint control over the arrangement. In the given case, decisions relating to relevant activities, ie, marketing and distribution, are solely controlled by X Ltd and such decisions do not require the consent of Y Ltd. Hence, the joint control test is not satisfied in this arrangement and the arrangement does not fit into the definition of a joint arrangement in accordance with the Standard.

(ii) Where X Ltd and Y Ltd both jointly control all the relevant activities of the

arrangement and since no separate entity is formed for the arrangement, the joint arrangement is in the nature of a joint operation.

(iii) Where under a joint arrangement, a separate vehicle is formed to give effect to the joint arrangement, then the joint arrangement can either be a joint operation or a joint venture.

Hence in the given case, if:

(a) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd rights to the assets and obligations for the liabilities relating to the arrangement, and the rights to the corresponding revenues and obligations for the corresponding expenses, then the joint arrangement will be in the nature of a joint operation.

(b) The contractual terms of the joint arrangement, give both X Ltd and Y Ltd. rights to the net assets of the arrangement, then the joint arrangement will be in the nature of a joint venture.

(iv) Where the rights to assets and liabilities to obligations are not clear from the contractual arrangement, then other facts and circumstances also need to be considered to determine whether the joint arrangement is a joint operation or a joint venture.

When the provision of the activities of the joint venture is primarily to produce output and the output is available / distributed only to the parties to the joint arrangement in some pre-determined ratio, then this indicates that the parties have substantially all the economic benefits of the assets of the arrangement. The only source of cash flows to the joint arrangement is receipts from parties through their purchases of the output and the parties also have a liability to fund the settlement of liabilities of the separate entity. Such an arrangement indicates that the joint arrangement is in the nature of a joint operation.

In the given case, the output of the joint arrangement is exclusively used by X Ltd. and Y Ltd. and the joint arrangement is not allowed to sell the output to outside parties. Hence, the joint arrangement between X Ltd. and Y Ltd. is in the nature of a joint operation.

(v) It makes no difference whether the output of the joint arrangement is exclusively for use by the parties to the joint arrangement or the parties to the arrangement sold their share of the output to third parties.

Hence, even if X Ltd. and Y Ltd. sold their respective share of output to third parties, the fact still remains that the joint arrangement cannot sell output directly to third parties. Hence, the joint arrangement will still be deemed to be in the nature of a joint operation.

(vi) Where the terms of the contractual arrangement enable the separate entity to sell the output to third parties, this would result in the separate entity assuming demand, inventory and credit risks. Such facts and circumstances would indicate that the arrangement is a joint venture.

Q131 · RTP Nov 2026 · Q16

16. K Ltd. prepares its financial statements to 31st March each year. The financial statements are approved for issue on 25th May.

On 1st April 20X1, K Ltd. entered into a joint arrangement with Y Ltd. to jointly operate a delivery depot. Y Ltd. is located and has major customers in the same geographical region as K Ltd. K Ltd. and Y Ltd. each made the following payments in respect of the arrangement on 1st April 20X1:

- ₹ 25 million each to purchase a joint 25-year leasehold interest in a depot which was close to both K Ltd. and Y Ltd.'s business premises. This depot was to act as headquarters for the delivery vehicles.
- ₹ 7.5 million each to purchase a fleet of delivery vehicles. The vehicles have an expected useful life of five years, with no expected residual value.

K Ltd. and Y Ltd. agreed to jointly use the delivery vehicles to deliver products to their customers and to share the operating costs of the depot equally. Any delivery charges to customers were levied by K Ltd. and Y Ltd. directly at the discretion of the individual entities.

During the year ended 31st March 20X2, the total cash cost of operating the depot was ₹ 8 million. This was paid equally by K Ltd. and Y Ltd. In the year ended 31st March 20X2, K Ltd. charged its customers a total of ₹ 2 million in delivery charges.

Required:

Explain how the above transaction would be reported in the financial statements of K Ltd. for the year ended 31 March 20X2.

Solution — ICAI

16. The joint arrangement with Y Ltd. is a joint operation because K Ltd. and Y Ltd. have equal rights to the assets and joint obligations for the liabilities relating to the arrangement. In a joint operation, the operators include their share of any jointly held assets. Therefore, the

property, plant and equipment of K Ltd. at 31st March 20X2 will include:

- Leasehold property of ₹ 25 million x 24 years / 25 years

= ₹ 24 million

- Plant and equipment of ₹ 7.5 million x 4 years / 5 years

= ₹ 6 million

In a joint operation, the operators include their share of jointly incurred

costs. Therefore, the statement of profit or loss of K Ltd. for the year

ended 31st March 20X2 will include the following costs:

- Amortisation of lease premium ₹ 1 million.

- Depreciation of plant and equipment ₹ 1.5 million.

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- Cash cost of operating the depot ₹ 4 million.

K Ltd. will also include its own discretionary delivery charges of

₹ 2 million as a reduction in its operating costs.

Q132 · PYQ May 2025 · Q5(b) · 5 marks

Tiger Gems Ltd. and Mammoth Minerals Ltd. are engaged in extraction of coal and minerals from coal-fields, which they own and operate independently of each other.

In May 2024, Tiger Gems Ltd. and Mammoth Minerals Ltd. jointly acquired an underground 'Luminuos' Coal mine in the ratio of 55:45. Both the companies agreed to share services and costs. Decisions relating to 'Luminuos' Coal mine requires unanimous agreement of both the parties. No separate entity is incorporated.

The extraction of coal and minerals from Coal mine is done through huge machines. These machines can extract only upto 95%. The remaining coal is irrecoverable and remains in the Coal mine until the mine is decommissioned. As per the laws in force, the Coal mine should be decommissioned at the end of its useful life.

(i) Discuss whether the joint arrangement between Tiger Gems Ltd. and Mammoth Minerals Ltd. is a Joint Operation or Joint Venture.

(ii) Discuss the accounting for the unextracted coal and mineral as per Ind AS 16 and Ind AS 37 with respect to aforesaid 'Luminuous' Coal mine. (5 Marks)

Solution — ICAI

(b) (i) Determination of Joint Arrangement

As per Ind AS 111 'Joint Arrangements', a joint arrangement is an arrangement of which two or more parties have joint control. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

The structure and form of the arrangement determines the nature of the relationship.

Joint Operation: A joint arrangement which is NOT structured through a separate vehicle is a joint operation. In such a case, the contractual arrangement establishes the parties' rights and obligations.

Joint Venture: A Joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

A joint operator accounts for the assets, liabilities, revenues and expenses relating to its involvement in a joint operation in accordance with the relevant Ind AS.

The arrangement between Tiger Gems Ltd. and Mammoth Minerals Ltd. is a joint operation as no separate vehicle is formed and the companies have agreed to share services and costs with decisions regarding the underground 'Luminous' coal mine requiring unanimous agreement of both the parties.

Both the companies should recognize their share of the asset as Property, Plant and Equipment.

(ii) Accounting for the unextracted coal and mineral

As per para 16 of Ind AS 16 'Property, Plant and Equipment', the cost of an item of property, plant and equipment comprises the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located.

Further, para 45 of Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets', provides that where the effect of the time value of money is material, the amount of a provision shall be the present value of the expenditures expected to be required to settle the obligation.

Thus, costs incurred by an entity in respect of obligations for dismantling, removing and restoring the site on which an item of property, plant and equipment is situated are recognized and measured in accordance with Ind AS 16 and Ind AS 37.

Each of the entities in the joint arrangement should recognize their respective share of the cost of decommissioning of the underground storage facility.

However, as per para 29 of Ind AS 37 where an entity is jointly and severally liable for an obligation, the part of the obligation that is expected to be met by other parties is treated as a contingent liability.

Accordingly, each of the entities in the joint arrangement should also disclose the share of the cost of decommissioning of the underground facility, to be borne by another joint arrangement entity, as a contingent liability.

As per Ind AS 16, Property, Plant and Equipment are tangible items that:

(a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and

(b) are expected to be used during more than one period.)

Thus, both the entities should classify and account for their share of irrecoverable coal and minerals as property, plant and equipment, as the irrecoverable coal and minerals is necessary for the storage facility to perform its function. Therefore, the irrecoverable coal and minerals, being a part of the storage facility, should be capitalized as a component of the storage facility asset, and should be depreciated to its residual value over the life of the storage facility.

27 Ind AS 27 Separate Financial Statements

SM Ch 13 Unit 7 · Jan 2026 Q2(a) asked standalone vs consolidated treatment

Point	Rule (SM)
What	Statements of a parent / investor in which investments in subsidiaries, JVs and associates are accounted for on a basis other than consolidation/equity method. Not mandatory by Ind AS 27 itself (required by law). FS of an entity with no subsidiaries/associates are not "separate FS".
Measurement choice (per category)	(a) **cost**, (b) **Ind AS 109** (FV), or (c) **equity method** (Ind AS 28) — same policy for each category (Example 1: subsidiary at cost, JV at FV allowed). Held for sale → Ind AS 105 (if at cost).
Dividends	Recognise in P&L when right to receive is established (or reduce carrying amount if equity method).
Investment entity	Subsidiaries at FVTPL in separate FS. **Ceases** to be one → FV on that date = deemed cost (Example 2). **Becomes** one → FV; difference with previous carrying amount → P&L (Example 3).
Group reorganisation (new parent)	New parent inserted by share exchange, no change in assets or interests → new parent measures investment at the **carrying amount of its share of equity** in the original parent's separate FS (Illus 1: **15 lakh**).
Common links	Interest-free loan to subsidiary: separate FS — loan at PV + difference as investment; CFS — eliminated (Ch 11 notes §7). Loss of control in separate FS: gain = proceeds − cost of portion sold (Ch 13 Illus 31–33: e.g. 37.5 lakh).
Disclosure	That they are separate FS; list of investments with place, % holding, method used; reason if parent didn't prepare CFS under exemption.

ICAI ·

Ch 13 PQ 6, 7 (separate FS measurement; change from non-investment to investment entity status) are included below.

Ind AS 27 Separate Financial Statements — ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

7.4 Preparation Of Separate Financial Statements

Q133 · SM Ind AS 27 · Example 1

Example 1

An entity has invested in a subsidiary and a joint venture. Entity has elected to measure investment in subsidiary at cost and measure investment in joint venture at fair value through profit or loss in accordance with Ind AS 109. Now, at the end of the year, both these investments are held for sale. In such case, the investment in subsidiary will be measured as per Ind AS 105 i.e. at lower of its carrying amount and fair value less costs to sell. However, investment in joint venture is continued to be accounted at fair value through profit or loss as per Ind AS 109.

Investments held by investment entities and similar entities

Ind AS 110 requires an investment entity to measure its investment in subsidiaries at fair value through profit or loss as per Ind AS 109. Then the investment entity shall account for those investments **in the same i.e. at fair value through profit or loss** in the separate financial statements.

Further, Ind AS 28 provides that an when an investment in an associate or a joint venture is held by, or is held indirectly through, an entity that is a venture capital reorganization, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure investments in those associates and joint ventures at fair value through profit or loss in accordance with Ind AS 109. ***An example of an investment-linked insurance fund is a fund held by an entity as the underlying items for a group of insurance contracts with direct participation features. For the purposes of this election, insurance contracts include investment contracts with discretionary participation features.*** Hence, if an entity makes such election, then it shall also account for those investments **in the same way i.e. at fair value through profit or loss** in its separate financial statements.

ICAI example — facts and ICAI's analysis are printed together.

Q134 · SM Ind AS 27 · Example 2

Example 2

A Ltd. was an investment entity and was measuring its investment in subsidiary X Ltd. at fair value. On 1 April 20X1, A Ltd. ceased to be an investment entity. On that date, the fair value of investment in X Ltd. recorded in its books was ₹ 1,00,000. Now, when A Ltd. ceased to be an investment entity, it can measure the investment in X Ltd. either:

- at cost (in such case, the carrying value of ₹ 1,00,000 will be its deemed cost at the date of change in status), or
- continue to measure in accordance with Ind AS 109

When an entity becomes an investment entity

In such case, the entity shall account for an investment in a subsidiary at fair value through profit or loss in accordance with Ind AS 109.

In that case, the difference between the previous carrying amount of the subsidiary and its fair value at the date of the change of status of the investor shall be recognized as a gain or loss in profit or loss. The cumulative amount of any fair value adjustment previously recognized in other comprehensive income in respect of those subsidiaries shall be reclassified to profit or loss as if the investment entity had disposed of those subsidiaries at the date of change in status.

ICAI example — facts and ICAI's analysis are printed together.

Q135 · SM Ind AS 27 · Example 3

Example 3

A Ltd. holds investment in a subsidiary X Ltd. and it measures its investment in subsidiary at cost. On 1 April 20X1, A Ltd. becomes an investment entity. On that date, the carrying value of investment in X Ltd. recorded in its books was ₹ 1,00,000. However, the fair value of that investment on the date of change in status was ₹ 1,50,000. Hence, A Ltd. should record a gain of ₹ 50,000 (1,50,000 – 50,000) in the profit of loss.

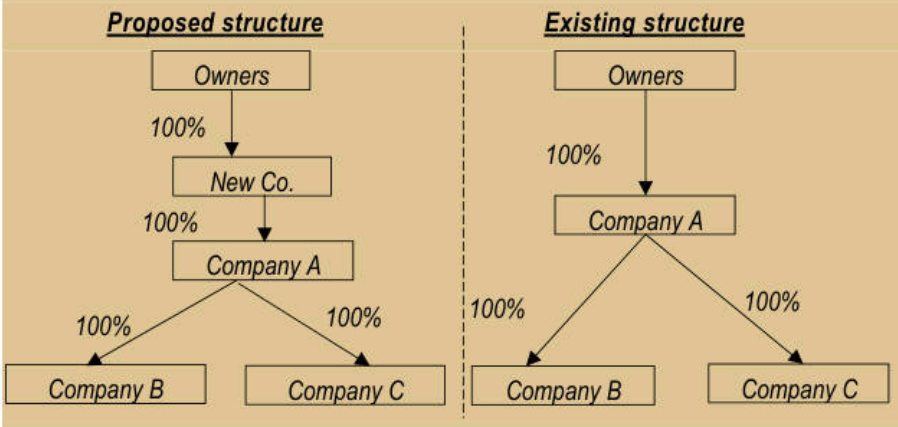
In this case, assume that A Ltd. was measuring the above investment at fair value through other comprehensive income in accordance with Ind AS 109 prior to change in status. The cumulative gain recorded in other comprehensive income was ₹ 50,000 and the carrying value of investment was ₹ 1,50,000. Hence, on the date of change in status, A Ltd. shall reclassify the gain of ₹ 50,000 from other comprehensive income to profit or loss as if the investment has been disposed by A Ltd. on that date.

ICAI example — facts and ICAI's analysis are printed together.

Q136 · SM Ind AS 27 · Illustration 1: Reorganisation of the group structure

Illustration 1: Reorganisation of the group structure

Following is the existing and proposed group structure of an original parent A Ltd.



As per the above structure, the Owners of Company A will transfer all their shareholding in Company A to New Co. in exchange of such shares, New Co. will issue its equity shares to the Owners. New Co. will issue the shares to the owners in the same ratio of their existing holding in Company A so that they have same absolute and relative interests in the net assets of the group immediately before and after the reorganisation. The assets and liabilities of the group immediately before and after the proposed restructuring will also be the same.

The cost of the investment in Company A in the books of the Owners is ₹ 10 lakh. Total equity of Company A (i.e. equity share capital and other equity attributable to the owners) as per its separate financial statements on the date of proposed restructuring is ₹ 15 lakh.

After the proposed restructuring, New Co. wants to record its investment in Company A at cost.

Determine how it should measure the cost of investment in Company A?

Solution — ICAI

Solution:

In current case, New Co. should measure the cost of investment in Company A at the carrying amount of its share of the equity items shown in the separate financial statements of Company A at the date of the restructuring because:

a) New Co. obtains control of Company A by issuing equity instruments to the Owners in exchange for their existing equity instruments of Company A;

b) the assets and liabilities of the group immediately before and the proposed restructuring will be same; and

c) the Owners will have the same absolute and relative interests in the net assets of the group immediately before and after the proposed restructuring.

Hence, New Co. will measure the cost of investment in Company A at ₹ 15 lakh.

ICAI Practice Questions (Ch 13)

Q137 · ICAI Practice Questions · Ch 13 Q6

6. A company, AB Ltd. holds investments in subsidiaries and associates. In its separate financial statements, AB Ltd. wants to elect to account its investments in subsidiaries at cost and the investments in associates as financial assets at fair value through profit or loss (FVTPL) in accordance with Ind AS 109, Financial Instruments.

   Whether AB Limited can carry investments in subsidiaries at cost and investments in associates in accordance with Ind AS 109 in its separate financial statements?

Solution — ICAI

6. Paragraph 10 of Ind AS 27 'Separate Financial Statements' *inter-alia* provides that, when an entity prepares separate financial statements, it shall account for investments in subsidiaries, joint ventures and associates either at cost, or in accordance with Ind AS 109 'Financial Instruments' in its separate financial statements. Further, the entity shall apply the same accounting for each category of investments.

It may be noted that although the 'category' is used in number of Standards, it is not defined in any of the Ind AS. It seems that subsidiaries, associates and joint ventures would qualify as separate categories. Thus, the same accounting policies are applied for each category of investments - i.e. each of subsidiaries, associates and joint ventures. However, paragraph 10 of Ind AS 27 should not be read to mean that, in all circumstances, all investments in associates are one 'category' of investment and all investments in joint ventures or an associate are one 'category' of investment. These categories can be further divided into sub-categories provided the sub-category can be defined clearly and objectively and results in information that is relevant and reliable. For example, an investment entity parent can have investment entity subsidiary (at fair value through profit or loss) and non-investment entity subsidiary (whose main purpose is to provide services that relate to the investment entity's investment activities) as separate categories in its separate financial statements.

In the present case, investment in subsidiaries and associates are considered to be different categories of investments. Further, Ind AS 27 requires to account for the investment in subsidiaries, joint ventures and associates either at cost, or in accordance with Ind AS 109 for each category of Investment. Thus, AB Limited can carry its investment in subsidiaries at cost and its investments in associates as financial assets in accordance with Ind AS 109 in its separate financial statements.

Q138 · ICAI Practice Questions · Ch 13 Q7

7. PP Ltd., a non-investment entity, is the parent of Praja Ltd. within the meaning of Ind AS 110 'Consolidated Financial Statements'. The investment in Praja Ltd. was carried in the separate financial statements of PP Ltd. at fair value with changes in fair value recognised in the other comprehensive income. On 1st April, 20X2, PP Ltd. qualifies as one that is an investment entity. Carrying amount of the investment on 1st April, 20X2 was ₹ 8,00,000. The fair value of its investment in Praja Ltd was ₹ 10,00,000 on that date. PP Ltd had recognised in OCI an amount of ₹ 1,00,000 as a previous fair value increase related to the investment in Praja Ltd.

   How would PP Ltd account for the investment in Praja Ltd on the date of change of its classification/status as an investment entity, in its separate financial statements?

Solution — ICAI

7. (i) As per paragraph 11B(b) of Ind AS 27, on the date of change, ie, 1st April, 20X2, PP Ltd (the parent) becoming an investment entity, its investment in Praja Ltd (the subsidiary) shall be at fair value through profit and loss in accordance with Ind AS 109. Accordingly, the new carrying amount will be ₹ 10,00,000.

(ii) The difference between the new carrying amount and the carrying amount of the investment on the date of change will be recognised in the profit and loss. Hence, PP Ltd will recognise an amount of ₹ 2,00,000 (₹ 10,00,000 – ₹ 8,00,000) in profit and loss as gain.

(iii) Any fair value adjustments previously recognised in OCI in respect of subsidiary ie Praja Ltd. shall be treated as if the investment entity had disposed off the subsidiary at the date of change in status as per para 11B(b) of Ind AS 27.

Further, as per para B5.7.1 of Ind AS 109, amounts presented in other comprehensive income shall not be subsequently transferred to profit or loss. However, the entity may transfer the cumulative gain or loss within equity.

Therefore, the company shall not reclassify the fair value gains or losses to profit or loss on change in classification from FVTOCI to FVTPL. However, the company may transfer the fair value gains or losses from one component to the other within equity.

Moreover, Paragraph 11A(e) of Ind AS 107, requires disclosure of any transfers of the cumulative gain or loss within equity during the period and the reason for such transfers. Accordingly, PP Ltd. shall provide the disclosures if it transfers the cumulative gain or loss from one component to the other within equity.

Particulars	₹
Carrying amount of investment in Praja Ltd [as per (i) above]	10,00,000
Amounts recognised in profit and loss relating to investment in Praja Ltd [as per (ii) above]	2,00,000

RTP / MTP / past papers

Q139 · PYQ Jan 2026 · Q2(a) · 10 marks

Zebra Limited is considering to grant an interest free loan of ₹ 25,00,000 to its wholly owned Indian subsidiary company, Camel Limited. No transaction cost is attached with this loan. With respect to other terms and conditions, the following alternate options are being considered:

• Option 1: The loan is interest free and is repayable on demand;

• Option 2: The loan is interest free and is repayable in a single bullet payment after 4 years from the date of granting of such loan. The current market rate of interest for similar loan is 12% per annum.

• Option 3: The said loan is interest free and will be repaid as and when Camel Limited has funds to repay the loan amount.

You are required to suggest as per applicable Ind AS, under each of the options, the accounting treatment of the above loan:

• in the standalone financial statements of Zebra Limited and Camel Limited; and

• in the consolidated financial statements of Zebra Limited.

Also give journal entries under option 2.

Also suggest the accounting treatment as per applicable Ind AS, if in future periods, Camel Limited grants an interest free loan to Zebra Limited. (10 Marks)

Solution — ICAI

(a) Ind AS 109 requires that a financial assets and liabilities are recognized on initial recognition at its fair value, as adjusted for the transaction cost. In accordance with Ind AS 113, the fair value of a financial liability with a demand feature (e.g., a demand deposit) is not less than the amount payable on demand, discounted from the first date that the amount could be required to be paid.

Using the guidance, the interest-free loan will be accounted for as below in various scenarios:

Option 1: Since the loan is repayable on demand, it has fair value equal to cash consideration given i.e. ₹ 25,00,000. The parent and subsidiary recognize financial asset and liability, respectively, at the amount of loan given. Going forward, no interest is accrued on the loan. Upon repayment, both the parent and the subsidiary reverse the entries made at origination.

Option 2: The loan is repayable in single bullet payment after 4 years. Both parent and subsidiary recognize financial asset and liability, respectively, at fair value on initial recognition. The difference between the loan amount and its fair value is treated as an equity contribution to the subsidiary. This represents a further investment by the parent in the subsidiary.

Accounting in the books of Zebra Ltd. (Parent)

Particulars	Dr. (₹)	Cr. (₹)
On the date of loan		
Loan to Camel Ltd. (Subsidiary) (25,00,000 x 0.636) Dr.	15,90,000	
Deemed Investment (Capital Contribution) in Camel Ltd. Dr.	9,10,000	
To Bank		25,00,000
(Being the loan given to Camel Ltd. and recognised at fair value)		
Accrual of Interest income		
Loan to Camel Ltd. Dr.	1,90,800	
To Interest income (Profit and Loss Account)		1,90,800
(Being interest income accrued) – Year 1		
Loan to Camel Ltd. Dr.	2,13,696	
To Interest income (Profit and Loss Account)		2,13,696
(Being interest income accrued) – Year 2		
Loan to Camel Ltd. Dr.	2,39,340	
To Interest income (Profit and Loss Account)		2,39,340
(Being interest income accrued) – Year 3		
Loan to Camel Ltd. Dr.	2,66,164	
To Interest income (Profit and Loss Account)		2,66,164
(Being interest income accrued) – Year 4		
On repayment of loan		
Bank Dr.	25,00,000	
To Loan to Camel Ltd. (Subsidiary)		25,00,000

Accounting in the books of Camel Ltd. (Subsidiary)

Particulars	Amount	Amount
On the date of loan		
Bank Dr.	25,00,000	
To Loan from Zebra Ltd. (Parent)		15,90,000
To Equity (Deemed Capital Contribution from Zebra Ltd.)		9,10,000
(Being the loan given to Camel Ltd. and recognised at fair value)		
Accrual of Interest		
Interest expense (Profit and Loss Account) Dr.	1,90,800	
To Loan from Zebra Ltd.		1,90,800
(Being interest expense recognised) – Year 1		
Interest expense (Profit and Loss Account) Dr.	2,13,696	
To Loan from Zebra Ltd.		2,13,696
(Being interest expense recognised) – Year 2		
Interest expense (Profit and Loss Account) Dr.	2,39,340	
To Loan from Zebra Ltd.		2,39,340
(Being interest expense recognised) – Year 3		
Interest expense (Profit and Loss Account) Dr.	2,66,164	
To Loan from Zebra Ltd.		2,66,164
(Being interest expense recognised) – Year 4		
On repayment of loan		
Loan from Zebra Ltd. (Payable) Dr.	25,00,000	
To Bank		25,00,000

Working Notes:

1. Computation of Present value of loan	
Rate	12%
Amount of Loan	25,00,000
Year of Loan	4
Present Value (25,00,000 x 0.636)	15,90,000
2. Computation of interest for Year 1	
Present Value at the beginning of the year	15,90,000
Rate	12%
Interest for 1st year	1,90,800
Closing value at the end of year 1	17,80,800
3. Computation of interest for Year 2	
Present Value at the beginning of the year	17,80,800
Rate	12%
Interest for 2nd year	2,13,696
Closing value at the end of year 2	19,94,496
4. Computation of interest for Year 3	
Present Value at the beginning of the year	19,94,496
Rate	12%
Interest for 3rd year	2,39,340
Closing value at the end of year 3	22,33,836
5. Computation of interest for Year 4	
Present Value at the beginning of the year	22,33,836
Rate	12%
Interest for 4th year	2,66,164*
Closing value at the end of year 4	25,00,000

*Difference of ₹ 1,896 (i.e. 2,68,060 - 2,66,164) is due to approximation.

Option 3: The loan will be repaid as and when Camel Ltd. has funds to repay the loan amount.

Generally, a loan, which is repayable when funds are available, can't be stated to be repayable on demand. Rather, the entities need to estimate repayment date and determine its measurement accordingly. If the loan is expected to be repaid in four years, its measurement will be the same as in option 2.

In the Consolidated Financial Statements (CFS), the loan and interest income/expense will get knocked-off as intra-group transaction in all three scenarios. Hence the above accounting will not have any impact in the CFS.

In case, Camel Limited grants interest free loan to Zebra Limited, i.e. the loan is given by the subsidiary to the parent company, the difference between fair value of the loan on initial recognition and its nominal value will be treated as dividend distribution by subsidiary and dividend income by the parent.

28 Ind AS 28 Associates and Joint Ventures

SM Ch 13 Unit 6 · 10 compulsory MCQ marks: Jan 2026 (3 MCQs), May 2026 (2 MCQs)

Point	Rule (SM)
Significant influence	*Power to **participate** in financial and operating policy decisions (not control). **Presumed at ≥ 20%** voting power (direct or through subsidiaries); < 20% presumed not, unless shown. Evidence: board representation, participation in policy-making (Illus 3: 10% but in policy decisions → SI), material transactions (Illus 4: 15% but buys 90% of output → SI), interchange of managers (Illus 5), essential technical information (Illus 6: 10% → SI). Another investor with majority doesn't preclude SI, but Illus 1 (25%, others act together) → no SI. Include **potential voting rights** currently exercisable (Illus 7).*
Equity method	*Initially at **cost**; then + share of profit or loss and OCI − dividends received. Goodwill sits **inside** the carrying amount (not amortised, not tested separately); bargain → income in the year of acquisition (Jan 2026 MCQ).*
Adjustments to share of profit	*Use FV at acquisition: extra depreciation on FV uplift (Illus 10: share 8,750; OCI 2,500; closing **1,36,250**; Jan 2026 MCQ: profit after FV depreciation on building). Cumulative preference shares held by others → deduct their dividend whether declared or not (Illus 11: 50% × 3,00,000 = 1,50,000). Uniform policies; reporting date gap ≤ 3 months. Group share = parent + subsidiaries (not other associates' holdings; Example 2: 15% + 10% = 25%, JV's 10% ignored).*
Unrealised profit	*__Upstream and downstream:__ eliminate only the **investor's share** (Illus 13: 40% → 16,000). Downstream loss showing impairment → recognise fully (Illus 14). May 2026 MCQ: downstream unrealised profit reduces carrying amount before impairment test.*
Losses	*Stop when interest (incl. long-term interests like preference shares, long-term loans) is nil; further losses only if legal/constructive obligation. Later profits restart only after unrecognised losses are covered (Illus 15).*
Impairment	*Whole carrying amount tested as one asset under Ind AS 36 when Ind AS 28 indicators exist (May 2026 MCQ: 40% of recoverable 1,15,00,000 vs carrying → loss **24,94,000**, ICAI key B).*
Exemptions	*Venture capital / mutual funds / unit trusts may measure at FVTPL (Illus 9; Example 1). Parent exempt from CFS (Ind AS 110.4 conditions). Held for sale → Ind AS 105 (Illus 17).*
Discontinue	*Ceases to be associate/JV → retained interest at FV; gain/loss = FV retained + proceeds − carrying amount → P&L; recycle OCI (Example 5) (Illus 16: gain 1,00,000). Associate ↔ JV → keep equity method, no remeasurement. Dilution (TYK 3): gain = share of new issue proceeds − proportion of carrying amount (160 − 120 = **40**).*

Carrying amount (May 2026 MCQ 6): cost 50,00,000 + share of year's profit 45% × 16,00,000 = **57,20,000** (revaluation before acquisition is in cost, not in share). Chain (TYK 2): O's profit 40 × 25% = 10 → 9 to M, 1 to N's NCI.

Q Ind AS 28 Associates and Joint Ventures — ICAI questions with solutions

Every SM illustration and example, SM Test Your Knowledge and ICAI Practice Question for this standard, exactly as ICAI printed them, grouped by SM section. Cover the solution, solve, check.

6.3 Significant Influence

Q140 · SM Ind AS 28 · Illustration 1: Significant influence

Illustration 1: Significant influence

E Ltd. holds 25% of the voting power of an investee. The balance 75% of the voting power is held by three other investors each holding 25%.

The decisions about the financing and operating policies of the investee are taken by investors holding majority of the voting power. Since, the other three investors together hold majority voting power, they generally take the decisions without taking the consent of E Ltd. Even if E Ltd. proposes any changes to the financing and operating policies of the investee, the other three investors do not vote in favour of those changes. So, in effect the suggestions of E Ltd. are not considered while taking decisions related to financing and operating policies.

Determine whether E Ltd. has significant influence over the investee?

Solution — ICAI

Solution:

Since E Ltd. is holding more than 20% of the voting power of the investee, it indicates that E Ltd. might have significant over the investee. However, the other investors in the investee prevent E Ltd. from participating in the financing and operating policy decisions of the investee. Hence, in this case, E Ltd. is not in a position to have significant influence over the investee.

Q141 · SM Ind AS 28 · Illustration 2: Representation on board

Illustration 2: Representation on board

Kuku Ltd. holds 12% of the voting shares in Boho Ltd. Boho Ltd.'s board comprise of eight members and two of these members are appointed by Kuku Ltd. Each board member has one vote at meeting. is Boho Ltd an associate of Kuku Ltd?

Solution — ICAI

Solution:

Boho Ltd is an associate of Kuku Ltd as significant influence is demonstrated by the presence of directors on the board and the relative voting rights at meetings.

It is presumed that entity has significant influence where it holds 20% or more of the voting power of the investee, but it is not necessary to have 20% representation on the board to demonstrate significant influence, as this will depend on all the facts and circumstances. One board member may represent significant influence even if that board member has less than 20% of the voting power. But for significant influence to exist it would be necessary to show based on specific facts and circumstances that this is the case, as significant influence would not be presumed.

Q142 · SM Ind AS 28 · Illustration 3: Participation in policy-making processes

Illustration 3: Participation in policy-making processes

M Ltd. holds 10% of the voting power an investee. The balance 90% voting power is held by nine other investors each holding 10%.

The decisions about the relevant activities (except decision about taking borrowings) of the investee are taken by the members holding majority of the voting power. The decisions about taking borrowings are required to be taken by unanimous consent of all the investors. Further, decisions about taking borrowing are not the decisions that most significantly affect the returns of the investee.

Determine whether M Ltd. has significant influence over the investee?

Solution — ICAI

Solution:

In this case, though M Ltd. is holding less than 20% of the voting power of the investee, M Ltd.'s consent is required to take decisions about taking borrowings which is one of the relevant activities. Further, since the decisions about taking borrowing are not the decisions that most significantly affect the returns of the investee, it cannot be said that all the investors have joint control over the investee.

Hence, it can be said that M Ltd. has significant influence over the investee.

Q143 · SM Ind AS 28 · Illustration 4: Material transactions between the entity and its investee

Illustration 4: Material transactions between the entity and its investee

RS Ltd. is an entity engaged in the business of pharmaceuticals. It has invested in the share capital of an investee XY Ltd. and is holding 15% of XY Ltd.'s total voting power.

XY Ltd. is engaged in the business of producing packing materials for pharmaceutical entities. One of the incentives for RS Ltd. to invest in XY Ltd. was the fact that XY Ltd. is engaged in the business of producing packing materials which is also useful for RS Ltd. Since last many years, XY Ltd.'s almost 90% of the output is procured by RS Ltd.

Determine whether RS Ltd. has significant influence over XY Ltd.?

Solution — ICAI

Solution:

Since 90% of the output of XY Ltd. is procured by RS Ltd., XY Ltd. would be dependent on RS Ltd. for the continuation of its business. Hence, even though RS Ltd. is holding only 15% of the voting power of XY Ltd. it has significant influence over XY Ltd.

Q144 · SM Ind AS 28 · Illustration 5: Interchange of managerial personnel

Illustration 5: Interchange of managerial personnel

Entity X and entity Y operate in the same industry, but in different geographical regions. Entity X acquires a 10% shareholding in entity Y as a part of a strategic agreement. A new production process is key to serve a fundamental change in the strategic direction of entity Y. The terms of agreement provide for entity Y to start a new production process under the supervision of two managers from entity X. The managers seconded from entity X, one of whom is on entity X's board, will oversee the selection and recruitment of new staff, the purchase of new equipment, the training of the workforce and the negotiation of new purchase contracts for raw materials. The two managers will report directly to entity Y's board and as well as to entity X. Analyse.

Solution — ICAI

Solution:

The secondment of the board member and a senior manager from entity X to entity Y gives entity X a range of power over a new production process and may evidence that entity X has significant influence over entity Y. This assessment takes into the account what are the key financial and operating policies of entity Y and the influence this gives entity X over those policies.

Q145 · SM Ind AS 28 · Illustration 6: Provision of essential technical information

Illustration 6: Provision of essential technical information

R Ltd. is a tyre manufacturing entity. The entity has entered into a technology transfer agreement with another entity Y Ltd. which is also involved in the business of tyre manufacturing. R Ltd. is an established entity in this business whereas Y Ltd. is a relatively new entity.

As per the agreement, R Ltd. has granted to Y Ltd. a license to use its technical information and know-how which are related to the processes for the manufacture of tyres. Y Ltd. is dependent on the technical information and know-how supplied by R Ltd. because of its lack of expertise and experience in this business. Further, R Ltd. has also invested in 10% of the equity share capital of Y Ltd.

Determine whether R Ltd. has significant influence over Y Ltd.?

Solution — ICAI

Solution:

Y Ltd. obtains essential technical information for the running of its business from R Ltd. Hence R Ltd. has significant influence over Y Ltd. despite of holding only 10% of the equity share capital of Y Ltd.

Q146 · SM Ind AS 28 · Illustration 7: Potential voting rights

Illustration 7: Potential voting rights

An entity which is currently holding 10% of the voting power of an entity has an option of purchase additional 15% voting power of the investee from other investors. However, the entity currently does not have financial ability to purchase additional 15% voting power of the investee. Determine whether the entity has significant influence over the investee?

Solution — ICAI

Solution:

Considering the potential voting rights, the entity can have more than 20% of the voting power of the investee and hence it is presumed that the entity has significant influence over the investee. The fact that the entity does not have financial ability to purchase such additional voting power is not considered in such assessment (It should be noted that under Ind AS 110, potential voting rights which an entity cannot exercise because of its financial ability are not considered as substantive and hence not factored in the assessment. However, under Ind AS 28, there is no such requirement given. Hence the potential voting rights, even if they are not substantive as per Ind AS 110, are included in the assessment of significant influence.)

6.4 Equity Method

Q147 · SM Ind AS 28 · Illustration 8: Accounting entries related investment in associate / joint ventu

Illustration 8: Accounting entries related investment in associate / joint venture

On the first day of a financial year, A Ltd. invested in the equity share capital of B Ltd. at a cost of ₹ 1,00,000 to acquire 25% share in the voting power of B Ltd. A Ltd. has concluded that B Ltd. is an associate of A Ltd. At the end of the year, B Ltd. earned profit of ₹ 10,000 and other comprehensive income of ₹ 2,000. In that year, B Ltd. also declared dividend to the extent of ₹ 4,000. Pass necessary entries in the books of A Ltd. to account for the investment in associate.

Solution — ICAI

Solution:

Following entries would be passed in the books of A Ltd.:

1) Initial entry to record investment done in associate

Investment in B Ltd. A/c	Dr.	1,00,000	
To Bank A/c			1,00,000

2) Recording of share in the profit of the associate

Investment in B Ltd. A/c	Dr.	2,500	
To Share in profit of investee (P&L)			2,500

[A Ltd. share in profit would be ₹ 2,500 (₹ 10,000 x 25%)]

3) Recording of share in the other comprehensive income (OCI) of the associate

Investment in B Ltd. A/c	Dr.	500	
To Share in OCI of investee (OCI)			500

[A Ltd. share in OCI would be ₹ 500 (₹ 2,000 x 25%)]

4) Recording of dividend distributed by associate

Dividend Receivable A/c	Dr.	1,000	
To Investment in B Ltd. A/c			1,000

[A Ltd. share in dividend would be ₹ 1,000 (₹ 4,000 x 25%)]

Not repeated: *MTP May 2023 S-II · Q1(b) — same question, same answer.*

Q148 · SM Ind AS 28 · Example 1

Example 1

A mutual fund has invested in the equity share capital of certain companies in excess of 20% of the total equity share of those entities. Hence, those investees are presumed to be an associate of the mutual fund. In this case, the mutual fund can decide not to apply equity method to account for those investments and instead measure them at fair value through profit or loss as per Ind AS 109.

Exemption 3

When an entity has an investment in an associate, a portion of which is held indirectly through a venture capital organisation, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure that portion of the investment in the associate at fair value through profit or loss in accordance with Ind AS 109.

This is regardless of whether the venture capital organisation has significant influence over that portion of the investment.

If the entity makes that election, the entity shall apply the equity method to any remaining portion of its investment in an associate that is not held through a venture capital organisation.

This exemption is explained in below illustration:

ICAI example — facts and ICAI's analysis are printed together.

Q149 · SM Ind AS 28 · Illustration 9: Exemption from applying equity method

Illustration 9: Exemption from applying equity method

MNO Ltd. holds 15% of the voting power of DEF Ltd. PQR Mutual Fund (which is a subsidiary of MNO Ltd.) also holds 10% voting power of DEF Ltd. Hence, MNO Ltd. holds total 25% voting power of DEF Ltd. (15% held by own and 10% held by subsidiary) and accordingly has significant influence over DEF Ltd. How should MNO Ltd. account for investment in DEF Ltd. in its consolidated financial statements?

Solution — ICAI

Solution:

The 15% interest which is held directly by MNO Ltd. should be measured as per equity method of accounting. However, with respect to the 10% interest which is held through a mutual fund, MNO Ltd. can avail the exemption from applying the equity method to that 10% interest and instead measure that investment at fair value through profit or loss. To summarise, the total interest of 25% in DEF Ltd. should be measured as follows:

- 15% interest held directly by MNO Ltd.: Measure as per equity method of accounting
- 10% interest held indirectly through a mutual fund: Measure as per equity method of accounting or at fair value thorough profit or loss as per Ind AS 109

Q150 · SM Ind AS 28 · Illustration 10: Acquisition of interest in an associate

Illustration 10: Acquisition of interest in an associate

Blue Ltd. acquired 25% of the equity share capital of Green Ltd. on the first day of the financial year for ₹ 1,25,000. As of that date, the carrying value of the net assets of Green Ltd. was ₹ 3,00,000 and the fair value was ₹ 4,00,000. The excess of fair value over the carrying value was attributable to one of the buildings owned by Green Ltd. having a remaining useful life of 20 years. Green Ltd. earned profit of ₹ 40,000 and other comprehensive income of ₹ 10,000 during the year. Calculate the goodwill / capital reserve on the date of acquisition, Blue Ltd.'s share in the profit and other comprehensive income for the year and closing balance of investment at the end of the year.

Solution — ICAI

Solution:

(1) Goodwill / capital reserve on the date of acquisition

The cost of the investment is higher than the net fair value of the investee's identifiable assets and liabilities. Hence there is goodwill. Amount of goodwill is calculated as follows

	₹
Cost of acquisition of investment	1,25,000
Blue Ltd.'s share in fair value of net assets of Green Ltd. on the date of acquisition (4,00,000 x 25%)	(1,00,000)
Goodwill	**25,000**

Above goodwill will be recorded as part of carrying amount of the investment.

(2) Share in profit and other comprehensive income of Green Ltd.

	₹
Share in profit of Green Ltd. (40,000 x 25%)	10,000
Adjustment for depreciation based on fair value (1,00,000 ÷ 20) x 25%	(1,250)
Share in profit after adjustment	**8,750**
Share in other comprehensive income (10,000 x 25%)	**2,500**

(3) Closing balance of investment at the end of the year

	₹
Cost of acquisition of investment (including goodwill of ₹ 25,000)	1,25,000
Share in profit after adjustments	8,750
Share in other comprehensive income	2,500
Closing balance of investment	**1,36,250**

Q151 · SM Ind AS 28 · Illustration 11: Cumulative preference shares issued by associate or joint ventu

Illustration 11: Cumulative preference shares issued by associate or joint venture

KL Ltd. has invested in 50% voting power of a joint venture MN Ltd. MN Ltd. has also issued 10% cumulative preference shares, classified as equity, to other investors worth ₹ 10,00,000. During the year, MN Ltd. earned profit of ₹ 4,00,000. Also, MN Ltd. has not declared any dividend on the preference shares for current year. Calculate KL Ltd.'s share in the net profit of MN Ltd. for the year.

Solution — ICAI

Solution:

If an associate or a joint venture has outstanding cumulative preference shares that are held by parties other than the entity and are classified as equity, the entity should compute its share of profit or loss after adjusting for dividend on such shares, whether or not the dividends have been declared.

In current case, KL Ltd.'s share in net profit of MN Ltd. would be as follows.

	₹
Profit of MN Ltd. for the year	4,00,000
Dividend on cumulative preference shares (10,00,000 x 10%)	(1,00,000)
Net profit attributable to the holders of equity share	3,00,000
KL Ltd.'s 50% share in net profit of MN Ltd.	1,50,000

Q152 · SM Ind AS 28 · Example 2

Example 2

A Ltd., its subsidiary B Ltd. and its joint venture C Ltd. holds 15%, 10% and 10% respectively of the share capital of an associate X Ltd. Hence, to apply equity method, A Ltd. shall consider the interest held by it and by its subsidiary B Ltd. i.e. total interest of 25%. It shall not consider the interest held by C Ltd. which is a joint venture.

When an **associate or a joint venture has subsidiaries, associates or joint ventures**, the profit or loss, other comprehensive income and net assets taken into account in applying the equity method are those recognised in the associate's or joint venture's **financial statements which include** the associate's or joint venture's share of the profit or loss, other comprehensive income and net assets of its associates and joint ventures.

ICAI example — facts and ICAI's analysis are printed together.

Q153 · SM Ind AS 28 · Example 3

Example 3

X Ltd. has an associate P Ltd. P Ltd. has further invested in a subsidiary Q Ltd. and a joint venture R Ltd. Hence, for the purpose of applying the equity method, X Ltd. shall consider the consolidated financial statements of P Ltd.

ICAI example — facts and ICAI's analysis are printed together.

Q154 · SM Ind AS 28 · Illustration 12: Share in the consolidated financial statements of associate

Illustration 12: Share in the consolidated financial statements of associate

Entity A holds a 20% equity interest in Entity B (as associate) that in turn has a 100% equity interest in Entity C. Entity B recognised net assets relating to Entity C of ₹1,000 in its consolidated financial statements. Entity B sells 20% of its interest in Entity C to a third party (a non-controlling shareholder) for ₹300 and recognises this transaction as an equity transaction in accordance with paragraph 23 of Ind AS 110, resulting in a credit in Entity B's equity of ₹100.

The financial statements of Entity A and Entity B are summarised as follows before and after the transaction:

Before

A's consolidated financial statements

Assets	₹	Liabilities	₹
Investment in B	200	Equity	200
Total	200	Total	200

B's consolidated financial statements

Assets	₹	Liabilities	₹
Assets (from C)	1,000	Equity	1,000
Total	1,000	Total	1,000

The financial statements of B after the transaction are summarised below:

After

B's consolidated financial statements

Assets	₹	Liabilities		₹
Assets (from C)	1,000	Equity	1,000	
Cash	300	Equity transaction with non-controlling interest	100	
		Equity attributable to owners		1,100
		Non-controlling interest		200
Total	1,300	Total		1,300

Although Entity A did not participate in the transaction, Entity A's share of net assets in Entity B increased as a result of the sale of B's 20% interest in C. Effectively, A's share in B's net assets is now ₹220 (20% of ₹1,100) i.e. ₹20 in addition to its previous share.

How is an equity transaction that is recognised in the financial statements of Entity B reflected in the consolidated financial statements of Entity A that uses the equity method to account for its investment in Entity B?

Solution — ICAI

Solution:

The change of interest in the net assets / equity of the associate as a result of the investee's equity transaction is reflected in the investor's financial statements as 'share of other changes in equity of investee' (in the statement of changes in equity) instead of gain in Statement of profit and loss, since it reflects the post-acquisition change in the net assets of the investee and also faithfully reflects the investor's share of the associate's transaction as presented in the associate's consolidated financial statements.

Thus, in the given case, Entity A recognises ₹ 20 as change in other equity instead of in statement of profit and loss and maintains the same classification as of its associate, Entity B, i.e., a direct credit to equity as in its consolidated financial statements.

QISS · SM Ind AS 28 · Illustration 13: Upstream and downstream transaction between an entity and its a

Illustration 13: Upstream and downstream transaction between an entity and its associate

Scenario A

M Ltd. has invested in 40% share capital of N Ltd. and hence N Ltd. is an associate of M Ltd. During the year, N Ltd. sold inventory to M Ltd. for a value of ₹ 10,00,000. This included profit of 10% on the transaction price i.e. profit of ₹ 1,00,000. Out the above inventory, M Ltd. sold inventory of ₹ 6,00,000 to outside customers. Hence, the inventory of ₹ 4,00,000 purchased from N Ltd. is still lying with M Ltd. Determine the unrealised profit to be eliminated on above transaction.

Scenario B

Assume the same facts as per Scenario A except that the inventory is sold by M Ltd. to N Ltd. instead of N Ltd. selling to M Ltd. Determine the unrealised profit to be eliminated on above transaction.

Solution — ICAI

Solution:

Scenario A

Firstly, as part of its equity method accounting for investment in N Ltd., M Ltd. will pass this journal entry:

Investment in N Ltd.	Dr.	40,000	
To Share in profit of N Ltd.			40,000

Out of the inventory of ₹ 10,00,000, M Ltd. has sold inventory worth ₹ 6,00,000 to outside customers. Hence, the profit of ₹ 60,000 (6,00,000 x 10% profit margin) on such inventory is realised. However, the inventory worth ₹ 4,00,000 is still held by M Ltd. which consists profit of ₹ 40,000 (4,00,000 x 10%). Hence, M Ltd.'s share in such profit i.e. ₹ 16,000 (40,000 x 40%) is considered as unrealised.

Accordingly, after recording of share in total profit of N Ltd., M Ltd. should pass following adjustment entry to reverse the unrealised profit margin:

Share in profit of N Ltd.	Dr.	16,000	
To Inventory / Investment in N Ltd.			16,000

In subsequent period, when this inventory of ₹ 4,00,000 is sold by N Ltd. to an outside customer then the above profit margin of ₹ 16,000 will be treated as realised and hence the above entry will be reversed in that period.

[**Note**: in the separate financial statements of M Ltd., inventory is carried at ₹ 4,00,000 whereas in its consolidated financial statements, inventory is carried at ₹ 3,84,000 (due to elimination entry above in respect of unrealized profit). In the subsequent period, when the inventory is sold, Inventory Account is credited by ₹ 4,00,000 whereas for the purpose of consolidated financial statements, it should have been credited by only ₹ 3,84,000. The difference is adjusted by debiting back ₹ 16,000 to the Inventory Account and a corresponding recognition of share in profit of associate.]

Scenario B

Out of the inventory of ₹ 10,00,000, N Ltd. has sold inventory worth ₹ 6,00,000 to outside customers. Hence, the profit of ₹ 60,000 (6,00,000 x 10% profit margin) on such inventory is realised. However, the inventory worth ₹ 4,00,000 is still held by N Ltd. which consists profit of ₹ 40,000 (4,00,000 x 10%). Out of this profit of ₹ 40,000, profit to the extent of other investor's interest in the investee is treated as realised profit i.e. ₹ 24,000 (40,000 x 60%) is treated as realised profit. Balance profit of ₹ 16,000 (40,000 x 40%) is considered as unrealised. Hence, M Ltd. should pass following adjustment entry to reverse the unrealised profit:

Sales	Dr.	160,000	
To Cost of material consumed			144,000
To Investment in N Ltd.			16,000

In subsequent period, when this inventory of ₹ 4,00,000 is sold by N Ltd. to an outside customer then the above profit margin of ₹ 16,000 will be treated as realised and hence the above entry will be reversed in that period.

Q156 · SM Ind AS 28 · Illustration 14: Impairment loss on downstream and upstream transaction between

Illustration 14: Impairment loss on downstream and upstream transaction between an entity and its joint venture

Scenario A

X Ltd. has invested in a joint venture Y Ltd. by holding 50% of its equity share capital. During the year, X Ltd. sold an asset to Y Ltd. at its market value of ₹ 8,00,000. The asset's carrying value in X Ltd.'s books was ₹ 10,00,000. Determine how should X Ltd. account for the sale transaction in its books.

Scenario B

Assume the same facts as per Scenario A except that the asset is sold by Y Ltd. to X Ltd. instead of X Ltd. selling to Y Ltd. Determine how should X Ltd. account for the above transaction in its books.

Solution — ICAI

Solution:

Scenario A

X Ltd. should record full loss of ₹ 2,00,000 (10,00,000 – 8,00,000) in its books as that would represent the impairment loss because the market value has actually declined. This loss would have been recorded even if X Ltd. had first impaired the asset and then sold to Y Ltd. at zero profit / loss. Following entry should be passed in the books of X Ltd.

Bank A/c	Dr.	8,00,000	
Loss on sale of asset	Dr.	2,00,000	
To Asset			10,00,000

Scenario B

X Ltd. should record loss to the extent of its share in Y Ltd. Hence, X Ltd.'s share in loss i.e. ₹ 1,00,000 [(10,00,000 – 8,00,000) x 50%] should be recorded by X Ltd. in its books. The loss should be recorded since the market value of the asset has actually declined and this would represent impairment. This loss would have been recorded even if Y Ltd. would have first recorded an impairment loss of ₹ 2,00,000 and then sold to X Ltd. at zero profit / loss. Following entry should be passed in the books of X Ltd.

Asset	Dr.	8,00,000	
Share in loss of Y Ltd.	Dr.	1,00,000	
To Bank			8,00,000
To Investment in Y Ltd.			1,00,000

Q157 · SM Ind AS 28 · Example 4

Example 4

A Ltd. (a company incorporated and registered in India) holds 25% voting power of B Inc. (a company incorporated and registered in United States). B Inc. is an associate for A Ltd. A Ltd. Follows Ind AS for the preparation of its financial statements. However, B Inc. follows generally accepted accounting principles in United States (US GAAP). Hence, while using B Inc.'s financial statements for the purpose of doing equity method accounting, A Ltd. Shall do necessary adjustment to covert US GAAP financial statements to Ind AS financial statements and then do equity method accounting.

There are two exceptions to above rule:

Exception 1

In case of an **associate**, the adjustment for uniformity of accounting policies with those of the entity will not be done **if it is impracticable to do so**.

It is to be noted that this exemption is available in case of an associate only and not available for

joint venture. This is because for an investor with just significant influence over an investee, it may be difficult to obtain necessary information to do adjustment for aligning accounting policies. However, in case of a joint venture, it would be relatively easy to obtain such information as the investor has joint control over the joint venture.

Exception 2

An entity may have interest in **an associate or a joint venture that is an investment entity**. Such an associate or a joint venture may also have interest in one or more subsidiaries. When this is the case, such associate or joint venture, being an investment entity, would **account for its interest in subsidiaries at fair value**. Hence, in such case, the **entity can elect to retain** the fair value measurement used by the associate or joint venture.

Such election can be made by the entity **separately for each associate or joint venture** at the later of the date on which:

a) the associate or joint venture is initially recognised

b) the associate or joint venture becomes an investment entity

c) the associate or joint venture first becomes a parent

ICAI example — facts and ICAI's analysis are printed together.

Q158 · SM Ind AS 28 · Illustration 15: Loss making associate and long-term interests

Illustration 15: Loss making associate and long-term interests

An entity has following three type interests in an associate:

- *Equity shares: 25% of the equity shares to which equity method of accounting is applied*
- *Preference shares: Non-cumulative preference shares that form part of net investment in the associate. Such preference shares are measured at fair value as per Ind AS 109.*
- *Long-term loan: The loan carrying interest of 10% p.a. The interest income is received at the end of each year. The long-term loan is accounted as per amortised cost as per Ind AS 109. This loan also forms part of net investment in the associate.*

At the start of year 1, the carrying value of each of the above interests is as follows:

- *Equity shares – ₹ 10,00,000*
- *Preference shares – ₹ 5,00,000*
- *Long-term loan – ₹ 3,00,000*

Following table summarises the changes in the fair value of preference shares as per Ind AS 109, impairment loss on long-term loan as per Ind AS 109 and entity's share in profit / loss of associate for year 1-5.

₹

End of Year	Increase / (Decrease) in fair value of preference shares as per Ind AS 109	Impairment loss / (reversal) on long-term loan as per Ind AS 109	Entity's share in profit / (loss) of associate
1	(50,000)	(50,000)	(16,00,000)
2	(50,000)	-	(2,00,000)
3	1,00,000	50,000	-
4	50,000	-	10,00,000
5	30,000	-	10,00,000

Throughout year 1 to 5, there has been no objective evidence of impairment in the net investment in the associate. The entity does not have any legal or constructive obligation to share the losses of the associate beyond its interest in the associate.

Based on above, determine the closing balance of each of the above interests at the end of each year.

Solution — ICAI

Solution:

Year 1

Below table summarises the closing balance of each of the interest at the end of year 1: ₹

Type of interest	Opening balance at the start of the year	Adjustment as per Ind AS 109	Balance after applying Ind AS 109	Share in profit / (loss) of associate	Closing balance at the end of the year
	(A)	(B)	I = (A+B)	(D)	I = (C+D)
Equity shares	10,00,000	NA	10,00,000	(10,00,000)	-
Preference shares	5,00,000	(50,000)	4,50,000	(4,50,000)	-
Long-term loan	3,00,000	(50,000)	2,50,000	(1,50,000)	1,00,000
Total	**18,00,000**	**(1,00,000)**	**17,00,000**	**(16,00,000)**	**1,00,000**

The entire loss of ₹ 16,00,000 is recognised. Hence, there is no unrecognised loss at the end of year 1.

Year 2

Below table summarises the closing balance of each of the interest at the end of year 2: ₹

Type of interest	Opening balance at the start of the year	Adjustment as per Ind AS 109	Balance after applying Ind AS 109	Share in profit / (loss) of associate	Closing balance at the end of the year
	(A)	(B)	I = (A+B)	(D)	I = (C+D)
Equity shares	-	NA	-	-	-
Preference shares	-	(50,000)	(50,000)	50,000 *	-
Long-term loan	1,00,000	-	1,00,000	(1,00,000)	-
Total	**1,00,000**	**(50,000)**	**50,000**	**(50,000)**	**-**

* Recognition of changes in fair value as per Ind AS 109 has resulted in the carrying amount of Preference shares being negative ₹ 50,000. Consequently, the entity shall reverse a portion of the associate's losses previously allocated to Preference shares.

Out of the total loss of ₹ 2,00,000 for the year, loss of only ₹ 50,000 is recognized. Hence, there is unrecognized loss to the extent of ₹ 1,50,000 at the end of year 2.

Year 3

Below table summarises the closing balance of each of the interest at the end of year 3: ₹

Type of interest	Opening balance at the start of the year	Adjustment as per Ind AS 109	Balance after applying Ind AS 109	Share in profit / (loss) of associate	Closing balance at the end of the year
	(A)	(B)	I = (A+B)	(D)	I = (C+D)
Equity shares	-	NA	-	-	-
Preference shares	-	1,00,000	1,00,000	(1,00,000)	-
Long-term loan	-	50,000	50,000	(50,000)	-
Total	-	**1,50,000**	**1,50,000**	**(1,50,000)**	-

The share in profit / loss for the year is nil. However, there was previously unrecognised loss of ₹ 1,50,000 which is allocated in current year. After recognising the above loss, there is no unrecognised loss at the end of year 3.

Year 4

Below table summarises the closing balance of each of the interest at the end of year 4: ₹

Type of interest	Opening balance at the start of the year	Adjustment as per Ind AS 109	Balance after applying Ind AS 109	Share in profit / (loss) of associate	Closing balance at the end of the year
	(A)	(B)	I = (A+B)	(D)	I = (C+D)
Equity shares	-	NA	-	2,00,000	2,00,000
Preference shares	-	50,000	50,000	5,00,000	5,50,000
Long-term loan	-	-	-	3,00,000	3,00,000
Total	-	**50,000**	**50,000**	**10,00,000**	**10,50,000**

The entity's share in profit of associate for the year is ₹ 10,00,000. The entity shall allocate such profit to each of the instruments in order of their seniority in liquidation. The entity should limit the amount of profit to be allocated to preference shares and long-term loan to the extent of losses previously allocated to them. Hence, the entity has allocated ₹ 5,00,000 to preference shares and ₹ 3,00,000 to long-term debt.

There is no unrecognised loss at the end of year 4.

Year 5

Below table summarises the closing balance of each of the interest at the end of year 5:

₹

Type of interest	Opening balance at the start of the year	Adjustment as per Ind AS 109	Balance after applying Ind AS 109	Share in profit / (loss) of associate	Closing balance at the end of the year
	(A)	(B)	I = (A+B)	(D)	I = (C+D)
Equity shares	2,00,000	NA	2,00,000	10,00,000	12,00,000
Preference shares	5,50,000	30,000	5,80,000	-	5,80,000
Long-term loan	3,00,000	-	3,00,000	-	3,00,000
Total	**10,50,000**	**30,000**	**10,80,000**	**10,00,000**	**20,80,000**

The entity's share in profit of associate for the year is ₹ 10,00,000. The entire profit is allocated to equity shares since there is no loss previously allocated to either preference shares or long-term loan.

There is no recognized loss at the end of year 5.

Year 1 to 5

The interest accrual on long-term loan would be done in each year at 10% p.a. This will be done without taking into account any adjustment done in the carrying value of long-term loan as per Ind AS 28. Hence, the entity will accrue interest of ₹ 30,000 (3,00,000 x 10%) in each year.

6.6 Discontinuing The Use Of The Equity Method

Q159 · SM Ind AS 28 · Illustration 16: Recording in profit or loss of the gain / loss on discontinuati

Illustration 16: Recording in profit or loss of the gain / loss on discontinuation of equity method

CD Ltd. held 50% of the voting power of RS Ltd. which is a joint venture of CD Ltd. The carrying value of the investment in RS Ltd. is ₹ 1,00,000. Now out of the 50% stake, CD Ltd. has sold 20% stake in RS Ltd. to a third party for a consideration of ₹ 80,000. The fair value of the retained 30% interest is ₹ 1,20,000. Determine how much gain / loss should be recorded in profit or loss of CD Ltd.

Solution — ICAI

Solution:

CD Ltd. Shall record in profit or loss difference between below:

- the fair value of any retained interest (i.e. ₹ 1,20,000) and any proceeds from disposing of a part interest in the joint venture (i.e. ₹ 80,000); and
- the carrying amount of the investment at the date the equity method was discontinued (i.e. ₹ 1,00,000).

Hence, CD Ltd. Shall record gain of ₹ 1,00,000 in profit or loss.

Q160 · SM Ind AS 28 · Example 5

Example 5

An investor has recognised in past in its other comprehensive income its share of ₹ 10,000 in the cumulative exchange differences relating to a foreign operation of its associate. Now, the investment in that associate is sold and equity method of accounting is stopped. So, the investor shall reclassify the cumulative exchange differences of ₹ 10,000 recorded in its other comprehensive income to profit or loss.

The above principle also applies in case there is a reduction in the ownership interest in an associate or joint venture but the investee still continues to be an associate or joint venture. In that case, the reclassification should be done in proportion to the reduction in the ownership interest.

It may be noted that while it is not explicitly stated in Ind AS 28, it can be inferred that in case there is a reduction in the ownership interest in an associate or joint venture but the investee still continues to be an associate or joint venture, the entity should recognize gain or loss. This accounting treatment is different from the accounting for changes in ownership interest interests in a subsidiary, without losing control.

An associate becomes a joint venture and vice versa

If an investment in an associate becomes an investment in a joint venture or an investment in a joint venture becomes an investment in an associate, the entity continues to apply the equity method and does not remeasure the retained interest.

ICAI example — facts and ICAI's analysis are printed together.

6.7 Classification Of Investment In Associate Or

Q161 · SM Ind AS 28 · Illustration 17: Investment in joint venture held for sale

Illustration 17: Investment in joint venture held for sale

Ram Ltd. holds 50% of the equity share capital of Shyam Ltd. The balance 50% equity share capital is held by another investor. Ram Ltd. has joint control over Shyam Ltd. and it is a joint venture of Ram Ltd., accounted using equity method. Now Ram Ltd. is planning to sell 10% of the equity share capital of Shyam Ltd. to a third party. Such 10% investment meets the criteria of an asset held for sale and has been measured and disclosed accordingly. Now determine how should Ram Ltd. account 40% interest retained in Shyam Ltd.

Solution — ICAI

Solution:

Till the time 10% stake is sold, Ram Ltd. shall account for the retained interest of 40% as per equity method. After the sale of 10% investment, if Ram Ltd. still has joint control over Shyam Ltd. (e.g. through contractual arrangement) then it shall continue to measure that investment using equity method. However, if Ram Ltd. is not going to have joint control over Shyam Ltd. post the disposal of 10% investment then retained investment of 40% shall be accounted as per Ind AS 109.

Ch 13 Test Your Knowledge

Q162 · SM Ch 13 · Test Your Knowledge Q2

2. M Limited holds 90% interest in subsidiary N Limited. N Limited holds 25% interest in an associate O Limited. As at 31 March 20X1, the net assets of O Limited was ₹ 300 lakhs including profit of ₹ 40 lakhs for the year ended 31 March 20X1. Calculate how the investment in O Limited will be accounted in the consolidated financial statements of M Limited?

Solution — ICAI

2. Since N Limited is a subsidiary of M Limited, the consolidated financial statements of M Limited will include 100% amounts of the consolidated financial statements of N Limited (including investment in O Limited accounted for using equity method). Accordingly, the investment in O Limited will be accounted as follows in the consolidated financial statements of M Limited:

		₹' lakh
Investment in O Limited (300 x 25%)		75
Share in profit of O Limited		
Attributable to M Limited (40 x 25% x 90%)	9	
Attributable to Non-controlling interest of N Limited (50 x 25% x 10%)	1	10

Q163 · SM Ch 13 · Test Your Knowledge Q3

3. AB Limited holds 30% interest in an associate which it has acquired for a cost of ₹ 300 lakhs. On the date of acquisition of that stake, the fair value of net assets of the associate was ₹ 900 lakh. The value of goodwill on acquisition was ₹ 30 lakhs. After the acquisition, AB Limited accounted for the investment in the associate as per equity method of accounting and now the carrying value of such investment in the consolidated financial statements of AB Limited is ₹ 360 lakhs. The associate has now issued equity shares to some investors other than AB Limited for a consideration of ₹ 800 lakhs. This has effectively reduced the holding of AB Limited to 20%. Determine how AB Limited should account for such reduction in interest in the associate?

Solution — ICAI

3. Because of the issue of shares by associate to other investors, AB Limited has effectively sold 10% (30 – 20) of its interest in the associate. The gain / loss on reduction in interest in associate in calculated as follows:

	₹' lakhs
AB Limited's share in the consideration received by the associate for issue of shares (800 x 20%) (1)	160
Less: Carrying value of interest sold (360 x 1/3)(2)	(120)
Gain on reduction in interest in associate(3)	**40**

Notes:

(1) The share in the consideration received by associate on issue of shares (i.e. ₹ 160 lakhs) would be recorded as part of investment in associate.

(2) The carrying amount of interest sold (i.e. ₹ 120 lakhs) will be derecognised, including proportionate goodwill of ₹ 10 lakhs (30 x 1/3).

(3) Gain of ₹ 40 lakhs will be recorded in the profit or loss.

ICAI Practice Questions (Ch 13)

Q164 · ICAI Practice Questions · Ch 13 Q3

3. On 1st April 2019, Investor Ltd. acquires 35% interest in another entity, XYZ Ltd. Investor Ltd. determines that it is able to exercise significant influence over XYZ Ltd. Investor Ltd. has paid total consideration of ₹ 47,50,000 for acquisition of its interest in XYZ Ltd. At the date of acquisition, the book value of XYZ Ltd.'s net assets was ₹ 90,00,000 and their fair value was ₹ 1,10,00,000. Investor Ltd. has determined that the difference of ₹ 20,00,000 pertains to an item of property, plant and equipment (PPE) which has remaining useful life of 10 years.

During the year, XYZ Ltd. made a profit of ₹ 8,00,000. XYZ Ltd. paid a dividend of ₹ 12,00,000 on 31st March, 2020. XYZ Ltd. also holds a long-term investment in equity securities. Under Ind AS, investment is classified as at FVTOCI in accordance with Ind AS 109 and XYZ Ltd. recognized an increase in value of investment by ₹ 2,00,000 in OCI during the year. Ignore deferred tax implications, if any.

Calculate the closing balance of Investor Ltd.'s investment in XYZ Ltd. as at 31st March, 2020 as per the relevant Ind AS.

Solution — ICAI

3. Calculation of Investor Ltd.'s investment in XYZ Ltd. under equity method:

	₹	₹
Acquisition of investment in XYZ Ltd.		
Share in book value of XYZ Ltd.'s net assets (35% of ₹ 90,00,000)	31,50,000	
Share in fair valuation of XYZ Ltd.'s net assets [35% of (₹ 1,10,00,000 – ₹ 90,00,000)]	7,00,000	
Goodwill on investment in XYZ Ltd. (balancing figure)	9,00,000	
Cost of investment		**47,50,000**
Profit during the year		
Share in the profit reported by XYZ Ltd. (35% of ₹ 8,00,000)	2,80,000	
Adjustment to reflect effect of fair valuation [35% of (₹ 20,00,000/10 years)]	(70,000)	
Share of profit in XYZ Ltd. recognised in income by Investor Ltd.		**2,10,000**
Long term equity investment		
FVTOCI gain recognised in OCI (35% of ₹ 2,00,000)		70,000
Dividend received by Investor Ltd. during the year [35% of ₹ 12,00,000]		(4,20,000)
Closing balance of Investor Ltd.'s investment in XYZ Ltd.		**46,10,000**

Not repeated: *MTP Nov 2022 S-II · Q3(a) — same question, same answer.*

RTP / MTP / past papers

Q165 · MTP Sep 2025 S-I · Part II Q1

1. The Accountant Mr. Ramesh Kanna of 'H' Limited submitted to you the following

Standalone Balance Sheet extracts as at 31st March 20X2: Amount in ₹

H Ltd. S Ltd. A Ltd.

Assets

Non-current assets

(a) Property, Plant and

Equipment 5,50,000 4,80,000 2,50,000

(b) Financial Assets

Investments:		4,80,000	2,50,000
14,000 shares in S Ltd.		5,60,000	
4,000 shares in A Ltd.		1,00,000	12,10,000
Current assets			
(a) Inventory	4,85,000	3,82,500	2,45,500

(b) Financial Assets

Cash and cash

equivalents	89,000	98,000	1,77,000			
Trade receivables	3,95,000	9,69,000	3,05,000	7,85,500	1,78,500	6,01,000
Total Assets	21,79,000	12,65,500		8,51,000		

Equity & Liabilities ₹ ₹ ₹ ₹ ₹ ₹

Shareholder's Equity

(a) Equity Share Capital

(₹ 10 per share) 5,00,000 2,00,000 1,00,000

(b) Other Equity

Retained earnings 9,00,000 14,00,000 7,50,000 9,50,000 4,24,000 5,24,000

Non-current liabilities

(a) Financial Liabilities

Borrowing–Term

Loans 4,00,000 1,50,000 1,00,000

Current liabilities

(a) Financial Liabilities

Trade payables	3,79,000	1,65,500	2,27,000
Total Equity and			
Liabilities	21,79,000	12,65,500	8,51,000

The following additional information is made available in respect of these companies:

(i) H Limited purchased the shares in S Limited on 31st October 20X1 when retrained earnings of S Limited was ₹ 500,000 and the shares in A Limited were acquired on 30th June 20X1 when its retained earnings stood at ₹ 1,75,000.

(ii) Inventory of A Limited as on 31st March, 20X2 include inventory valued at ₹ 60,000 which had been purchased from H Limited, on 1st January, 20X2 at cost plus 20%.

(iii) Trade payable of H Limited includes ₹ 25,000 payable to A Limited, the amount receivable being recorded in the receivables of A Limited.

(iv) Goodwill in respect of the acquisition of S Limited has been fully impaired. The recoverable amount of the investment in A Limited exceeds its' carrying value at 31st March 20X2. Non-controlling interest is valued at the proportionate share of the identifiable net assets.

(v) 10% dividends we declared by both H Limited and S Limited whereas A Limited declared 15% dividend for the year 20X1-20X2.

(vi) On 31st March, 20X2, S Limited made a bonus issue of one equity share for

every two shares held by the shareholders of S Limited.

(vii) Dividends were declared but were not accounted for by all these companies in the books before the year end. Similarly, the bonus issued by S Limited was not reflected in the balance sheet as on 31st March, 20X2.

You are required to take note of the above available information and draw the consolidated Balance Sheet of H Limited as at 31st March 20X2. Notes to accounts are not required. (14 Marks)

Solution — ICAI

1. Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. and Associate A Ltd. as at 31st March, 20X2

₹

Assets

Non-current assets

Property, plant and equipment (₹ 5,50,000 + ₹ 4,80,000) 10,30,000

Goodwill (₹ 70,000- Impaired ₹ 70,000) Nil

Financial assets

Investment in A Ltd. (Refer W.N.1 (iii)) 1,99,600

Current assets

Inventory (₹ 4,85,000+ ₹ 3,82,500) 8,67,500

Financial assets

Cash and cash equivalents [(₹ 89,000 - ₹ 50,000 + ₹ 14,000 + ₹ 6,000) + (₹ 98,000 - ₹ 20,000)] 1,37,000

Trade receivables (₹ 3,95,000+₹ 3,05,000) 7,00,000

Total 29,34,100

Equity and Liabilities

Equity

Share capital - Equity shares of ₹ 10 each 5,00,000

Other equity (W.N.4+W.N.1(i))	10,60,600
Non-controlling interest (W.N.3)	2,79,000

Non-current liabilities

Financial liabilities

Borrowings- term loans (₹ 4,00,000 + ₹ 1,50,000) 5,50,000

Current Liabilities

Financial liabilities

Trade payables (₹ 3,79,000+₹ 1,65,500) 5,44,500

Total 29,34,100

Working Notes:

1. Computation of Investment in Associate A Ltd. as per Equity method

(i) Capital reserve on the date of acquisition

The cost of the investment is lower than the net fair value of the investee's identifiable assets and liabilities. Hence there is capital reserve calculated as follows:

₹

Cost of acquisition of investment 1,00,000

Less: H Ltd.'s share in fair value of net assets of A Ltd. on the date of acquisition [(1,00,000 + 1,75,000) x 40%] (1,10,000)

Capital Reserve 10,000

Capital reserve is recorded directly in equity.

(ii) Share in profit of A Ltd.

₹

Share in post-acquisition profit of A Ltd. [(4,24,000 - 99,600 1,75,000) x 40%]

Less: Dividend (1,00,000 x 15% x 40%) (6,000)

Share in profit of A Ltd. 93,600

(iii) Closing balance of investment of Associate A Ltd. at the end of the year

₹

Cost of acquisition of investment	1,00,000
Add: Capital reserve	10,000
Share in post-acquisition profit	93,600

Less: Unrealised gain on inventory [(60,000x20/120) x 40%] (4,000)

Closing balance of investment 1,99,600

2. Analysis of Retained Earnings of S Ltd.

(i) Retained Earnings (RE) of S Ltd. ₹

Closing balance as on 31st March, 20X2 7,50,000

Less: Pre-acquisition as on 31st October, 20X1 (5,00,000)

Post-acquisition Profit 2,50,000

(ii) Computation of net worth (net identifiable assets) as on 31st October, 20X1 ₹

Share Capital of S Ltd.	2,00,000
Pre-acquisition Retained Earnings	5,00,000
Net Identifiable assets	7,00,000

(iii) Computation of Goodwill on acquisition date of S Ltd. ₹

Purchase consideration	5,60,000	
NCI as per proportionate share method		
(7,00,000 x 30%)	2,10,000	7,70,000
Less: Net worth or Net Identifiable Assets		(7,00,000)
Goodwill		70,000

3. Non-Controlling Interest as on 31st March, 20X2 ₹

NCI (by proportionate share method) as on 31st October, 20X1 2,10,000

Post-acquisition Retained Earnings (W.N.4) 69,000

NCI as on 31st March, 20X2 2,79,000

4. Consolidated Retained Earnings ₹

Particulars H Ltd. S Ltd.

Opening Balance of Retained Earnings 9,00,000

Post-acquisition Retained Earnings (W.N.2(i)) 2,50,000

Less: Unrealised gain on downstream transaction

with Associate A Ltd.	(4,000)	
Less: Impairment of Goodwill on acquisition of		
S Ltd.	(70,000)	
Add: Share of profit and loss in Associate A Ltd.		93,600
Less: Dividend paid	(50,000)	(20,000)
Add: Dividend Income received from S Ltd.		14,000
Add: Dividend income received from A Ltd.		6,000

Less: Share of NCI in post-acquisition Retained

Earnings

[(2,50,000 - 20,000) x 30%]		(69,000)
	8,89,600	1,61,000
Total Consolidated Retained Earnings		10,50,600

Note: Bonus issue by a subsidiary is a transaction with owner in their capacity as owner. Therefore, bonus issue is only a transfer from one component of equity to the other thereby not changing the equity. Accordingly, though bonus issue shall be accounted in the individual financial statements of subsidiary, the same shall not have any effect in consolidated financial statements of the Group.

Q166 · RTP May 2025 · Q11

11. X Ltd. acquired a 10% interest in V Ltd. for ₹ 50,000 on 1st June, 20X6. The investment in V Ltd. was accounted for as equity investment (not held for trading) for which irrevocable option has been availed for subsequent measurement of financial assets at FVTOCI. X Ltd. recognized an increase in fair value of ₹ 30,000 in other comprehensive

income for the year ended 31st March, 20X7.

X Ltd. acquired an additional 25% interest in V Ltd. for ₹ 2,00,000 on 1st April, 20X7 and achieved significant influence. The fair value of V Ltd.'s net assets was ₹ 2,50,000 at June, 20X6 and had increased to ₹ 4,00,000 on 1st April, 20X7. V Ltd. recorded profits after dividends of ₹ 1,00,000 between 1st June, 20X6 and 1st April, 20X7.

How should X Ltd. account for an investment in V Ltd. on account of piecemeal acquisition when such investment provides X Ltd. significant influence over V Ltd.? Pass necessary journal entries for the same.

Solution — ICAI

11. While applying equity method, paragraph 10 of Ind AS 28 requires, the investment in an associate to be initially recognized at cost. However, it doesn't include any specific guidance on how to account for existing investment, which is accounted for under Ind AS 109, that subsequently becomes an associate or a joint venture. One may apply the fair value approach, by drawing an analogy from paragraph 42 of Ind AS 103.

Paragraph 42 of Ind AS 103, 'Business Combinations', deals with the situation where control over an acquiree is achieved in stages. In such a case, the acquirer shall remeasure its previously held equity interest in the acquiree at its acquisitions- date fair value and recognize the resulting gain or loss, if any, in profit or loss or OCI, as appropriate. In prior reporting periods, the acquirer may have recognized changes in the value of its equity interest in the acquiree on OCI. If so, the amount that was recognized in OCI shall be recognized on the same basis as would be required if the acquirer had disposed directly of the previously held equity interest.

On application of the above guidance, following accounting will be done:

Computation of goodwill on gaining significant influence on V Ltd.

Particulars	₹
Fair value of previously held 10% interest	

[2,00,000/25% x10%]	80,000
Fair value of additional 25% (amount paid)	2,00,000
Cost of investment in associate V Ltd.	2,80,000
Less: Fair value of identifiable net assets acquired	
(4,00,000 x 35%)	(1,40,000)
Goodwill	1,40,000

Journal Entries

Particulars Amount Amount

(₹) (₹)

Investment A/c (10%) Dr.	30,000
To OCI (Equity)	30,000
Investment in Associates A/c (35%) Dr.	2,80,000
To Bank A/c	2,00,000
To Investment (FVTOCI) (10%)	80,000
OCI (Equity) Dr.	30,000
To Retained Earning	30,000

Q167 · RTP Sep 2025 · Q11

11. A Ltd. owns 100% of a subsidiary B Ltd. It disposes of 60% of its interest in the subsidiary for ₹ 360 million and loses control of the subsidiary. It will de-consolidate the subsidiary and account for the remaining 40% interest as an associate using the equity method of accounting. At the disposal date, the fair value of the retained investment in B Ltd. is determined to be ₹ 240 million. The carrying value of the identifiable net assets of the subsidiary is ₹ 440 million, excluding goodwill. There is ₹ 60 million of goodwill recorded related to the previously acquired interests in the subsidiary. A Ltd. tested the subsidiary's goodwill and long-lived assets prior to disposal and there was no impairment. There is ₹ 4 million credit in the available-for-sale reserve and ₹ 10 million credit in the revaluation reserve relating to the subsidiary B Ltd. The tax consequences of the gain have been ignored.

Required:

(i) Pass Journal Entries for sale of 60% stake of B Ltd. on disposal date

(ii) Compute gain on 40% retained investment

Solution — ICAI

11. (i) The accounting entry on the disposal date for the 60% interest sold, the gain recognised on the 40% retained investment and the de-recognition of the subsidiary is as follows:

₹ in million

Cash / Bank A/c Dr.	360
Investment in associate Dr.	240
Available -for-sale reserve Dr.	4
Revaluation reserve Dr.	10
To Net assets (including goodwill)	500
To Retained earnings	10

To Gain on disposal of controlling interest 104

The ₹ 104 million gain on the interest sold and the retained investment is recognised in the income statement and is disclosed in the consolidated financial statements.

(ii) Computation of remeasurement of the retained non-controlling investment to fair value:

₹ in million

Fair value of retained investment	240
Percentage retained of carrying value of	
subsidiary [(440+ 60) x 40%]	(200)
Gain on retained investment	40

The gain or loss on the interest sold and on the retained investment recognised in the income statement, is calculated as follows:

₹ in million

Fair value of the consideration	360
Fair value of retained investment	240
Less: Carrying value of former subsidiary's net	
assets (440 + 60)	(500)
Available for sale reserve transferred to income	4
Gain on interest sold and on retained investment	104

Study-material link: variant of SM Illustration 32 (Ch 13 unit 4, partial disposal when subsidiary becomes an associate)

Q168 · RTP Sep 2025 · Q12

12. A Ltd. has a wholly owned subsidiary B Ltd. A Ltd. sells subsidiary B Ltd. to C Ltd. a listed entity, for shares in C Ltd. and ends up owning 75% of C Ltd.'s shares.

The net assets of B Ltd. prior to the disposal are ₹ 10,00,000 (fair value ₹ 13,00,000) and goodwill previously capitalised and not impaired is ₹ 6,00,000; the carrying value of B Ltd. in A Ltd.'s books is ₹ 15,00,000.

At the date A Ltd. acquired B Ltd., B Ltd.'s profit and loss reserve was ₹ 400,000 and B has since made ₹ 100,000 post acquisition profits.

The position prior to the transaction was as follows: (Amount in ₹)

Consolidation of A A Ltd. B Ltd. Elim Consol

Ltd. and B Ltd.

before transaction

Goodwill	-	-	600,000	600,000
Investment in	1,500,000	-	(1,500,000)	-
subsidiary				
Net assets	10,000,000	1,000,000	-	11,000,000
Total assets	11,500,000	1,000,000	(900,000)	11,600,000
Share capital	2,000,000	500,000	(500,000)	2,000,000
Retained earnings	9,500,000	100,000	-	9,600,000
Pre-acquisition				
reserves	-	400,000	(400,000)	-
Total equity	11,500,000	1,000,000	(900,000)	11,600,000

The net assets of C Ltd. prior to its acquisition of B Ltd. were ₹ 380,000

(fair value ₹ 500,000). C Ltd. then issued shares worth ₹ 17,50,000

(which is the fair value of the consideration given for the acquisition of

100% of B), being ₹ 600,000 nominal value and ₹ 11,50,000 premium.

The balance sheets of the three companies directly after the issue of

shares by C Ltd. were as follows: (Amount in ₹)

Summarized balance sheets A Ltd. B Ltd. C Ltd.

Investment in subsidiary	1,750,000	-	1,750,000
Net assets 10,000,000 1000,000			380,000
11,750,000 1000,000			2,130,000
Share capital 2000,000		500,000	800,000
Additional paid in capital	-	-	1,150,000
Retained earnings	9,750,000	500,000	
			180,000
Total equity	11,750,000	1,000,000	2,130,000

The parent A Ltd., had an interest in B Ltd. that cost ₹ 15,00,000 and

has in effect swapped this for an interest in C Ltd.'s group. In its

separate financial statements, A Ltd. states its investment in C Ltd.

group at the fair value of the consideration given ₹ 17,50,000.

The non-controlling interest is determined with reference to the

proportionate share of the acquired C Ltd.'s net identifiable assets.

Required:

(i) Compute gain or loss on effective disposal of B Ltd.

(ii) Compute goodwill on acquisition of C Ltd.

Note:

a. C Ltd. is not required to prepare consolidated financial

statements.

b. Ignore the possibility that the transaction could be classified as a reverse acquisition of C Ltd. by B Ltd.

Solution — ICAI

12. Effective disposal of stake in B Ltd. [100%- (75% of 100%)] = 25% which will be considered as non-controlling interest in B Ltd.

With regard to A Ltd.'s consolidated financial statements, it is necessary to calculate the 'gain or loss' (on the disposal of 25% of B Ltd.) that is recognised in equity and the goodwill arising (on the acquisition of C Ltd.).

When control is retained, it should be noted that goodwill attributed to the portion sold remains unchanged and is allocated to the non-controlling interest. In addition, if control is retained, the gain or loss should be recognised in equity.

Gain or loss on disposal of 25% of B Ltd. ₹

Calculation of non-controlling interest B Ltd. in A's consolidated financial statement: Book value of assets and liabilities given up plus attributable goodwill

[(₹ 10,00,000 + ₹ 6,00,000) x 25%] 4,00,000

Less: Fair value of business received in consideration (W.N.1) (4,37,500)

Gain on disposal recognized in equity 37,500

The net assets compared should include an appropriate portion of any cumulative exchange differences and any reserve on FVOCI debt investments previously recognised in other comprehensive income and accumulated in equity.

Goodwill on acquisition of 75% of C Ltd. ₹

Fair value of business given in consideration 4,37,500

(₹ 17,50,000 x 25%)

Non-controlling interest C Ltd. measured at the proportionate share of the acquired net-asset (₹ 5,00,000 x 25%) 1,25,000

5,62,500

Less: Fair value of assets and liabilities acquired (5,00,000)

Goodwill 62,500

The consolidated entry recognised is:

₹ ₹

Fair value of net identifiable assets -C Ltd. Dr.	5,00,000
Goodwill – C Ltd. Dr.	62,500
To Non-controlling interest B Ltd.	4,00,000
(16,00,000 x 25%)	
To Non-controlling interest – C Ltd.	1,25,000
(500,000 x 25%)	
To Equity	37,500

Consolidation of A Ltd., B Ltd. and C Ltd. after the transaction

(Amount in ₹)

Consolidation of A Ltd., B A Ltd. B Ltd. C Ltd. Elim Consolida

Ltd. and C Ltd. after the ted

transaction

Goodwill (W.N.2) - - - 662,500 662,500

Investment in subsidiary 1,750,000 - 1,750,000 (3,500,000) -

(W.N.3)

Net assets	10,000,000	1,000,000	380,000	120,000	11,500,000
	11,750,000	1,000,000	2,130,000	(2,717,500)	12,162,500
Equity share capital	2,000,000	500,000	800,000	(1,300,000)	2,000,000
Additional paid in capital - - 1,150,000 (1,150,000) -					
Retained earnings (W.N.4)	9,750,000	500,000	180,000	(792,500)	9,637,500
Non-controlling interest -	-	-	525,000	525,000	
Total equity	11,750,000	1,000,000	2,130,000	(2,717,500)	12,162,500

Note:

C Ltd.'s net assets are adjusted to fair value for the purpose of the consolidation as A Ltd. has acquired 75% of C Ltd. and gained control of C Ltd.

Working Notes:

1. A Ltd. receives consideration (that is, shares in C Ltd.) with a fair value of ₹ 17,50,000. However, the amount included in the calculation is the amount attributable to the interest in B Ltd. that has been disposed of, that is 25% of ₹ 17,50,000 = ₹ 4,37,500. The fair value of the part of the subsidiary B that is effectively disposed of is derived from the price paid by C Ltd. for the whole of B Ltd. which is ₹ 17,50,000.

2. The goodwill balance of ₹ 6,62,500 represents the previous balance of the goodwill of ₹ 6,00,000 arising on the acquisition of B Ltd., plus the goodwill of ₹ 62,500 arising on the acquisition of C Ltd. The original goodwill arising on the acquisition of B Ltd. is retained and a portion (25%) is allocated to the non-controlling

interest.

3. On consolidation the net assets of C Ltd. are increased from

₹ 3,80,000 to their fair value of ₹ 5,00,000.

4. Computation of consolidated retained earnings

₹

Retained earnings of A Ltd. 95,00,000

(excluding the investment revaluation gain of

₹ 2,50,000, which is reversed)

Add: Post-acquisition profits of B Ltd. 1,00,000

Add: Gain on disposal (recognised directly in equity) 37,500

96,37,500

5. Computation of non-controlling interest

₹

25% of C Ltd.'s fair value of net assets (₹ 5,00,000 x

25%)	1,25,000
Add: 25% of B Ltd.'s net assets (including goodwill)	
(₹ 16,00,000 x 25%)	4,00,000
	5,25,000

Q169 · RTP Sep 2025 · Q13

13. H Ltd. purchased a 100% subsidiary S Ltd. for ₹ 500,000 at the end of March, 20X3, when the fair value of the S Ltd.'s net assets was ₹ 400,000. H Ltd. sold 60% of its investment in the S Ltd. in March, 20X5 for ₹ 675,000, leaving H Ltd. with 40% investment and significant influence. At the date of disposal, the carrying value of the net assets of S Ltd., excluding goodwill, is ₹ 800,000. The fair value of the investment in S Ltd. retained is proportionate to the fair value of the 60% investment sold.

Required:

Compute gain or loss for H Ltd. on sale of 60% stake in S Ltd. for the purpose of separate financial statements and consolidated financial statements.

Solution — ICAI

13. (i) Computation of gain on the sale of 60% investment in Separate Financial Statements of H Ltd.'s for the year ended 31st March, 20X5

₹

Sale proceeds 6,75,000

Less: Cost of investment in S Ltd. (5,00,000 x 60%) (3,00,000)

Gain on sale in the parent's financial statements 3,75,000

(ii) Computation of gain on the sale of 60% investment in Consolidated Financial Statements of H Ltd.'s for the year ended 31st March, 20X5

In the consolidated financial statements, the group will calculate the gain or loss on disposal differently. The carrying amounts of all of the assets, including goodwill and the full amount of any cumulative exchange differences and any FVOCI-reserve previously recognised in equity, are de-recognised. when control is lost. This is compared to the proceeds received and the fair value of the investment retained.

The gain on disposal will be calculated as follows:

₹

Sale proceeds	6,75,000
Add: Fair value of 40% interest retained	4,50,000
	11,25,000
Less: Net assets disposed, including goodwill	
(8,00,000 + 1,00,000)	(9,00,000)

Gain on sale in the group's financial statements 2,25,000

This gain on loss of control would be recorded in profit or loss.

The gain or loss includes the gain of ₹ 1,35,000 (₹ 6,75,000 - (₹ 9,00,000 x 60%)) on the portion sold. However, it also includes a gain on remeasurement of the 40% retained interest of ₹ 90,000 (₹ 4,50,000 - ₹ 3,60,000). The entity will need to disclose the portion of the gain that is attributable to remeasuring any remaining interest to fair value that is ₹ 90,000).

Study-material link: variant of SM Illustration 32 (Ch 13 unit 4)

Q170 · RTP Sep 2025 · Q15

15. Beta Limited (investee) has issued 2,000 equity shares which are outstanding at the reporting date. On this date, Beta issues 1,000 share options to its employees, which can be converted into 1,000 equity shares of Beta. The grant-date fair value of each option issued is ₹ 1. The options will vest over five years and all 1,000 options are expected

to vest.

Beta recognises share-based remuneration expense of ₹ 200 in its profit or loss and an offsetting credit to equity in the current year.

Alpha Limited (investor) holds 600 shares of Beta. Alpha has significant influence over Beta. Alpha recognises its share of the remuneration expense in its profit or loss as part of income from the equity-accounted investees. It records the offsetting credit as a reduction of its investment in Beta.

At the end of the vesting period, all options vest and are exercised. The exercise price is ₹ 3 per option. The face value per share is ₹ 1.

Required

(i) Pass journal entries in the books of Beta Limited and Alpha Limited for recording share-based payment expenses for the first year.

(ii) Pas Journal entries for exercising of option in the 5th year, in the books of Beta Limited.

(iii) In the books of Alpha Limited, compute the loss on dilution of shares of Beta Limited and pass journal entries for the same. Beta has net assets totalling ₹ 11,000, immediately before the shares are issued.

Solution — ICAI

15. (i) Journal Entries to be recorded over the five-year vesting period:

₹ ₹

In Beta's books

Share based payments remuneration (profit or loss) Dr. 200

To Shareholders' equity (ESOP reserve) 200

(To recognise share based payment at associate level)

In Alpha's books

Share based payment remuneration (profit or loss) Dr.	60
Investment in associate	60

(To recognise share based payment at investor level)

(ii) Journal Entries in the books of Beta to recognise share issue:

₹ ₹

Cash Dr.	3,000
Shareholders' equity (ESOP reserve) Dr.	1,000
To Share capital	1,000
To Share premium	3,000

(To recognise exercise of options at the associate

level)

(iii) Accounting in the Financial Statements of Alpha

The issue of new share options results in a dilution of Alpha's

interest in Beta by 10% [30% - {(600/(2,000+1000)x100}].

However, Alpha maintains significant influence over Beta.

Alpha calculates loss on dilution as below.

Alpha's share of net assets before exercise (11,000 x 30%) 3,300

Alpha's share of net assets after exercise ((11,000+3,000)

x 20%)	(2,800)
Cumulative adjustment required	500
Less: Adjustment previously recognized for share based	
payment expense (60 x 5 years)	(300)
Loss on dilution	200

Alpha passes the following entry to recognise dilution

₹ ₹

Loss on dilution (profit or loss) Dr.	200
To Investment in associate	200

(To recognize dilution of investment in associate)

Q171 · RTP Nov 2026 · Q15

15. E Ltd. owns 90% of a subsidiary X Ltd., and the balance is NCI. It disposes of 60% of its interest in the subsidiary X Ltd. for ₹ 6,120 and loses control of the subsidiary X Ltd. It will de-consolidate the subsidiary X Ltd. and account for the remaining 30% interest as an associate using the equity method of accounting.

At the disposal date, the fair value of the retained investment is determined to be ₹ 4,080. The carrying value of the identifiable net assets of the subsidiary is ₹ 7,480, excluding goodwill. There is ₹ 1,020 of goodwill recorded related to the previously acquired interests in the subsidiary. The carrying value of NCI is ₹ 850. E Ltd. tested the subsidiary's goodwill and fixed assets prior to disposal and there was no impairment. There is ₹ 68 credit in the FVTOCI arising from a debt instrument and ₹ 170 credit in the revaluation reserve

(revaluation of fixed assets) relating to the subsidiary. Ignore tax consequences.

Required:

(i) Determine the gain/loss on disposal of controlling interest

(ii) Determine the gain/loss on retained investment

(iii) Pass the journal entry on the disposal for 60% stake in X Ltd.

Solution — ICAI

15. (i) If a parent loses control of a subsidiary, the parent shall account for all amounts previously recognised in other comprehensive income (OCI) in relation to that subsidiary on the same basis as would be required if the parent had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in OCI would be reclassified to profit or loss on the disposal of the related assets or liabilities, the parent shall reclassify the gain or loss from equity to profit or loss (as a reclassification adjustment) when it loses control of the subsidiary.

Accordingly, a revaluation surplus previously recognised in other comprehensive income would be transferred directly to retained earnings on the disposal of the asset. Hence, the parent shall transfer the revaluation surplus directly to retained earnings when it loses control of the subsidiary. The revaluation reserve relating to the fixed assets, ₹ 170 is transferred to retained earnings in accordance with Ind AS 16 'Property, Plant and Equipment'.

The FVTOCI reserve arising from debt instrument under Ind AS 109 is recycled to P&L on disposal and is therefore included in the gain on disposal of controlling interest and on retained investment.

RREEVVIISSIIOONN TTEESSTT PPAAPPEERR S

The gain or loss on the interest sold, and on the retained investment recognised in the income statement, is calculated as follows:

Particulars ₹

Fair value of the consideration (60%)	6,120
Fair value of retained investment (30%)	4,080
Carrying value of the NCI (10%)	850
Total	11,050

Less: Carrying value of former subsidiary's net assets (8,500)*

2,550

Add: FVTOCI reserve transferred to P/L as income 68

Gain on interest sold and on retained investment 2,618

* 7,480 + 1,020 = 8,500

(ii) Ind AS 112 requires a parent entity to separately disclose both the total gain or loss on the subsidiary's loss of control and the portion of the gain or loss related to the retained non-controlling investment. To obtain the information necessary for disclosure, a calculation of the portion related to the gain or loss on the retained non-controlling investment is, therefore, necessary. The ₹ 2,618 gain on the interest sold and the retained investment is recognised in the P&L and is disclosed in the consolidated financial statements. Additionally, Ind AS 112 requires the disclosure of the portion of the gain or loss related to the remeasurement of the retained non-controlling investment to fair value. This is calculated as follows:

Particulars ₹

Fair value of retained investment	4,080
Less: Percentage retained of carrying value of	
subsidiary [(7,480 + 1,020) × 30%]	(2,550)
Gain on retained investment	1,530

(iii) Journal entry on the disposal date

Particulars ₹ ₹

Cash Dr.	6,120
Investment in associate Dr.	4,080
FVTOCI reserve Dr.	68
Revaluation reserve Dr.	170
NCI Dr.	850
To Net assets (including goodwill)	8,500
To Retained earnings	170
To Gain on disposal of controlling	2,618

interest

(The accounting entry on the disposal date for the 60% interest sold, the gain recognised on the 30% retained investment and the de-recognition of the subsidiary)

Study-material link: variant of SM Illustration 32 (Ch 13 unit 4); also tagged Ch13-112 for the disclosure point

Q172 · PYQ Nov 2022 · Q6(d) · 5 marks

On 1st April 2021, Honey Limited acquired 40% interest in another entity, Smart Limited. Honey Limited determines that it is able to exercise significant influence over Smart Ltd. Honey Limited has paid total consideration of ₹ 95,00,000 for acquiring the interest in Smart Ltd. On the date of acquisition, the book value of Smart Ltd.'s net assets was ₹ 1,80,00,000 and their fair value was ₹ 2,20,00,000. Honey Ltd. has determined that the difference of ₹ 40,00,000 pertains to an item of property, plant and equipment which has remaining useful life of 10 years.

During the year 2021-2022, Smart Ltd. made a profit of ₹ 16,00,000. Smart Limited paid a dividend of ₹ 24,00,000 on 31st March, 2022. Smart Limited also holds a long-term investment in equity securities. Under Ind AS, investment is classified as at FVTOCI in accordance with Ind AS 109 and Smart Ltd. recognized an increase in value of investment by ₹ 4,00,000 in OCI during the year. Ignore deferred tax implications, if any.

You are required to ascertain the closing balance of Honey Limited's investments in Smart Limited as at 31st March, 2022 as per the relevant Ind AS. (Use equity method) (5 Marks)

Solution — ICAI

(d) Calculation of Honey Ltd.'s investment in Smart Ltd. under equity method:

	₹	₹
Cost of investment		
Share in book value of net assets of Smart Limited (40% x 1,80,00,000)	72,00,000	
Share in fair valuation of net assets of Smart Limited (40% of (2,20,00,000 - 1,80,00,000)	16,00,000	
Goodwill on Investment in Smart Limited (95,00,000 - 72,00,000 - 16,00,000) (Balancing Figure)	7,00,000	95,00,000
Profit during the year		
Share in the profit reported by Smart Ltd. (40% of ₹ 16,00,000)	6,40,000	
Adjustment to reflect effect of fair valuation [40% of (₹ 40,00,000/10 years)]	(1,60,000)	
Share of profit in Smart Ltd. recognised in income by Honey Ltd.		4,80,000
Long term equity investment		
FVTOCI gain recognised in OCI (40% of ₹ 4,00,000)		1,60,000
Dividend received by Honey Ltd. during the year [40% of ₹ 24,00,000]		(9,60,000)
Closing balance of Honey Ltd.'s investment in Smart Ltd.		91,80,000

Study-material link: variant of SM Illustration 10 (Ch 13 unit 6, Blue Ltd. / Green Ltd., acquisition of interest in an associate)

Q173 · PYQ May 2024 · Q1 · 14 marks

The Accountant Mr. Ramesh Kanna of 'H' Limited submitted to you the following Standalone Balance Sheet extracts as at 31st March 2024: Amount in ₹

	H Ltd.	S Ltd.	A Ltd.
Assets			
Non-current assets			
(a) Property, Plant and Equipment	5,50,000	4,80,000	2,50,000
(b) Financial Assets - Investments: 14,000 shares in S Ltd.	5,60,000		
4,000 shares in A Ltd.	1,00,000		
Total non-current assets	12,10,000	4,80,000	2,50,000
Current assets			
(a) Inventory	4,85,000	3,82,500	2,45,500
(b) Financial Assets - Cash and cash equivalents	89,000	98,000	1,77,000
Trade receivables	3,95,000	3,05,000	1,78,500
Total current assets	9,69,000	7,85,500	6,01,000
Total Assets	21,79,000	12,65,500	8,51,000
Equity & Liabilities			
Shareholder's Equity			
(a) Equity Share Capital (₹ 10 per share)	5,00,000	2,00,000	1,00,000
(b) Other Equity - Retained earnings	9,00,000	7,50,000	4,24,000
Total equity	14,00,000	9,50,000	5,24,000
Non-current liabilities			
(a) Financial Liabilities - Borrowing – Term Loans	4,00,000	1,50,000	1,00,000
Current liabilities			
(a) Financial Liabilities - Trade payables	3,79,000	1,65,500	2,27,000
Total Equity and Liabilities	21,79,000	12,65,500	8,51,000

(The subtotal rows 12,10,000 / 9,69,000 / 7,85,500 / 6,01,000 / 14,00,000 / 9,50,000 / 5,24,000 are printed as side totals in the ICAI layout.)

The following additional information is made available in respect of these companies:

(i) H Limited purchased the shares in S Limited on 31st October 2023 when retrained earnings of S Limited was ₹ 500,000 and the shares in A Limited were acquired on 30th June 2023 when its retained earnings stood at ₹ 1,75,000.

(ii) Inventory of A Limited as on 31st March, 2024 include inventory valued at ₹ 60,000 which had been purchased from H Limited, on 1st January, 2024 at cost plus 20%.

(iii) Trade payable of H Limited includes ₹ 25,000 payable to A Limited, the amount receivable being recorded in the receivables of A Limited.

(iv) Goodwill in respect of the acquisition of S Limited has been fully impaired. The recoverable amount of the investment in A Limited exceeds its' carrying value at 31st March 2024. Non-controlling interest is valued at the proportionate share of the identifiable net assets.

(v) 10% dividends we declared by both H Limited and S Limited whereas A Limited declared 15% dividend for the year 2023-24.

(vi) On 31st March, 2024, S Limited made a bonus issue of one equity share for every two shares held by the shareholders of S Limited.

(vii) Dividends were declared but were not accounted for by all these companies in the books before the year end. Similarly, the bonus issued by S Limited was not reflected in the balance sheet as on 31st March, 2024.

You are required to take note of the above available information and draw the consolidated Balance Sheet of H Limited as at 31st March 2024. Notes to accounts are not required. (14 Marks)

Solution — ICAI

Note: Since adjustments (v) and (vii) of the question state that dividend has been declared by all the entities but no information is provided whether it has been paid or due. In this regard, it may be noted that since dividend is paid for the entire year 2023-2024, it is assumed as final dividend which is approved in the Annual General Meeting conducted at later point time from the reporting date.

Accordingly, following assumptions are possible based on which alternative solutions have been provided:

A. Ignored the adjustment for dividend completely as dividend has to be approved in the Annual General Meeting.

B. Considered dividend as declared but not paid.

C. Considered dividend as declared and paid.

Alternative A: Ignored the adjustment for dividend completely as it has to be approved in the AGM.

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. and Associate A Ltd. as at 31st March, 2024

	₹
Assets	
Non-current assets	
Property, plant and equipment (₹ 5,50,000 + ₹ 4,80,000)	10,30,000
Goodwill (₹ 70,000 - Impaired ₹ 70,000)	Nil
Financial assets - Investment in A Ltd. (W.N.1 (iii))	2,05,600
Current assets	
Inventory (₹ 4,85,000 + ₹ 3,82,500)	8,67,500
Financial assets - Cash and cash equivalents (₹ 89,000 + ₹ 98,000)	1,87,000
Trade receivables (₹ 3,95,000 + ₹ 3,05,000)	7,00,000
Total	29,90,100
Equity and Liabilities	
Equity	
Share capital - Equity shares of ₹ 10 each	5,00,000
Other equity (W.N.4 + W.N.1(i))	11,10,600
Non-controlling interest (W.N.3)	2,85,000
Non-current liabilities - Financial liabilities - Borrowings - term loans (₹ 4,00,000 + ₹ 1,50,000)	5,50,000
Current Liabilities - Financial liabilities - Trade payables (₹ 3,79,000 + ₹ 1,65,500)	5,44,500
Total	29,90,100

Working Notes:

1. Computation of Investment in Associate A Ltd. as per Equity method

(i) Capital reserve on the date of acquisition

The cost of the investment is lower than the net fair value of the investee's identifiable assets and liabilities. Hence there is capital reserve calculated as follows:

	₹
Cost of acquisition of investment	1,00,000
H Ltd.'s share in fair value of net assets of A Ltd. on the date of acquisition [(1,00,000 + 1,75,000) x 40%]	(1,10,000)
Capital Reserve	10,000

Capital reserve is recorded directly in equity.

(ii) Share in profit of A Ltd.

	₹
Share in post-acquisition profit of A Ltd. [(4,24,000 - 1,75,000) x 40%]	99,600

(iii) Closing balance of investment of Associate A Ltd. at the end of the year

	₹
Cost of acquisition of investment	1,00,000
Add: Capital reserve	10,000
Share in post-acquisition profit	99,600
Less: Unrealised gain on inventory [(60,000 x 20/120) x 40%]	(4,000)
Closing balance of investment	2,05,600

2. Analysis of Retained Earnings of S Ltd.

(i) Retained Earnings (RE) of S Ltd.

	₹
Closing balance as on 31st March, 2024	7,50,000
Less: Pre-acquisition as on 31st October, 2023	(5,00,000)
Post-acquisition Profit	2,50,000

(ii) Computation of net worth (net identifiable assets) as on 31st October, 2023

	₹
Share Capital of S Ltd.	2,00,000
Pre-acquisition Retained Earnings	5,00,000
Net Identifiable assets	7,00,000

(iii) Computation of Goodwill on acquisition date of S Ltd.

	₹	₹
Purchase consideration	5,60,000	
NCI as per proportionate share method (7,00,000 x 30%)	2,10,000	7,70,000
Less: Net worth or Net Identifiable Assets		(7,00,000)
Goodwill		70,000

3. Non-Controlling Interest as on 31st March, 2024

	₹
NCI (by proportionate share method) as on 31st October, 2023	2,10,000
Post-acquisition Retained Earnings (W.N.4)	75,000
NCI as on 31st March, 2024	2,85,000

4. Consolidated Retained Earnings

Particulars	H Ltd ₹	S Ltd. ₹
Opening Balance of Retained Earnings	9,00,000	
Post-acquisition Retained Earnings (W.N.2(i))		2,50,000
Less: Unrealised gain on downstream transaction with Associate A Ltd.	(4,000)	
Less: Impairment of Goodwill on acquisition of S Ltd.	(70,000)	
Add: Share of profit and loss in Associate A Ltd.	99,600	
Less: Share of NCI in post-acquisition Retained Earnings [2,50,000 x 30%]		(75,000)
	9,25,600	1,75,000
Total Consolidated Retained Earnings		11,00,600

Note: Bonus issue by a subsidiary is a transaction with owner in their capacity as owner. Therefore, bonus issue is only a transfer from one component of equity to the other thereby not changing the equity. Accordingly, though bonus issue shall be accounted in the individual financial statements of subsidiary, the same shall not have any effect in consolidated financial statements of the Group.

Alternative B: Considered dividend as declared but not paid

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. and Associate A Ltd. as at 31st March, 2024

	₹
Assets	
Non-current assets	
Property, plant and equipment (₹ 5,50,000 + ₹ 4,80,000)	10,30,000
Goodwill (₹ 70,000 - Impaired ₹ 70,000)	Nil
Financial assets - Investment in A Ltd. (Refer W.N.1 (iii))	1,99,600
Current assets	
Inventory (₹ 4,85,000 + ₹ 3,82,500)	8,67,500
Financial assets - Cash and cash equivalents (₹ 89,000 + ₹ 98,000)	1,87,000
Trade receivables (₹ 3,95,000 + ₹ 3,05,000)	7,00,000
Other Receivables (Dividend receivable from A Ltd. (₹ 15,000 x 40%)	6,000
Total	29,90,100
Equity and Liabilities	
Equity	
Share capital - Equity shares of ₹ 10 each	5,00,000
Other equity (W.N.4 + W.N.1(i))	10,60,600
Non-controlling interest (W.N.3)	2,79,000
Non-current liabilities - Financial liabilities - Borrowings - term loans (₹ 4,00,000 + ₹ 1,50,000)	5,50,000
Current Liabilities - Financial liabilities - Trade payables (₹ 3,79,000 + ₹ 1,65,500)	5,44,500
Other payables [Dividend payable to NCI by S Ltd. (₹ 20,000 x 30%) ₹ 6,000 + Dividend payable by H Ltd. to its shareholders ₹ 50,000)	56,000
Total	29,90,100

Working Notes:

1. Computation of Investment in Associate A Ltd. as per Equity method

(i) Capital reserve on the date of acquisition

The cost of the investment is lower than the net fair value of the investee's identifiable assets and liabilities. Hence there is capital reserve calculated as follows:

	₹
Cost of acquisition of investment	1,00,000
Less: H Ltd.'s share in fair value of net assets of A Ltd. on the date of acquisition [(1,00,000 + 1,75,000) x 40%]	(1,10,000)
Capital Reserve	10,000

Capital reserve is recorded directly in equity.

(ii) Share in profit of A Ltd.

	₹
Share in post-acquisition profit of A Ltd. [(4,24,000 - 1,75,000) x 40%]	99,600
Less: Dividend (1,00,000 x 15% x 40%)	(6,000)
Share in profit of A Ltd.	93,600

(iii) Closing balance of investment of Associate A Ltd. at the end of the year

	₹
Cost of acquisition of investment	1,00,000
Add: Capital reserve	10,000
Share in post-acquisition profit	93,600
Less: Unrealised gain on inventory [(60,000 x 20/120) x 40%]	(4,000)
Closing balance of investment	1,99,600

2. Analysis of Retained Earnings of S Ltd.

(i) Retained Earnings (RE) of S Ltd.

	₹
Closing balance as on 31st March, 2024	7,50,000
Less: Pre-acquisition as on 31st October, 2023	(5,00,000)
Post-acquisition Profit	2,50,000

(ii) Computation of net worth (net identifiable assets) as on 31st October, 2023

	₹
Share Capital of S Ltd.	2,00,000
Add: Pre-acquisition Retained Earnings	5,00,000
Net Identifiable assets	7,00,000

(iii) Computation of Goodwill on acquisition date of S Ltd.

	₹	₹
Purchase consideration	5,60,000	
NCI as per proportionate share method (7,00,000 x 30%)	2,10,000	7,70,000
Less: Net worth or Net Identifiable Assets		(7,00,000)
Goodwill		70,000

3. Non-Controlling Interest as on 31st March, 2024

	₹
NCI (by proportionate share method) as on 31st October, 2023	2,10,000
Post-acquisition Retained Earnings (W.N.4)	69,000
NCI as on 31st March, 2024	2,79,000

4. Consolidated Retained Earnings

Particulars	H Ltd. ₹	S Ltd. ₹
Opening Balance of Retained Earnings	9,00,000	
Post-acquisition Retained Earnings (W.N.2(i))		2,50,000
Less: Unrealised gain on downstream transaction with Associate A Ltd.	(4,000)	
Less: Impairment of Goodwill on acquisition of S Ltd.	(70,000)	
Add: Share of profit and loss in Associate A Ltd.	93,600	
Less: Dividend payable by H Ltd.	(50,000)	(20,000)
Add: Dividend Income receivable from S Ltd.	14,000	
Add: Dividend income receivable from A Ltd.	6,000	
Less: Share of NCI in post-acquisition Retained Earnings [(2,50,000 - 20,000) x 30%]		(69,000)
	8,89,600	1,61,000
Total Consolidated Retained Earnings		10,50,600

Note: Bonus issue by a subsidiary is a transaction with owner in their capacity as owner. Therefore, bonus issue is only a transfer from one component of equity to the other thereby not changing the equity. Accordingly, though bonus issue shall be accounted in the individual financial statements of subsidiary, the same shall not have any effect in consolidated financial statements of the Group.

Alternative C: Considered dividend as declared and paid

Consolidated Balance Sheet of H Ltd. and its subsidiary S Ltd. and Associate A Ltd. as at 31st March, 2024

	₹
Assets	
Non-current assets	
Property, plant and equipment (₹ 5,50,000 + ₹ 4,80,000)	10,30,000
Goodwill (₹ 70,000 - Impaired ₹ 70,000)	Nil
Financial assets - Investment in A Ltd. (Refer W.N.1 (iii))	1,99,600
Current assets	
Inventory (₹ 4,85,000 + ₹ 3,82,500)	8,67,500
Financial assets - Cash and cash equivalents [(₹ 89,000 - ₹ 50,000 + ₹ 14,000 + ₹ 6,000) + (₹ 98,000 - ₹ 20,000)]	1,37,000
Trade receivables (₹ 3,95,000 + ₹ 3,05,000)	7,00,000
Total	29,34,100
Equity and Liabilities	
Equity	
Share capital - Equity shares of ₹ 10 each	5,00,000
Other equity (W.N.4 + W.N.1(i))	10,60,600
Non-controlling interest (W.N.3)	2,79,000
Non-current liabilities - Financial liabilities - Borrowings - term loans (₹ 4,00,000 + ₹ 1,50,000)	5,50,000
Current Liabilities - Financial liabilities - Trade payables (₹ 3,79,000 + ₹ 1,65,500)	5,44,500
Total	29,34,100

Working Notes:

1. Computation of Investment in Associate A Ltd. as per Equity method

(i) Capital reserve on the date of acquisition

The cost of the investment is lower than the net fair value of the investee's identifiable assets and liabilities. Hence there is capital reserve calculated as follows:

	₹
Cost of acquisition of investment	1,00,000
Less: H Ltd.'s share in fair value of net assets of A Ltd. on the date of acquisition [(1,00,000 + 1,75,000) x 40%]	(1,10,000)
Capital Reserve	10,000

Capital reserve is recorded directly in equity.

(ii) Share in profit of A Ltd.

	₹
Share in post-acquisition profit of A Ltd. [(4,24,000 - 1,75,000) x 40%]	99,600
Less: Dividend (1,00,000 x 15% x 40%)	(6,000)
Share in profit of A Ltd.	93,600

(iii) Closing balance of investment of Associate A Ltd. at the end of the year

	₹
Cost of acquisition of investment	1,00,000
Add: Capital reserve	10,000
Share in post-acquisition profit	93,600
Less: Unrealised gain on inventory [(60,000 x 20/120) x 40%]	(4,000)
Closing balance of investment	1,99,600

2. Analysis of Retained Earnings of S Ltd.

(i) Retained Earnings (RE) of S Ltd.

	₹
Closing balance as on 31st March, 2024	7,50,000
Less: Pre-acquisition as on 31st October, 2023	(5,00,000)
Post-acquisition Profit	2,50,000

(ii) Computation of net worth (net identifiable assets) as on 31st October, 2023

	₹
Share Capital of S Ltd.	2,00,000
Pre-acquisition Retained Earnings	5,00,000
Net Identifiable assets	7,00,000

(iii) Computation of Goodwill on acquisition date of S Ltd.

	₹	₹
Purchase consideration	5,60,000	
NCI as per proportionate share method (7,00,000 x 30%)	2,10,000	7,70,000
Less: Net worth or Net Identifiable Assets		(7,00,000)
Goodwill		70,000

3. Non-Controlling Interest as on 31st March, 2024

	₹
NCI (by proportionate share method) as on 31st October, 2023	2,10,000
Post-acquisition Retained Earnings (W.N.4)	69,000
NCI as on 31st March, 2024	2,79,000

4. Consolidated Retained Earnings

Particulars	H Ltd. ₹	S Ltd. ₹
Opening Balance of Retained Earnings	9,00,000	
Post-acquisition Retained Earnings (W.N.2(i))		2,50,000
Less: Unrealised gain on downstream transaction with Associate A Ltd.	(4,000)	
Less: Impairment of Goodwill on acquisition of S Ltd.	(70,000)	
Add: Share of profit and loss in Associate A Ltd.	93,600	
Less: Dividend paid	(50,000)	(20,000)
Add: Dividend Income received from S Ltd.	14,000	
Add: Dividend income received from A Ltd.	6,000	
Less: Share of NCI in post-acquisition Retained Earnings [(2,50,000 - 20,000) x 30%]		(69,000)
	8,89,600	1,61,000
Total Consolidated Retained Earnings		10,50,600

Note: Bonus issue by a subsidiary is a transaction with owner in their capacity as owner. Therefore, bonus issue is only a transfer from one component of equity to the other thereby not changing the equity. Accordingly, though bonus issue shall be accounted in the individual financial statements of subsidiary, the same shall not have any effect in consolidated financial statements of the Group.

Q174 · PYQ May 2026 · MCQ 6 · 2 marks

Case Scenario-II: Zest Ltd. is engaged in the manufacturing of Automobiles with its registered office in Pune and is listed on BSE Limited. It also owns a chain of retail stores across 20 different locations in the cities of Pune and Kolhapur. Following are the brief facts about the transactions entered into by Zest Ltd. for which accounting advice is sought by the CFO from you :

Zest Ltd. has recently made various acquisitions and details of each of them are as follows :

(1) Zest Ltd. acquired 45% stake in Sun Ltd. on 1st April, 2025 for ₹ 50,00,000. This leads to Zest Ltd. having significant influence on Sun Ltd. Since the date of acquisition till 31st March, 2026, Sun Ltd. has earned a profit of ₹ 16,00,000. Also, on 31st March, 2025, Sun Ltd. had revalued one of its property resulting in increase in the value of property by ₹ 8,00,000 and accounted for it in the revaluation reserve in the same financial year. Zest Ltd. has a policy to value its investment in joint ventures and associates based on equity method.

(2) Zest Ltd. acquired 40% shares in Large Ltd. on 1st April, 2025 for a consideration of ₹ 65,50,000 and balance of retained earnings on the same date was ₹ 52,40,000. It is the group's policy to re-measure its non-controlling interests at fair value and provide for impairment loss, if any, in the value of investment every year end. The retained earnings and issued share capital of Large Ltd. on 31st March, 2026 are ₹ 76,00,000 and ₹ 40,00,000 respectively.

Large Ltd. have not issued any share capital since the acquisition of shareholding by Zest Ltd. The fair value of the net assets of Large Ltd. was the same as their carrying amounts at the date of acquisition. The recoverable amount of net assets of Large Ltd. has been deemed to be ₹ 1,15,00,000 as on 31st March, 2026.

On 1st January, 2026, Zest Ltd. sold inventory costing ₹ 5,00,000 to Large Ltd. for ₹ 15,00,000. The inventory was still unsold by Large Ltd. at 31st March, 2026. This inventory was sold by Large Ltd. to third party on 8th April, 2026.

(3) On 1st April 2025, Zest Ltd. agreed with shareholder of Sour Ltd. to acquire 100% stake in Sour Ltd. for total consideration of ₹ 200 lakhs which includes the following :

(i) Zest Ltd. will reimburse shareholders of Sour Ltd. for the transaction cost of ₹ 4 lakhs.

(ii) Two of the shareholders of Sour Ltd. will work as the general managers, even after Sour Ltd. is acquired by Zest Ltd. This arrangement will work for a period of 2 years and for which quarterly salary of ₹ 40,000 is provided to each of these individuals.

(iii) Further Sour Ltd. had filed a legal case against Zest Ltd. in the past, which was not settled till the date of acquisition. Zest Ltd. agreed to settle the same for ₹ 2,00,000.

On the basis of information provided in the above case scenario, you are required to choose most appropriate answer to the below mentioned questions from 6 to 8.

6. What is the carrying value of Zest Ltd.'s investment in Sun Ltd. (associate) in its books of accounts as on 31st March, 2026 ?

(A) ₹ 10,80,000

(B) ₹ 23,75,000

(C) ₹ 57,20,000

(D) ₹ 60,80,000

Solution — app-written (ICAI answer not in the repo; reproduces ICAI's key)

ICAI answer key: (C) ₹ 57,20,000. Working (app-written, reproduces the key): cost 50,00,000 + 45% × year's profit 16,00,000 (7,20,000) = 57,20,000. The revaluation of 31 Mar 2025 is before the acquisition on 1 Apr 2025, so it is already reflected in the price paid.

Q175 · PYQ May 2026 · MCQ 7 · 2 marks

(Case Scenario-II facts (1)-(3) as in MCQ 6 above.)

7. What will be the impairment loss from investment of Zest Ltd. in associate Large Ltd. for the year ending 31st March, 2026 ?

(A) ₹ 46,00,000

(B) ₹ 24,94,000

(C) ₹ 28,94,000

(D) ₹ 49,90,000

Solution — app-written (ICAI answer not in the repo; reproduces ICAI's key)

ICAI answer key: (B) ₹ 24,94,000. Working (app-written, reproduces the key): cost 65,50,000 + 40% × (76,00,000 − 52,40,000) = 74,94,000; less downstream unrealised profit 40% × (15,00,000 − 5,00,000) = 4,00,000 → 70,94,000; recoverable 40% × 1,15,00,000 = 46,00,000 → impairment 24,94,000.